REVENUE LAW & TAXATION I READING LIST

A. STATUTES

1. The Constitution of the Republic of Uganda 1995
2. The Income Tax Act, Cap. 340
3. The Tax Appeals Tribunals Act, Cap.345
4. Uganda Revenue Authority Act, Cap. 196
5. Tax Procedures Code Act, 2014

B. RECOMMENDED TEXTS.

1. Geoffrey,Morse,William & Salter: *Davies' Principles of Tax Law* (Sweet & Maxwell, London, 5th Edn 2004)
2. Easson: *Cases and Materials on Revenue Law* (2nd Edition, 1990)
3. *Pinson on Revenue Law* (Ninth Edition Sweet & Maxwell 1982)
4. Whitehouse et al: *Revenue Law: Principles & Practice* (12th Ed.Butterworths, 1992)
5. Shipwright V. Keeling, *Textbook on Revenue law.*
6. Kevin Holmes, *The Uganda Income Tax Act 1997, A Primer on Concepts and Structure,* IBFD Publications BV, Amsterdam 2006.
7. Pius K. Bahemuka, *Income Tax in Uganda,* Fountain Publishers, Kampala, 2001
8. Christine Mugume, *Managing Taxation in Uganda (* MPK Graphics, Kampala 2006, Second Edition, 2014)
9. Natalie Lee Ed., *Revenue Law Principles and Practice*, (Tottel Publishing Ltd, 2006)
10. Bakibinga, *Revenue Law in Uganda* (Law Africa Publishing, Nairobi, Kampala & Dar-es- Salaam, 2012)
11. Khadka, Rup, *East African Tax Systems* (Tanzania: Mkuki na Nyota Publishers, 2015)
12. Kitenga, G. *Introduction to Tax Law* (Nairobi : Law Africa Publishing, 2010)
13. Attiyah, W. *Tax & Development: Solving Kenya's Fiscal Crisis through Human Rights* (Nairobi: Law Africa Publishing)
14. URA *Taxation Handbook* (Nakawa: Second Edition, 2015)
15. Okuja, J.O. *Domestic & International Taxation: The Law, Principles & Practice* (2nd Edn,2019)
16. *Handouts*

C. HISTORICAL BACKGROUND OF TAXATION

1. Dhaman P. Ghai; *Taxation* For Development *: A Case Study of Uganda*, 1966
2. Director etaxworld.org; *A History of Taxation:* http://www.taxworld.org/History/Taxhistory.htm>
3. Woellner et al, *2000 Australian Taxation Law* 10th Edition CCH pp5-11

4. Jeffery, *History of U.K. Tax Law*, http://www.tax.org.uk
5. Mahmood Mamdani, *Political & Class Formation in Uganda.*
6. Ramrisha, Mukherjee, *The Problems of Uganda, A study in Acculturation*, 1956.
7. Morris & Read, Uganda: *The Development of its Laws and the Constitution.*
8. Hammond R.C., *Fiscal Harmonization in the East African Community*, IBFD, Amsterdam, 1975

SIKIA Law

9. Natalie Lee Ed., *Revenue Law Principles and Practice*, Tottel Publishing Ltd, 2006

10. Kwagala Igaga, D. *When more is Less: An analysis of the Reforms of Direct Taxation of Profits from business Activity in Uganda* (University of Warwick PhD Thesis, 2013)

D. GENERAL THEORIES, CRITERIA AND TERMINOLOGY OF TAXATION

a) What is a tax?

(i) *The Concise Oxford Dictionary*

(ii) C M Allan, *The Theory of Taxation* (Penguin Books 1971) at pp 24-27

(iii) Geoffrey Morse, William and Slater, *Davis, Principles of Tax Law* p.3

(iv) *Matthews v The Chicory Marketing Board* (vic) (1938) 60 CLR 236 per Latham CJ at p.276.

(v) *R V Barger* (1908) 6 CLR 41 per Griffith CJ, Barton and O'Connor JJ at p.68

b) Other Definitions

(i) Direct tax and Indirect tax

(ii) Tax burden and tax incidence

(iii) Progressivity, proportionality and Regressivity.
Piketty, T. *Capital in the Twenty First Century* (Cambridge, Massachusetts:2014). Chapter 14: "Rethinking Progressive Income Tax"

(iv) Tax haven

United Nations Dept of Economic and Social Affairs, International Co-operation in Tax matters*: Report of the Ad Hoc Group of Experts on international co-operation in Tax Matters on the work of its Eighth Meeting 1998*.

Picketty, *supra,* chapter 15, "A Gobal Tax on Capital"

(v) Tax base
Private Sector Foundation of Uganda, *Widening the Tax Base & Improving Tax Administration* (Kampala: 2009)

(C) Tax Structure

(i) Structure of Uganda's tax system vis-à-vis the Third World and OECD Countries.

(ii) Why revenue enhancement is desirable but difficult.

D. Functions and Objectives of taxation.

i) C M Allan, *The Theory of Taxation* (Penguin Books 1971) p.13

ii) P B Musgrave, *Public Finance in Theory and Practice* 2nd Ed. (McGraw Hill, 1976) pp.50ff.

iii) Anwar Shah : Ed. *Fiscal Incentives from Investment and Innovation* Oxford Press University Press, 1995, Overview pp 1-30

iv) Vinto Tanzi and Parthasarathi Shome. *Primer on Tax Evasion*. IMF Staff papers vol.40 No.4 (Dec-93) IMF.

v) Bird Richard and Milka Casanegra de Jan & Scher, eds, *Improving Tax Administration in Developing Countries* (Washington: International Monetary Fund, 1992].

vi) Musgrave, Richard, *The Theory of Public Finance: A study in Public Finance* (New York, Macgraw- Hill, 1959].

vii) Prichard,Wilson(2015)*Taxation, Responsiveness and Accountability in Sub-Saharan Africa- the Dynamics of Tax Bargaining* (Cambridge University Press) Chapter2, pp.48- 83.

viii) Timmons, J.F. (2005) "The Fiscal Contract: States, Taxes and Public Services" *World Politics* 57(4), pp.530-567.

ix) Bates, R.H.& Lien, D.D.(1985)" A Note on Taxation, Development and Representative Government" *Politics & Society*, 14, pp.53-70

E. Criteria for Evaluating a tax system

i) Adam Smith, *The Wealth of Nations*, Book V.Ch.II

ii) Kay and King*, The British Tax System* Oxford University Press (1995)

iii) Geoffrey Morse, William and Salter, *Davis Principles of Tax Law* pp5-10.

iv) Paul R. McDaniel and James R. Repetti, "Horinzotal and Vertical Equity: The *Musgrave/Kaplow Exchange*", *Florida Tax Review* [Vol.10. 1993] p.60]

v) Private Sector Foundation, *Widening the Tax Base and Improving tax Administration in Uganda* (2009)

F. Administering the Income Tax System

(i) **The creation and functions of Uganda Revenue Authority**. Why was the URA established?

Coopers & Lybrand, Deloitte, *Planning for a Revenue Authority for Uganda,* Final Report June 1991.

The Uganda Revenue Authority Act, Cap. 196 (Laws of Uganda, 2000 Edn)

Performance of URA to date

Bakibinga, *Revenue Law in Uganda* (2012), pp.10-19, 215-217.

(ii) Assessing tax and paying tax liabilities

Bakibinga, *Revenue Law in Uganda*, *supra,* Chapter 10(1st Edition), 11(2nd Edition,2019

(iii) Tax returns

Furnishing return of income - section 16 of the Tax Procedures Code Act, No.14 of 2014 (TPCA)

Cases where return of income is not required - section 93 of the

ITA Extension of time to furnish a return of income - section

19 of the TPCA

Samwel, F. *Causes and Consequences of Failure to File Annual Return by the*

Taxpayer: A Case Study of Shinyanga Municipality (Master of Laws Dissertation, University of Muzumbe, 2013).

(iv) Assessments.

Commissioner's assessment - section 21 TPCA

Uganda Project Implementation Centre Ltd v. URA CA No. 2 of 2009

Commissioner General, URA v. Meera Investments CA No 22 of 2007 [2009] UGSC 3

Mandavia v. Commissioner of Income Tax (1960) PC

Heritage Oil & Gas Ltd v. URA CA No.14 of 2011 [2011]

UGCOMM 97 Self-assessment - section 20 OF TCPA

Additional assessments - section 23 of TPCA

(v) **Payment of tax**.

Due date for payment of tax - section 27of the TPCA

Payment of provisional tax - section 111

Estimated tax payable - section 112

(vi) Appeals and reviews

Objection to assessment - section 24 of the TPCA

Appeal to the High Court or Tax Appeals Tribunal - section 25 of the TPCA

Commissioner General, URA v. Meera Investments CA No 22 of 2007 [2009] UGSC 3

URA v. Rabbo Enterprises & Anors [2017]UGSC 20

(vii) **Enforcement mechanisms**

Collection of tax from persons leaving Uganda permanently - section 30

TPCA Recovery of tax from third party - section 31 TPCA

Tullow Uganda Ltd v. Heritage Oil & Gas Ltd and Heritage Plc[2013] EWHC 1656(Comm)

Collection of tax through distress - section 32 TPCA

Security on property for unpaid tax, Secton 36 TPCA

(viii) Tax offences and penalties

Part XIV, Sections 48-53; Part XV, sections 54 to 67 of the TPCA.

G. Sources of Ugandan Taxation Law

There are in effect through sources of taxation law in the Ugandan

context: Judicature Act (Cap 13, Laws of Uganda, 2000 Edn), s. 14(2),

(3)

i) Statute law (or legislation) i.e. the law made by Parliament and contained in statutes e.g. the Value Added Act Cap.349 and the Income Tax Act, Cap.340 and regulations made under such statutes e.g. the VAT regulations and the Income Tax PAYE Regulations.

ii) Case Law (or common law and equity) the law created by decisions of courts and the Tax Appeals Tribunals ; and

iii) The practice of URA i.e. the way in which the URA administers and applies the law day to day, through assessment and enforcement practices.

H. INTERPRETING THE LAW.

i) The Interpretation Act, Cap. 3, Laws of Uganda

ii) *Inland Revenue Commissioners v. McGukian* [1997]1 WLR 999 (HL)

iii) *Ramsay v IRC* [1982] A.C. 300; [1981]2W.L.R. 449; [1981]/ All ER 865

iv) *IRC v Willoughby* (1995) S.T.C 143

v) *Pepper v Hart* [1993] A.C.593;[1992] 2 WLR 1032; [1993]1 All ER 42

vi) *Furniss v Dawson* [1984] AC 474; [1984] 2WLR 226; 2[1984]1 All ER 530

vii) *Ensign Tankers (Leasing) Ltd v Stokes (Inspection of Taxes)* [1992] 1 A.C. 655;E 1992]2 WLR 469;[1992] 2 ALL ER 275.

viii) D.W. Williams "Taxing Statutes are Taxing Statutes: The Interpretation of Revenue Legislation" (1978) 41 *MLR* 404 at p.409

ix) *Cape Brandy Syndicate v IR Commrs* [1921] 1 KB 64

x) *IRL Commrs v Duke of Westminster* [1936] AC 1

xi) *Opoya v. Uganda* [1967] EA 754

xii) *Finance Corporation v URA*, TAT No.3 of 1999

xiii) *New Vision Printing and Publishing Corporation v URA*, TAT No.12 of 1999

xiv) *K.M. Doukoure v URA* [1997] HCB 62

xv) *Heritage Oil & Gas Ltd. V. URA* Civil Appeal no. 14 of 2011(Commercial division, High Court) [2011] UG CommC 97

xvi) *Tullow(Ug) Ltd & Anors. V. URA* TAT App. No.4 of 2011

xvii) *Tullow Uganda Ltd Heritage & Gas Ltd & Anors* [2013]EWHC 1656

xviii) *Crane Bank v. URA* [2012] UGCOMM. 42

I. DEFINITION OF INCOME
(Realization and Recognition)

(i) Adam Smith, *The Wealth of Nations* [1776] BK 1 Ch. VI

(ii) *Personal Income Taxation: The Definition of income as a problem of Fiscal Policy* (Chicago: University of Chicago Press, 1938), at pp.49-51.

(iii) *Eisner v Macomber* 252 US189

(iv) Co *Commissioner v Glenshaw Glass.* 348 U.S. 426 75 S.ct. 473

(v) *Hel vering v Independent Life Insurance Co.* 292 U.S.371 54 S.ct. 758

(vi) Tax Law Concept of Income; Income Tax Act (ITA) ss.4, 15,17,18,19, 20 and 21

(vii) *Old Colony Trust Co. v Commr* 279 U.S. 716, 49 S. ct. 499

(viii) *States James V United*, 366 U.S. 13, 81 S. ct 1052

(ix) *Patridge v Mallandaine* (1856) 2 TC 179
(x) *Minister of Finance (Canada) v Smith* [1927] AC 193
(xi) *Lindsay v IR Commrs* (1933) 18 TC 43
(xii) *No.275 v MNR* (1955) 13 Can Tax ABC 279
(xiii) *Graham v Green* [1925] 2 K.B 371
(xiv) *Burdge v Pyne* [1967] 1 WLR 364

(*xv*) *John Smith & Son V Moore* (1930) 12 TC 266

(xvi) *California Copper Syndicate (Limited and Reduced) v Harris* (1904) 5 TC 159 the consideration for the land that was sold profitably by the taxpayer company took the form of shares in the purchased company. Lord Traynor noted that:

" a profit is realised [and therefore taxable under Schedule D of the United Kingdom Income Tax Act 1842] when the seller gets the price he has bargained for … If there can be no realised profit, except when that is paid in cash, the shares were realisable and could have been turned into cash, if the Appellants had been pleased to do so. I cannot think that Income Tax is due or not according to the manner in which the person making the profits pleases to deal with it.

Suppose, for example, a seller made a profit on a trade transaction, but leaves the price (including the profit) in the hands of the buyer at so much per cent interest. That he does so deals with, rather than take the cash into his own pocket, would not affect the claim of the Revenue for the tax payable on the profit. No more, in my opinion, does it affect the liability for the tax that the Appellants left their profits in the hands of the company they sold to and took the company's shares as their voucher."

Eisner v Macomber **252 US 189 (1920)**

In order, therefore, that the clause cited from Article 1 of the Constitution may have proper force and effect, save only as modified by the Amendment, and that the latter also may have proper effect, it becomes essential to distinguish between what is and what is not "income", as the term is there used; and to apply the distinction, as cases arise, according to truth and substance, without regard to form. Congress cannot by any definition it may adopt conclude the matter, since it cannot by legislation alter the Constitution, from which alone it derives its power to legislate, and within whose limitations alone that power can be lawfully exercised.

The fundamental relation of "capital" to "income" has been much discussed by economists, the former being likened to the tree or the land, the latter to the fruit or the crop; the former depicted as a reservoir supplied from springs, the latter as the outlet stream, to be measured by its flow during a period of time. For the present purpose we require only a clear definition of the term "income", as used in common speech, in order to determine its meaning in the Amendment; and, having formed also a correct judgment as to the nature of a stock dividend, we shall find it easy to decide the matter at issue.

After examining dictionaries in common use we find little to add to the succinct definition adopted in two cases… "Income may be defined as the gain derived from capital, from labour or from both combined", provided it be understood to include profit gained through a sale or conversion of capital assets…

Brief as it is, it indicates the characteristic and distinguishing attribute of income essential for a correct solution of the present controversy. The government, although basing its argument upon the definition as quoted, placed chief emphasis upon the word "gain", which was extended to include a variety of meanings; while the significance of the next three words was either overlooked or misconceived. *"Derived-from-capital", "the gain-derived-from-capital"*, etc. Here we have the essential matter: not a gain accruing to capital however invested or employed, and coming in, being "derived", that is, received or drawn by the recipient (the tax-payer) for his separate use, benefit and disposal; *that* is income derived from property. Nothing else answers the description.

The same fundamental conception is clearly set forth in the sixteenth Amendment- "incomes, from whatever source derived" – the essential thought being expressed with a conciseness and lucidity entirely in harmony with the form and style of the Constitution.

Can a stock dividend, considering its essential character, be brought within the definition? To answer this, regard must be had to the nature of a corporation and the stake holder's relation to it. We refer, of course, to a corporation such as the one in the case at bar, organized for profit, and having a capital stock dividend into shares to which a nominal or par value is attributed…

The dividend normally is payable in money, under exceptional circumstances in some other divisible property; and when so paid, then only (excluding, of course, a possible advantageous sale of his stock or winding-up of the company) which becomes his separate property, and thus derive income from the capital that he or his predecessor has invested…

We are clear that not only does a stock dividend really take nothing from the property of the corporation and add nothing to that of the shareholder, but that the antecedent accumulation of profits evidenced thereby, while indicating that the shareholder is the richer because of an increase of his capital, at the same time shows he has not realised or received any income in the transaction.

It is said that a stockholder may sell the new shares acquired in the stock dividend; and so he may, if he can find a buyer. It is equally true that if he does sell, and in doing so realizes a profit, such profit, like any other, is income, and so far as it may have arisen since the Sixteenth amendment is taxable by Congress without appointment. The same would be true were he to sell some of his original shares at a profit. But if a shareholder sells a dividend he necessarily disposes of a part of his capital interest, just as if he should sell a part of his old stock, either before or after the dividend. What he retains no longer entitles him to the same proportion of future dividends as before the sale. His part in the control of the company likewise is diminished

…

Yet, without selling, the shareholder, unless possessed of other resources, has not the wherewithal to pay an income tax upon the dividend stock. Nothing could more clearly show that to tax a stock dividend is to tax a capital increase, and not income, than this demonstration that in the nature of things it requires conversion of capital in order to pay the tax.

With its emphasis on the nexus between gain and its source ("Income may be defined as the gain derived from capital, from labour, or both combined"), the income concept adopted by the United States Supreme Court in *Eisner v. Macomber* is quite close to the Ugandan concept that, apart the fact that the United States concept clearly included capital gains (in the phrase "provided it be understood to include profit gained through a sale of conversion of capital assets"). Subsequent to *Eisner v. Macomber,* the United States judicial concept of income moved away from a particularized notion in which income could be divided into various categories depending on its source to a more global (and correspondingly broader) concept.

In *Commissioner* v. *Glenshaw Glass Co.* [1955] 348 US 426, the United States Supreme Court said the definition of income in *Eisner v. Macomber* served a useful purpose but was not meant to provide a touchstone to all future gross income questions. Instead, the court adopted an income concept based on "instances of undeniable accessions to wealth, clearly realized, and over which the taxpayers have complete dominion".

The judicial concept of income expressed in *Glenshaw Glass* is not greatly different from the economic concept set out by Simons. The case exemplifies a judicial approach to the income concept that goes far beyond anything to be found in the cases of other common law jurisdictions. Although United States authorities have been quoted from time to time in other jurisdictions, the broad and conceptual style of formulating an income definition has generally not been followed.

Distinction between Income and Capital

ITA, S.22(1), (2)

Bakibinga, *Revenue Law in Uganda* (2012), chap. 2; (2nd Edition, 2019), chap.3

Piketty, T. *Capital in the Twenty First Century* (Cambridge Massachusetts, 2014), chapter 15

Golden Horse Shoe(New) Ltd v. Thurgood [1934] 1K.B.548

B.P. Australia Ltd. V. Court of Taxation of Commonwealth Australia [1966] A.C.224,281

I.R.C. v. Biggar [1982] S.T.C.677

A.L. et. Al v. Commissioner of Income Tax 2 E.A.T.C. 148, Case no. 37 (Kenya)

Mamor Sendrian Berhad v. Director of Inland Revenue [1985] S.T.C.801 (Malaysia)

McClure v. Petre [1988] S.T.C. 749 (Ch.D. England)

Kirkham v. Williams [1991] S.T.C. 342 CA, England

A.E. Investment Trust Ltd. V. Commissioner of Income Tax 2 E.A.T.C, Case No. 31 (1955 Kenya)

J. Tax Avoidance and Tax Evasion

ITA,Sections 90, 91 and Tax Procedures Code Act, ss. 54-67

Easson: *Cases and Materials on Revenue Law* (2nd Edition, 1990), Chap. 4, pp.45-86

(i) *IR Commrs v Duke of Westminster* [1936] AC 1
(ii) *Griffin v Citibank Investments Ltd* (2000)73 T.C 1010

(iii) *Inland Revenue Commissioners v. McGukian* [1997]1 WLR 999 (HL)

(iv) *Baylis v Gregory* [1989] AC 398, [1987] 3 ALL ER 27
(v) *Ramsay v IRC* /1982] A.C. 300; [1981]2W.L.R. 449; [1981]/ All ER 865
(vi) *IRC v Willoughby* (1995) S.T.C 143
(vii) *Pepper v Hart* [1993] A.C.593;[1992] 2 WLR 1032; [1993]1 All ER 42
(viii) *Furniss v Dawson* [1984] AC 474; [1984] 2WLR 226; 2[1984]1 All ER 530
(ix) *Ensign Tankers (Leasing) Ltd v Stokes (Inspection of Taxes)* [1992] 1 A.C. 655;E 1992]2 WLR 469;[1992] 2 ALL ER 275.

(x) *Craven v White*[1985] 2 ALL ER 125
(xi) *IRC v Bowater Property Developments Ltd*[1989]AC 398; [1988]3 ALL ER 495
(xii) *MacNiven v Westmoreland* [2001] 1 All ER 856; [2001] 2 WLR 377

(xiii) *Barclays Mercantile Business Finance Ltd v Mawson*[2003] STC 66
(xiv) *IRC v. Plummer* [1986] AC 896
(xv) *IRC v. Burmah Oil Co.* [1982] STC 30

PART II.

Look at the structure of the Income Tax Act, Cap.340 (ITA)

i) Interpretation provision –ITA, Section 2
ii) Charging provisions - ITA,Sections 4(1), 4(5), 5, 83, 84, 85, 86, 87,117, 118, 119,
120,122
iii) Scheduler system
iv) Residence
   (a) Permanent home – section 9(1)(a)
   (b) The 183 –day rule – section 9(1)(b)(i)
   (c) The 122-day rule – section 9(1)(b)(ii)

Commissioner of Income Tax v. Noorani [1969] E.A. 685 C.A.(Tanzania)
Sir George Arnautoglu v. Commissioner of Income Tax [1967] E.A.312 C.A. (Tanzania)

   (d) Govt employee posted abroad- section9(1) (c)
   (e) Companies – section 10
   (f) Partnerships – section 12
   (g) Trusts – section 11
   (h) Retirement Funds – section 13
   (i) Non-residents – section 14
   (j) Double Taxation Treaties – section 88

v) *De Beers Consolidated Mines Ltd v Howe* [1906]AC 455 (HL)
vi) *Unit Construction Company v Bullock* [1960]AC 351
vii) *American Thread Co. v Joyce* (1913)6 TC 163 (HL), Lord Halsbury postulated that "…the real test which, after all, is only a question of analogy – you can talk about a company residing anywhere – and that which has been accepted as a test, is where what we should call the head office in popular language is, and where the business of the company is really directed and carried on in that sense…"

(I) RENTAL INCOME

ITA,SS 2, 5, 6, 22 and Part 1 of the Third Schedule

Emil M. Sunley et al, *Uganda: A Program for Reform of the Income Tax and Taxation of Mineral Resources* IMF, Fiscal Affairs Dept, August 1996.

Kwagala Igaga, D. " Tax Reform in Uganda: Missed Opportunities and Prospects for State-
Building", Available at www.researchgate.net/publication/274954588

(J) PRESUMPTIVE TAX

SS 4(5), (6) and (7); 9, 12, and the Second schedule of the ITA

Victor Thuronyi Ed - *Tax Law Design and Drafting* Vol.1 p.401 (International Monetary Fund1996)

(K) Employment Income

SS. 2, 4, 6, 9, 15, 17, 19, 21 the Third Schedule Part 1 and the Fifth Schedule

SS.2, 4(1), 4(4), 15,17,20,21,34,56,58,61,93(b), 116 & 128(5), Third Schedule Part 1 Fifth
Schedule, URA Practice Notes.

Meaning of employment

- Section 2 ITA

- *Young and Woods Ltd V West* [1980] IR.L.R 201
- *O'Kelly v Trusthouse Forte* [1984] Q.B 90; [1983] 3 WLR 605; [1983] 3All ER 456
- *Edwards v Bairstow and Harrison* [1956] A.C.14; [1955] 3WLR 410; [1955] 3 All ER 48.

- *Fall v Hitchen* [1973] 1WLR 286; [1973] All E.R 368
- *Mitchel and Edon v Ross* [1960] Ch.499; [1960] 2 WLR 766;[1960]2 ALL ER 218
- *IRC V Brander & Cruickshank* [1971] 1WLR 212; [1971] 1 All E.R 817
- *Old Colony Trust Co. V Commissioner* 279 US 716, 49 Sct 499

Employment Income

- *Hochstrasser v Mayes* [1960] A.C. 376; [1960] 2 WLR 63 [1959] All ER 817

- *Shilton v Wilmshurt* [1991] A.C. 684; [1991] 2 WLR 530
- *Reuter v F. C. of T* 93 ATC 5030
- *Tennant v Smith* [1892] AC 150
- In *Heaton v Bell* [1970] AC 728, the House of Lords held that an employee was taxable on a constructive receipt basis when the employee accepted a reduction in salary in exchange for the use of a car (the employee being able to cancel the deal at any time and revert to the previous salary).

Gratuitous Payments

- *Scott v FC of T* (1966) 117 CLR 514

Payment after employment relationship ended

- *Carter V Wadman* (1946) TC 41
- *Hayes V FC of T* (1956) 96 CLR 47
- *Moore V Grifiths* [1972] 3 All ER 399

- *FC of T V Harris* 80 ATC 4238
  Payments by Third Parties, gifts and windfall gains

- *Calvert V Wainwright* [1947] KB526; [1947] 1 All ER 282
- *Penn V Spiers & Pond Ltd* [1908] 1K.B. 766

- *Great Western Railway Co. V Helps* [1918] AC 141
- *Seymour V Reed* [1927] AC 554
- *Moorhouse V Dooland* [1955] Ch.284; [1955] 2 WLR 96; [1955] 1 All ER 93
- *Corbett v Duff*(1941)23 TC 763

Benefit payments to professional football players were held to be taxable income. There, Justice Lawrence acknowledged "it is obvious that the line is difficult to draw." The benefit payments were paid in respect of, and as remuneration for, the players' employment under the English Football League's rules and were expected, asked for, and customarily given to qualifying players.

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Provision of services or disposal of a capital asset.

- *Hobbs V Hussey* [1942] 1KB 491
- *Pritchard V Arundale* [1972] Ch.229
- *Riley V Coglan* [1968] 1 All ER 314; [1967] 1 WLR 1300

Termination payments

- *Carter V Wadman* (1946) 28 TC 41
- *Scott v C of T (NSW)* (1935) 35 SR (NSW) 215
- Handout: Moses Kaggwa "Golden Hellos and Golden Handshakes"

Restrictive Covenants

- *Beak V Robson* [1943] AC 352
- *Higgs V Olivier* [1951] Ch.899
- *Riley V Coglan* [1968] 1 All E.R. 314

Employee Shares Scheme

ITA, s. 19(1) (g), (h)

- *Abbott v Philbin* [1961] AC 352
- *Tennant V Smith* [1892] AC 150
- In Taxation Ruling TR 92/15, the Commissioner rules that an "allowance" is a predetermined amount to cover an estimated expense, which is paid regardless of whether the recipient incurs the expense, or the anticipated amount of the expense.
  A reimbursement of expenses is not an allowance as it transfers the burden of an expense actually incurred from the employee to the employer.

Benefits

ITA, S.19(1) (b)

- *Tennant V Smith* [1892] A.C. 156

- *Weight v Salmon* [1935] 19 T.C 174

- *Wilkins V Rogerson* [1961] 2 WLR 102; [1961] 1 All ER 358; [1961] Ch.133
- *Nicoll V Austin* (1935) 19 T.C. 531

- Case L54 79 ATC 399:

Benefit "refers" to an "advantage", profit" "good" in the ordinary sense of that word and connotes "to do good to" "be" of advantage or profit to; to improve, help forward…" In this case the payment of school fees by the taxpayer's employer was held to be a benefit as it relieved the taxpayer of the obligation which he would otherwise have incurred.

- Practice Notes of URA
- S.19 (i)(b); 19 (3), 19(6) and Fifth Schedule ITA.

Limitations in employment income

- Ss. 19(2), 19(7) and 21
- Practice notes of URA
- Handout: Moses Kaggwa: Limitations in Employment Relationships.

Policy Issues

- The Income Tax (Amendment) Bill, 1998
- Hon. Dr. Sam Lyomoki MP Workers: Justification of the Income Tax (Amendment) 1998.
- Moses Kaggwa, "In Defence of Section 19.

REVENUE LAW AND TAXATION NOTES

Taxation is the imposition of duties for the raising of revenue. Every tax must be imposed by an Act of Parliament as provided for under Article 152 of the Constitution, hence the saying that *tax is a creature of statute*. Tax is defined as a compulsory and non-refundable contribution collected by Government for Public purposes. It is also referred to as a non-quid proquo payment because there is no corresponding return in terms of goods or services from Government.

Two attributes of taxation are therefore evident. First, there must be a requirement of public purpose to justify the exercise of the taxing powers since tax is an imposition for the supply of the public treasury and not for the supply of a private individual or enterprise. Second, tax operates as a forced charge and does not in any way depend on the will or contractual assent expressed or implied of the tax payer.

The whole of the income tax law is, of course statutory. Nobody is called upon to pay income tax unless on the true construction of the relevant Acts of Parliament, he is required to do so. Income Tax depends for its validity solely upon the Acts of Parliament creating it. The function of the court is to interpret and not to create the law.

Income Tax was introduced in England in 1799 initially to finance the cost of wars but later became a source of income to finance all State activities. Income Tax was initially confined to Income (revenue) until 1965 when a capital gains tax was introduced by the English Finance Act of that year. In England, the Principal legislation that governs taxation of Income is the Income and Corporation Taxes Act and the Capital gains Tax Act. Others included the Capital Allowances Act, Capital Gains Transfer Act and the various Finance Acts. In Uganda the Principal legislation is the Income Tax Act Cap.340 which is amended every year.

Other taxes payable in Uganda include.

(a) *Taxes on consumption of goods and services and transactions*: Prominent under this head of tax is Value Added Tax Imposed at each stage in the production or supply line and paid by the final consumer of products or services. The Act defines a vatable supply of service and like in the Income Tax Act; certain supplies of services or goods are exempt while other supplies are zero rated. The tax is imposed by the VAT Act cap 349.

Another tax under this head is the Stamps Act, regulated by the Stamps Act, 2014. The schedule to the Act imposes a duty on specified transactions. The tax collection normally occurs when documents relating to the taxable transactions are taken either to the Company's or lands office for registration. Examples of transactions that attract stamp duty include; Incorporation of Companies, Transfer of shares, Creation of debentures, Mortgages, and transfers etc. The rates range between 0.5% - 1.5%.

(b) *Taxes on local production*: Excise duty is a duty charged on the production or use of any goods meant for local consumption or export or on a licence to deal in certain products. Goods that attract this tax include Beer, spirits, sodas etc. The tax is governed by the East African Excise Management Act 1970.

(c) *Taxes from Foreign trade*: These comprise of duties on imports or exports. Custom duty is a duty or toll payable upon merchandise imported into the country. The tax is regulated by the Custom Management Act, 2004.

(d) *Graduated Tax*: That used to be provided for under the Local Governments Act. It was suspended for ten (10) years in 2006. It has virtually been re-introduced under a different name – The Local Services Tax, currently imposed under the Local Governments Act.

Classification of Taxes:

Taxes are either direct i.e., Income tax, Capital gains tax or Corporation tax or indirect on consumption of goods or services e.g. VAT. Direct taxes therefore are those that affect an individual's income by way of a charge. Indirect taxes are taxes on outlays or consumption and are collected by an Intermediary. It has been stated that Indirect taxes yield more income since the charge is a percentage of one's income and that they are uncertain and are equitable in the sense that the burden falls on those who have. They have however been criticized for being a disincentive to hard work and as encouraging tax evasion. Indirect taxes however are credited for being convenient in the sense that payments are spread out on purchases. It is said that they are used to control economic or social policy including the control of consumption of certain items. It is also said that their collection is easier. The major criticism is that the tax is regressive. It applies across board. According to *Mill, Principles of Political Economy Book v Ch.3*, a direct tax is one which is demanded from the very person who, it is intended or desired should pay it. Indirect taxes are those which are demanded from one person in the expectation and intention that he shall indemnify himself at the expense of the other, such as the excise or customs. The producer or importer of a commodity is called upon to pay a tax on it, not with the intention to levy a peculiar contribution upon him, but to tax through him the consumer of the commodity, from whom it is supposed that he will receive the amount by means of an advance in price "

- *Proportion, Progressive and Regressive*: A proportional or neutral tax is one which takes a constant proportion of income. A progressive tax takes an increasing proportion as income rises. A regressive tax takes the declining proportion of income as income rises. The case for a progressive system rests on vertical equity and perhaps more basically on assumptions about the obligation of citizens to the community in which they live. If State expenditure is to be financed, it is thought proper that those with most should contribute the most, i.e. that they should pay not just more (which would be the case under a proportional tax) but "more more". At one time, this was explained in terms of benefit i.e. that those with the most, got the most benefit from the protection of their wealth which the State afforded. *See Bhim and Kalven*; *The uneasy case for Progressive Taxation (Univ of Chicago Press, 1953*), the point here is that the provision of the essentials of life takes a certain amount of income, and that above this level, individuals have a discretion over how they will spend it. It is more legitimate to tax the discretionary income than the essential income. Economic advantages are also claimed in that a progressive tax system diminishes escalations in the trade cycle (by taking money out of the economy as income rise) and assist demand management (by shifting money into the hands of those liable to spend it).

The argument against a progressive tax turns largely on incentives. It is thought that high rates of tax discourage that spirit of enterprise which ought to be a main spring of human activity. A high marginal tax rate, on one view should encourage individuals to work even harder to achieve an increase in net income. The income effect or to take more leisure instead of working – the substitution effect. Surveys provide little cogent support for either view. A study by Brown *& Sandford (1991) BTR 414* on the effect of the 1988 income tax rate changes on 300 accountants concluded that there was a negligible effect on work effort and enterprise and no discernible effect on emigration or immigration and no increase in revenue.

Definition of some taxation terms:

These are some of the words that appear so commonly in tax legislation. Very rarely are they defined. In the absence of their meaning a lot of students and practitioners find problems in understanding exactly what they mean. Here below are some useful definitions.

- *Tax:* A compulsory contribution to State revenue levied by the Government on workers' income and business profits or added to the cost of some goods, services and transactions. The levying of money paid as a tax is called taxation.

- *Tax avoidance*: The arrangement of one's financial affairs to minimize tax liability within the law.

- *Tax break*: A tax concession or advantage allowed by Government.

- *Tax credit*: A sum that can be offset against a tax liability.

- *Tax deductible*: An expense that can be deductible from taxable income.

- *Tax evasion*: The illegal non-payment or underpayment of tax;

- *Tax haven*: A country or independent area where taxes are levied at low rates;

- *Tax return*: A form on which a tax payer makes an annual statement of income and personal circumstances, used by the tax authorities to assess liability for tax;

- *Tax shelter*: Financial arrangements made to avoid or minimize tax;

- *Charges and fines as distinguished from taxes*: Charges are normally for Government services in which case the service must be provided directly to the individual if the payment is to be a charge. The charge must be related to the service provided and not varied according to the person's ability to pay or to some other criterion such as the value of that person's property. *In Re Eurigs estate (1998) 165 DLR*, the court held that provincial probate fees which varied with the size of the estate were taxes, they were intended to raise money for the court administration in general, not just to offset the actual costs of probate. A subtler problem is the difference between and a fine. At first sight it might appear that there is no difference between a fixed rate of fine and a tax, but the power of the court to vary the normal fine and to enjoin against continued breach marks off the breach of the criminal law from carrying on of taxable activity. Fines or penalties imposed to regulate an activity are more complex; Penalties imposed to encourage prompt compliance with filing or other requirements are really more in the nature of late filing charges or interest charges than fines. The distinction matters because traders may not deduct fines in computing their taxable profits but may be able to deduct taxes.
- *Tax Threshold*: - This refers to the level of income at which tax commences to be levied. A Taxpayer with income below the threshold level would be exempt from income tax.

- *Tax Sparing Credit:*

Denotes a special form of double taxation relief in tax treaties with developing countries. Where a country grants tax incentive to encourage foreign investments (e.g. tax holiday in respect of profits of e.g. a company carrying on a pioneer industry) and that company is a resident of another country with which a treaty has been concluded for the relief of double taxation, the other country may give the company "tax sparing" relief. This is achieved by the other country giving a credit against its own tax for the tax which the company would have paid if the tax had not been "spared" (i.e. given up) under the provisions of the tax holiday rules.

The purpose of tax sparing relief is to prevent the loss of a double taxation credit from negating the incentive offered by the tax holiday etc. provided for in the country which is seeking to encourage foreign investment.

- ***Amortization****:* allocating the cost of an intangible asset over its useful life. Certain intangible assets i.e. those with an indefinite life (goodwill) may not be amortizable. Intangible assets such as patents and copyrights however are generally amortizable.

- ***Arm's Length Principle****:*

A concept frequently used in tax legislation to refer to unrelated parties dealing with each other wholly independently. When business is transacted between 2 persons, one of whom controls the other, or both of whom are controlled by a third party (e.g. the supply of goods and services between affiliated companies, grants of loans between the company and shareholder etc.) the prices and terms of the transactions may differ from the prices and terms which would prevail in transactions between unrelated parties (inflated or deflated buying or selling prices, excessive or inadequate royalties, interest free loans etc). An arm's length is the price independent parties would have agreed upon under the same or similar circumstances.

Application of arm's length principle is not easy to implement because normal market prices are often unavailable for one reason or another (e.g. there may be no similar transactions because no other sales are made for the particular item, the transactions may involve the sale of component parts to be assembled into a final product, or the product may be an intangible such as a patent or trade mark).

- **Effective rate of tax:**

The Taxpayer's actual tax liability (or a reasonable estimate thereof) expressed as a % of pre- tax income base rather than as a % of taxable income i.e. tax rates which take into account not only the statutory rate, but other aspects of the tax system which determine the amount of tax paid. The effective rate of tax indicates the real economic burden as opposed to the relationship between the tax liability and the profits etc. as artificially adjusted for tax purposes. Typically, although not necessary, a calculation of the effective rate of tax will take into account the effect of tax deferrals.

- ***Fair Market Value:*** a price a willing buyer would pay a willing seller in a transaction on the market. Fair market value is a concept which is used where taxes are based on the value of the property, but there is the realistic transaction value available.
- ***Associates:*** This is defined in section 3 of both the Income Tax and Value Added Tax Acts. This term has recently been considered by the Court of Appeal in the case of **Celtel vs. Uganda Revenue Authority Civil Appeal No 22 of 2006,** where it was held that an

employee is an associate of the employer for the purposes of the VAT Act since they acted in accordance with the directions of their employer.

SOURCES OF REVENUE LAW:

Article 152(1)

"No Tax shall be imposed except under the authority of an Act of Parliament".
The law relating to taxation is therefore based on Acts of Parliament, and although these Acts have in many cases been subject to considerable judicial scrutiny. There is no common law of taxation. The main sources of tax law are therefore the creating or amending or consolidating Acts.

Another source of tax law is the cases. Cases are authorities in the usual way according to the rule of precedent. A tax case may involve two distinct issues:

(a) The extent of a charge to tax imposed by an Act of Parliament, and

(b) Whether the facts are such as to bring the tax payer within that charge.

Decided cases are a source of revenue law in so far as they bear upon the first issue, that is, the meaning and effect of a statutory provision.

A tax payer is assessed to tax initially by the Revenue Authority. If he disagrees with the assessment either as a matter of law or fact or both, he may object to the Commissioner and the Commissioner may allow in whole or in part or dismiss in whole the objection. Tax Procedures Code Act. In the U.K, the general rule is that the Commissioner's findings of fact are conclusive and may not be appealed against, whereas an appeal will lie to the High Court, Court of Appeal and to the House of Lords on a point of law. It has been held by the H.O.L in *Edwards vs. Bairstow (1956) AC 14* that a determination of facts by the Commissioners can only be set aside if, in the words of Viscount Simmons; "*it appears that the Commissioners have acted without any evidence or upon a view of the facts which could not reasonably be entertained*". Or as Lord Radcliffe put it; "*where the true and only reasonable conclusion contradicts the determination of the commissioners*"

In other words, a Judge can only set aside the decision of the Commissioners if they have not acted judicially. A Judge cannot interfere simply because he disagrees with the result and would himself have reached a different conclusion. Tax cases are very often decided on the basis that the Court cannot say that the commissioners have gone wrong in law, and such decisions are of little use, if, however, the court concludes that the commissioners have misconstrued or misunderstood the law, their decision may be set aside and such decisions of the High Court and above on matters of law are sources of revenue law to which reference must be made and are subject to the normal doctrine of precedent.

Until 2017, the situation in Uganda was that the Uganda Revenue authority would assess the tax and the tax payer was entitled to object to that assessment to the Commissioner General who would be obliged to make an objection decision. If the tax payer was still dissatisfied with the objection decision, the taxpayer had a choice- either to take his complaint to the Tax Appeals Tribunal for review or to take the dispute to the High Court by way of Appeal or by ordinary suit(plaint). This was decided in the Court of Appeal in the case of Rabbo enterprises vs. Uganda Revenue Authority where that Court held, upholding the inherent jurisdiction of the High Court that an aggrieved tax payer had a choice of forum. He was entitled to go to the Tribunal or to the High Court. That decision was approved ten years later by the Supreme Court in Meera Investments vs. Commissioner General of Uganda Revenue Authority. The Supreme Court has now reversed Meera Investments and held that all tax matters must originate from the Tax Appeals Tribunal and that the High Court has no original jurisdiction to hear tax matters. See Uganda Revenue Authority vs. Rabbo Enterprises Limited and another. Thus, the position is that the Commissioners determination of facts is subject to review by the Tribunal consistent with section 21 of TATA which provides that in a proceeding before the tribunal, the Tribunal may take evidence on oath, and to summon people to give evidence, produce books, documents etc.

3. Practice Notes

See Tax Procedures Code Act and the current practice notes made in 2001, 2002, 2006, 2007 and 2008, under the ITA dealing with different matters.

4. Private rulings

See Tax Procedures Code

THE FUNCTIONS AND OBJECTIVES OF TAXATION

A conventional view of the taxation system. The original aim of taxation was to provide the revenue necessary to fund State functions. At present, this is only one of several aims, because the tax system is now also used for broader socio-economic purposes. In seeking to explain the current role of the tax system, conventional theorist such as Allan, or Musgrave, begin from the proposition that, in a perfectly competitive economy, the problems of production, distribution and exchange would be solved by the competitive process itself, the free actions of men pursuing their personal desires in free markets *[C.M. Allan, The Theory of Taxation (Penguin Books, 1971)] at P.13.* Thus, in theory, entrepreneurs in a free market would attempt to maximize profits, but would be restrained by market forces from over-exploiting their positions, similarly, workers would attempt to maximize pay and conditions, but again market forces would restrain them from obtaining more than the value of their labour and its products. In these circumstances, the self-regulating markets find its own balance. By definition the exchanges between persons in such a market would be "fair", because unless both parties to a transaction received an acceptable benefit they would refuse to exchange money for goods (or vice versa). If this is so, why then do Governments impose taxes? The conventional answer given is; because the market is not in fact in a state of perfect competition. *J. Waincymer in Australian Income Tax Principles and Policy, 2nd ed. (Buttrerworths 1993) Ch.1*; also notes that the economic analysis itself is limited by the lack of consensus among economists, the fact that economics focuses on efficiency and tends to ignore or devalue other factors, and the fact that it ignores social and political consequences (such as equality and social justice).

From this perspective there are three main factors which create a need for taxation:

i) The need for Governments to provide social and merit goods;
ii) The need for Governments to support those for whom a free market would not otherwise provide; and
iii) The intentional use of taxation to correct other free market imperfections.

(i) **Provision of social and merit goods:** Allan argues that the free market operates upon two principles:

a) ***Exclusion:*** i.e. those who do not pay the market price for goods are excluded from the consumption of those goods; and

b) ***Revealed preference:*** the market operates upon information revealed by consumers about consumption preferences. Consumers reveal their preferences for particular goods through their consumption patterns (i.e. if persons want to eat a manufactured chocolate, they must go out and buy one, thus "revealing" their preference for chocolate rather than BB Soda), and the market then organizes itself to supply those revealed preferences.

The principles of exclusion and revealed preference will tend to be effective in organizing the production, distribution and exchange of private consumption goods – i.e. those goods where supply is finite and consumption by one person excludes others from consumption of the same goods. Market forces are able to cater for the supply of such goods, it is argued, because the principles of exclusion and revealed preference provide the market with the necessary information about demand.

However, market forces will be less able to provide efficiency for goods which do not activate the exclusion and revealed preference principles, and which thus do not provide the necessary market information. Two such categories are social and merit goods.

Social goods: Social goods are characterized by "joint" (or "non-rival") consumption and "non- excludability". An example is street lighting, because the more the street lighting that one person receives, the more benefit everyone in that area receives.
Hence the market may not obtain accurate information on the extent to which potential consumers want, need or value street lighting, and therefore may tend not to supply them adequately. On this view, social goods therefore must be provided by the State rather than by the market per se.

Merit goods: In the case of merit goods (i.e. simplistically, goods which are deemed to be "beneficial" to their user such as education, health, foods, and so on), the problems in ensuring adequate supply through free market forces arise mainly because of the factors of ignorance and externalities.

a) ***Ignorance***: People may be expected to make rational consumption choices in relation to goods which give rise to easily comprehended benefits and costs. It is comparatively easy, for example, for people to perceive that clothing or housing provides warmth and protection, and thus consumers can calculate the extent of their needs for such products.

   However, other goods may have costs and benefits which are less easily perceived or evaluated, because, for example, the nature of the costs and benefits may not easily be understood, or consumption of the goods may precede any possibility of cost/benefit evaluation.

b) ***Externalities***: The free market's effectiveness in supplying merit goods is also reduced by difficulties in perceiving and evaluating externalities, i.e. the effect of one person's actions upon others.

   To correct for the perceived inadequacy of consumer's analysis of the effects of their behavior, a Government might attempt to discourage consumption of certain ("demerit") goods, e.g. by imposing heavy discriminatory taxes upon such goods or their component materials or might attempt to encourage consumption of other ("merit") goods through subsidies or tax benefits.

   This is an example of the way in which taxation may be used either directly (to fund the supply of goods) or indirectly (through onerous taxation on the one hand, or benefits or subsidies on the other) to modify patterns of supply and consumption of goods and intangible items.

(ii) **Support for those whom a free market would not provide**. Taxation is also required to enable Governments to support those whom a free market would not otherwise supply.

Even where free market forces do make necessary goods available (such as food, clothing and education), there may be a person in the community who cannot pay the market price for these goods. Yet society deems it desirable to ensure that all citizens have food, clothing and education; taxation is used to achieve this aim, for example, by using tax revenues to fund health and Universal Primary or secondary Education or by making cash grants to those in need.

(iii) **Correction of other free market imperfections**. Free market forces may create what the political or wider social perspective regards as other market imperfections requiring correction. Examples of such market imperfections might include monopolies, which may cause prices and supply levels to be set arbitrary at non- optimal levels and wasteful competitions, as where competing airlines use the same routes at the same time, with each company operating at less than optional capacity.

Of course, taxation is not the only method of correcting free market imbalances or imperfections, nor is it necessarily the best method, more direct methods might include:

- Correcting consumer ignorance through advertising and labeling laws;
- Controlling demerit goods through quotas, or food and other health restrictions;
- Controlling location of dangerous industries through zoning laws; and
- Controlling or prohibiting monopolies, price fixing and other "undesirable" market dealings through trade practices and similar legislation.

The use of the criminal law might be another potential control mechanism. Similarly, a Government may use taxation to attempt to:

- Accelerate the rate of economic growth- by using taxation subsidies to correct investors' ignorance of long term external benefits of investments;

or

- Maximize economic stability – by using tax smooth out trade cycles, or to reduce inflation or unemployment (e.g. by increasing taxes or lowering subsidies when excess private expenditure threatens to cause inflation).

Problems in using taxation for social engineering:

Taxation is a powerful and intrusive tool, which can sometimes be effective in modifying private behavior to reflect more closely a Government's policy objectives (at least where there is some elasticity of demand). However, the use of taxation in this way has a number of problems, including the following:

a) *Taxation is a blunt instrument* – tax rules are usually framed in general terms and apply to broad groups or classes of persons (such as spouses, primary producers, employers), who are all treated in the same way. The tax system is not inherently well suited to dealing differentially with disparate individuals in a single category, although granting broad discretions to the Commissioner enables solutions to be tailored to individuals in some cases. However, discretionary powers get easily abused.

b) *Taxation is an indirect instrument* - it is sometimes, therefore, difficult to predict how effective a tax will be in achieving its stated aims.

c) *Taxation may create unintended or undesirable side effects.* For example, it has been argued that a high level of income taxation lowers the incentive to work and save because the bulk of additional earnings are lost in taxation. However, such issues are rarely straight-forward for example, the relationship between progressivity and incentive is complex.

d) Studies tend to show that people think *tax is a disincentive for others*, but not necessarily for themselves, and progressivity may be disincentive for some, for others (such as persons with fixed levels of post-tax outgoing), progressivity may actually *increase* work effort.

   [*D.S. Collins "The issue of progressivity in Personal Income Tax Reform: A case Against Flat rate of Income Tax" In P.D. Groenewegen (ed); Australian Taxation Policy (Melbourne Longman Cheshire 1980) at P.254]*

Criteria for evaluating a taxation system -General outline:

Assuming that a society has (or is considering creating) a particular tax system – i.e. how does one identify a "good tax system"? Many years ago McCulloch suggested that: "*Whoever hopes a faultless tax to see Hopes what ne'er was, or is, or e'er shall be"*

Be that as it may, as *Prof. R.W. Parsons observes in Income Tax – An Institution in Decay Australian Tax Forum, Vol. 3 No.3 (186) 23*3; " A tax will not have respect, and will not deserve respect, unless it is coherent in principle and has a claim to fairness …"

Accordingly, it is important to identify some guidelines or criteria by reference to which a tax or tax system may be judged, and proposed reforms evaluated.

A number of functional criteria have been suggested which can be used to judge the performance of a tax system *(F. Smith, The Wealth of Nations, Book V. Ch.11).*

Fairness or equity: As a general principle, almost everyone would expect a taxation system to be fair (i.e. "equitable"). Indeed, fairness is practical as well as moral necessity – a system that is perceived by taxpayers generally as basically unfair or discriminatory is unlikely to enjoy widespread support. Perpetuation of an unfair system may eventually provoke an informal "taxpayer revolt" in which significant numbers of taxpayers seek to avoid or evade their tax, liabilities or more formal revolt in which taxpayers seek to remove (perhaps forcibly) the tax or the Government which imposes it.

General problems in measuring "fairness".

The problem is that there is a wide diversity of views on how to measure the "fairness" of a particular tax system. Similarly, views may differ on whether a particular system is *sufficiently* fair.

In tax matters, fairness is an ideal exceedingly difficult to define and harder still to measure.

A divergence of views on the meaning of fairness is significant, because different perspectives may lead to support for markedly different types of tax systems. Thus, persons defining fairness in terms of merit may tend to favour a system with low marginal rates in terms of income tax, and no capital gains, death or wealth taxes. Persons viewing the matter from a social quality or "needs" perspective are likely to favour a system with high personal income taxes and wealth, death and capital gains taxes designated to redistribute wealth.

Even if agreement could be reached on definition of "social justice", there remains the question of how much priority social justice should be given in taxation policy – even assuming the better-off should pay more tax, how much more tax should they pay? Again, there is no definite or objective answer to this question.

Particular difficulties with horizontal and vertical equity.

Traditionally, two particular aspects of equity are identified "horizontal equity" (people in similar positions should be treated similarly) and "vertical" equity (persons in different positions should be treated differently, with those who are better off bearing an appropriately heavier burden).

The problem with horizontal *equity* as an ideal is that, while persons with the same "taxable income" can be required to pay the same amount in income tax, this will only produce "fairness" if taxable income is the appropriate measure of a taxpayer's economic wellbeing. The problem is that two persons (X and Y) each earning shs.3m= p.a. may not be in the same overall economic positions – e.g. because X has no dependants, whereas Y has a dependent spouse and three children. In these circumstances, X arguably is in a stronger financial position.

Vertical equity is also intrinsically meritorious, but it too is often difficult to achieve in practice – for reasons similar to those discussed above in relation to horizontal equity.

Moreover, as indicated, views may differ as to the appropriate degree of unequal treatment which the tax system should embody (e.g. how much more income tax should be paid by a person deriving taxable income of shs.5m= p.a. than by a person deriving shs.3m=.

Overall, then it may be said that while most persons would see equity or fairness as a most desirable attribute of a revenue system, if it is often quite difficult to structure a taxation system in such a way as to ensure that both horizontal and vertical equity are simultaneously maximized.

Simplicity: "Simplicity" is referred as being, after equity, perhaps the next most universally sought after of qualities in individual taxes and tax systems as a whole.
A tax may be described as "simple" if the cost of official administration and collection and the "Compliance costs" (the costs in money and effort involved in taxpayers meeting their obligations) are low. These costs will be minimized if both the assessor and taxpayer can establish easily and with certainty the tax payable, and the number of dealings taxpayers are required to have with Government departments is minimized.

There can be no doubt the Ugandan income tax law had become much less simple by the 1990s. For example, it had become much more voluminous with the original Income Tax Decree 1974 being amended annually in Finance Statutes until 1996. It also became inherently more complicated, with a lot of taxpayers and lawyers commenting on the "extraordinary complex" Income Tax provisions which "must be obscure, if not bewildering both to the taxpayer who seeks to determine his or her liability by reference to them and to the lawyer called upon to interpret them".

These difficulties exacerbated by continued use of the tax system for complex "social engineering" purposes, the introduction of political concession and the like.

Compliance costs. The importance of taking adequate account of compliance costs in formulating and evaluating tax policy need not be emphasized. A tax payer's compliance costs will include costs of collecting tax revenue, accounting for it and remitting it to Uganda Revenue Authority. These costs may be monetary (e.g. fees for advice or assistance paid to professional advisers), time costs (in keeping records or completing returns), or physiological costs (e.g. anxiety caused by inability to understand complex laws). Compliance costs may be "regular" (i.e. on-going) "temporary" (as where an existing tax is exchanged), or "Commencement" (once only start-up costs) and may be offset to some extent by benefits flowing from compliance, as where information obtained during compliance procedures enables taxpayers to manage their business or personal affairs more efficiently.

Key characteristics of compliance costs:

- They tend to be more diffuse, less visible and more likely to be overlooked than administrative collection costs.
- They are often capricious in their incidence and regressive in their impact; and
- They tend to be resented more by taxpaying population than administrative costs.

The level of compliance costs can play a crucial role in determining the practicability and the success of particular taxes. For example, in relation to the U.K. VAT (Value Added Tax).

- Net compliance costs to taxpayers represented 7.6% of tax, revenue in 1977/78 and an estimated 4.4% in 1983/84;
- Compliance costs were markedly regressive, bearing proportionately much more heavily on small firms than on large; and
- Roughly 40% of compliance costs and 55% of administrative costs were incurred by 69% of traders, who generated less than 5% of total revenue.

In Australia, Pope and Fayle found that the average income tax compliance cost for each taxpayer in Australia for 1986 was $455, and the total represented some 8.3% of ATO revenue. [C. Evans et al, "taxpayer compliance costs: some recent empirical work and international comparisons].

More recently, at the Third International Conference on Tax Administration (Sydney, April 1998), a series of papers addressed the issue of compliance costs.

In one paper, Evans et all estimated that for the 1994/95 fiscal year, Australian Federal taxpayer compliance costs were around 56.2bn, or approximately 7% of all federal tax revenue, and 1.36% of Gross Domestic Product.

Evans et al also found that, for 1994/95, there were significant differences in the level of compliance costs between different types of tax. For example, income tax compliance costs

were $4.550bn (51.3%) of business compliance costs); CGT costs were $349m (3.9%); FBT
$468m (5.3%) wholesale sales tax $737m (8.3%) and PAYE $1.27bn (14.3%).

Certainty: There are four aspects of "certainty".

a) *Certainty of incidence*: the degree of certainty with which taxing authorities can predict who will actually bear the burden of the tax. There can often be a significant difference between the intended and ultimate actual incidence of a tax.

b) *Certainty of liability*: the ease and accuracy with which liability to tax can be assessed. Retrospective legislation causes particular difficulties in relation to certainty.

c) *Evasion ratio*: the extent of evasion and avoidance, and the certainty with which the taxing authorities can overcome avoidance and evasion techniques, and extract the revenue taxpayers.

d) *Fiscal marksmanship*: the certainty with which taxing authorities are able to predict the revenue which will be collected in a particular year.

Efficiency /neutrality: One important aspects of efficiency is administrative efficiency i.e. minimization of administrative and compliance costs.

Neutrality is another key aspect of efficiency. In general, the tax system should aim for "*neutrality*". That is, the tax system should be neutral as between alternative business or consumption choices.

The impact of tax should not influence individual or business choices by distorting or altering the costs (and therefore attractiveness) of alternative goods, different modes of investment or different activities.

Governments may nevertheless intentionally interfere through taxation in free market dealings in order to increase output or consumption of particular goods or services, or to discourage the output or consumption of other goods or services. Such non-neutralities should be introduced only in a deliberate and explicit way for proven explicit and quantified purposes after it had been shown that other approaches (such as tariffs, subsidies, monetary control and the like) were likely to be less effective.

Schedular Nature of the ITA

According to K**evin Holmes, the Uganda Income Tax Act 1997**, The different means by which the rental and income of small business people are taxed, compared with all other people who derive taxable income, means that the Uganda income tax system is scheduler, i.e. it is not a global tax system which taxes all of an individual's income in the same way.

Specifically, under global system of income tax, all income, regardless of its source, is aggregated and subjected to a single tax schedule. The purpose of the global approach is to distribute interpersonal tax burdens, vertically and horizontally, according to the ability to pay. Aggregating income under a global tax renders a progressive tax scale more effective (thus, better achieving vertical equity between taxpayers) and does not discriminate between income from different sources (thus better achieving horizontal equity).

Taxing under scheduler system identifies income by source and imposes a tax, sometimes at different rates, separately in the income derived from each source classification. Schedular income tax systems undermine the principle of horizontal equity (and tax efficacy) and therefore, any merit the inequities in the income tax systems. Probably no country has a complete global system. In Uganda, the system is schedular to the extent that different sorts of income or income earners are taxed in different ways, but relatively global in that most income is taxed under the general rule relating to determination and taxes of chargeable income.

THE CHARGING SECTION -4(1)

Section 4(1) is the section that imposes income tax. Such a section is often referred to as the "*charging section*" of a tax Act. Conceptually, it is the starting point in applying the provisions of the ITA. In other words, the logic of the ITA requires that you apply this section first before branching out to others. To correctly apply section 4(1), it is important to identify the key words used therein which have been given a tax meaning in the interpretation section. These words include, "*Year of Income"*, "*chargeable income"* "*person* "

The two major exceptions to the general rule laid down in section 4(1) are seen in section 4(5) and in section 5 which imposes presumptive tax and rental tax respectively. The other exception has been given by the Supreme Court in the case of ***Attorney General vs. Masalu Musene***, a decision that is correct on substance but wrong in its final orders. In that case lower judicial officers petitioned the Constitutional Court for orders that section 4(1) did not apply to them. Their argument was based mainly on the practice where higher judicial officer's emolument is not taxed and on the provisions of Article 128 (7) of the Constitution which provides that a judicial officer's emolument shall not be ***varied*** to his or her disadvantage. The Supreme Court held that the imposition of taxes to the judicial officer's salary was not a ***variation*** of the judicial officer's salary and is therefore not unconstitutional. However, the Court also held that since the Attorney General had not sought to stay the decision of the Constitutional Court, it would be unfair to ask the judicial officers whose income had not been taxed for the three years after that judgment to pay taxes on that income.

1.0 DEFINITION OF A TAX

It is important to first understand what taxation is from which can be derived from the definition of a tax. Taxation can simply be defined as the imposition of duties by the government for the raising of revenue. It is also a device used by the government to raise revenue and is created only by statute.[1]

Taxation encompasses all burdens and charges imposed by the sovereign upon persons and property for the use and support of government activities.[2]A tax is therefore a charge or burden imposed by a sovereign and created by statute for purposes of raising revenue to finance activities of the sovereign.

The Oxford dictionary also defines a tax as a compulsory contribution to state revenue levied by the government on workers' incomes, business profits or added to the cost of services, transactions and goods.[3]

A tax was also defined in the case of *Matthews v. Chicory Marketing Board,*[4] by Latham CJ as a compulsory exaction of money by a public authority for public purposes, enforceable by law, and is not payment for services.

A tax goes through two phases, that is, the levying and imposition of the tax and the collection of the tax.[5] The first phase consists of provisions of the law that create the tax and these provisions must define the tax, the property or person to be taxed, the rate of the tax, the time within which the tax is due and the sums to be raised. The second phase consists of the means of enforcement of payment of the imposed tax.

These two phases can be illustrated by the Lotteries and Gaming Act of 2016. S.48 of the act creates a gaming tax and imposes it on any operator of casino, gaming or betting activity. Under schedule 4 of the Lotteries and Gaming Act, the rate of the tax is also defined as being 20% of the total amount of money staked less the total amount of winnings or payouts.

Phase two, which is about enforcement of payment of the tax, is embodied in S. 54 of the Lotteries and Gaming Act. The section states that any tax due is considered a government debt and can be recovered as a civil debt. The section also gives the commissioner powers to seal off the premises of the debtor, to institute distress proceedings and to invite debtors of the defaulter to pay their monies directly to the commissioner. These all enable the tax authority to enforce payment of the tax.

5 Bakibinga, op cit note 1.

1 Bakibinga J David, *Revenue Law in Uganda* (Law Africa Publishing, Nairobi, Kampala & Dar-es-salaam, 2012)

2 ibid

3 Lexico, the *meaning of tax in English*, Available at https://www.lexico.com/definition/tax (Accessed March 6, 2021)

4 (1938) 60 CLR at 236

5 Bakibinga, op cit note 1.

Taxes have two general attributes. The first is that a tax is must be imposed for public purposes because it feeds the public treasury. The second is that a tax is a statutory liability and does not depend on consent between the taxing authority and the taxed subject.[6]

The first character was illustrated in the case of *R v. Barger.*[7] In this case, the Common Wealth passed the Excise Tariffs Act of 1906 which placed a duty on certain agricultural machinery but placed an exemption for those manufacturers who paid "fair and reasonable" wages to their workers. Barger failed to pay the tax and was sued. The issue of contention was whether the act was in substance really a tax or just a means of controlling the labour industry. The majority of the court held that the purpose of a tax is to raise money for the government and in this case, the purpose of the Excise Tariffs Act of 1906 was to regulate the labour industry and not raise money for the government. The act was therefore of no effect as a tax. The take away from this case is that the purpose of a tax should be to raise money for the government to be used for public purposes.

1.1 OTHER DEFINITIONS

1.1.1 Direct Tax

This is a tax levied on an individual or company basing on that individual or company's ability to pay. The impact of a direct tax is on the individual or company and cannot easily be transferred. [8]

An illustration of a direct tax is the income tax. S. 4 of the Income Tax Act states that an income tax is charged on the gross income of an individual and for businesses, the gross turnover of the business is taxed. This illustrates the fact that income tax depends on ability stated as income or turnover.

1.1.2 Indirect tax

This is levied on certain articles of consumption and the tax liability depends on the volume of goods purchased or sold. It can be summarized as a tax on expenditure or consumption.

An example of an indirect tax is the Value Added Tax. Under the Value Added Tax act, VAT is payable on every taxable supply made by a taxable person, every import of goods and every supply of imported services. The tax is paid by suppliers or importers. What happens on the ground is that these suppliers or importers then

[8] Bakibinga, op cit note 1.

transfer the tax on to the price of the item and the consumers, therefore, end up indirectly paying the tax.

1.1.3 Tax burden

There is no strict definition of tax burden but it can be defined in several ways. The Cambridge dictionary defines tax burden as the total amount of tax paid by a group of people or an industry

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6 ibid

7 (1908) 6 CLR at 41

8 Bakibinga, op cit note 1.

especially in comparison to what other groups of people or industries pay. Tax burden can also be defined as the weight or impact of taxes on the income of an individual or the population as a whole.

The general test of how burdensomeness a tax is the effect of the tax on the income available for other purposes. For example, a tax can be said to be burdensome if it increases with no equivalent increase in income of the individuals. Tax burden can be measured either using tax per capita or ratio of taxes to national income.

1.1.4 Tax Incidence

This refers to the effect of taxes on prices and the welfare of individuals. It is also used to examine the distribution of the tax burden between buyers and sellers. The distribution of the tax burden depends on the elasticity of supply and demand, that is, when supply is more elastic than demand, the tax burden is borne by the buyers and when demand is more elastic than supply, the burden of the tax is borne by the suppliers.

An example that can illustrate this is that of cigarettes as compared to luxury hotels. Cigarettes have inelastic demand and when a tax is placed on cigarettes, the producers can transfer the tax to the price in form of an increased price without affecting the demand. The tax burden, therefore, falls on the consumers.

On the other hand, luxury hotels have an inelastic supply and therefore when a tax is introduced; it has to be absorbed by the suppliers because they cannot get out of that business and if they transfer the tax on to the price in form of increased price, the consumers will not take on the product.

Lastly, tax incidence can be used to determine or estimate how much revenue a tax will bring in. Inelastic markets generate more revenue because the tax does not reduce demand or supply as compared to elastic markets.

1.1.5 Progressivity, Proportionality and Regressivity.

A proportional tax is the same for everyone.[9] It is also called a flat tax and an example of that is the Over the Top Tax (OTT).

A progressive tax is one where the rate is higher for some than others.[10] This variation could come in as a result of variation in consumption or income. An example is the Pay As You Earn tax which is an income tax. Under this tax, a person whose

[10] ibid

chargeable income is less than235, 000 does not pay the tax. A person whose chargeable income is above 235,000 but does not exceed 335,000 pays 10% of the amount by which the chargeable income exceeds 235, 000. A person whose chargeable income is more than 335,000 but not exceeding 410,000 pays 20% of

9 Pickett Thomas, " Rethinking Progressive Income Tax," in *Capital in the twenty-first century* (Cambridge, Massachusetts: 2014)

10 ibid

the amount by which the chargeable income exceeds 335,000. Lastly, a person whose chargeable income is more than 410,000 pays 30% of the amount by which the chargeable income exceeds 410,000 and where a person's chargeable income exceeds 10,000,000 an additional 10% is charged on the amount by which the chargeable income exceeds 10,000,000.[11]

A regressive tax is one whose rate is lower for the richer and this can come about through exemptions or tax evasions.[12]

1.1.6 Tax haven

Tax havens can be defined as countries or areas with conducive legal systems that enable foreign individuals or businesses to transfer their assets, incomes or capital to reduce the tax burden in their home countries.[13] The purpose of the transfer is to enable such individuals or businesses to reduce their tax burden.

They have the following characteristics;[14]

(i) They have low or no taxes on certain assets such as shares, intellectual property rights and bonds and these are usually given as incentives to foreign individuals.
(ii) There is relaxed regulation regarding legal entities, for example, companies or entities can hide their real owners.
(iii) There is no need to conduct business on the territory because the major purpose of the tax havens is to avoid taxes
(iv) They have secrecy obligations, that is, there is no requirement for public registration of companies, there is no obligation to provide information to foreign tax authorities and secret bank accounts

Tax havens operate by means of legal entities called offshore companies.[15] Offshore is used in the sense that the taxpayer is operating away from the tax jurisdiction of his home country. These legal entities include trusts, holding companies and investment companies. An example of this is a trust.[16] This is formed between a founder, a trustee and a beneficiary. The founder transfers his assets which can be real or intangible to the trust to be managed by the trustee and nothing stops the founder from being the beneficiary. In most systems, a tax only accrues when the property is transferred from the trust to the beneficiary. To avoid this tax, the founder retains full control over the assets or properties while hiding behind the cover of the trustee. This entity is helped by the fact that most tax havens have a lot of secrecy.

16 ibid

11 URA, "Income Tax rates for individuals," Available at https://www.ura.go.ug/Resources/webuploads/INLB/PAYE%20New%20Rates (accessed 10/3/21)

12 ibid

13 Joseph Okuja, *Domestic & International Taxation in Uganda: the law, principles and practice* (TASLAF Advocates & Consultants, 2019)

14 ibid

15 ibid

16 ibid

There is also the use of branches. This involves a taxpayer setting up a branch in a country within which it operates called a permanent establishment. Double Taxation Agreements can be used to exclude tax liability on some of the income of the taxpayer because they allow for separation of income and deductible costs between the permanent establishment and the actual enterprise.

The use of branches was seen in the case of *Heritage Oil and Gas Limited v. Uganda Revenue Authority.*[17] In this case, Heritage Oil had exploration rights and interests in the Albertine region which it sold to Tullow. Heritage was registered in Mauritius and Uganda and there existed a double taxation agreement between the two states. URA assessed a tax on the transaction which Heritage objected to on the ground that it was a settlement and not a sale of immovable property and as such, no tax of that nature was provided for under the tax laws of Uganda. The Tax Appeals Tribunal held that the purpose of a double taxation agreement is to avoid payment of tax twice and that the purpose of the agreement is not to avoid taxes. On the argument by the Heritage that there was no law covering the taxation of such a transaction, the tribunal held that the transaction involved the transfer of interests in immovable property which was a taxable transaction both under the Double Taxation Agreement and the Income Tax Act of Uganda. The tribunal stated that to determine whether there exists a tax on a transaction, both the double taxation agreement and the tax laws of the state in question must provide for that tax and in this case, since the transaction was found to be a transfer of immovable property, and a tax on such transactions was provided for both in the double taxation agreement and the Income Tax Act of Uganda, then such tax had a proper founding in law and was validly assessed. Further, on the division of tax liability between Mauritius and Uganda, the double taxation agreement allowed business profits attributable to and activity carried on in Uganda to be taxed in Uganda. Therefore the tax was payable to URA.

1.1.7 Tax base

A tax base can simply be defined as the handle upon which a given tax is levied.[18] It involves measuring the ability to pay a given tax unit or the existence of taxable surplus in a given economic activity.[19] Using an example of personal taxation, there are three bases, that is, income, consumption and wealth and fiscal theory demand that all these bases must be relied on. In Uganda's tax system, the bases used for personal taxation include income/profit for income tax, capital gains for wealth taxes, import value for customs taxes and turnover for VAT.[20]

[20] ibid

In Uganda, the tax to GPD ratio is 11-13% which is still low and stagnant compared to other nations in the sub-Saharan region and one of the reasons given for this is the failure of the taxing

17 TAT Application- 2010/28 [2012] UGTAT 6

18 Private Sector Foundation Uganda,(PSFU) *widening Uganda's tax base and improving tax administration* (Kampala: 2009),10

19 ibid

21 ibid

authority to widen the tax base.[21] One of the causes of Uganda's narrow tax base is the growth of the informal sector where most of the taxable surplus is kept out of reach of URA. An informal sector can be defined as one whose businesses have limited documentation of transactions and little or no tax payment history. It is made up of bodaboda riders, hawkers, small scale money lenders, carpentry and graphics and design among others. These have very poor record-keeping and thus make it hard to assess their tax liability. The implication of this is that the tax base in regards to the informal sector is not fully maximized.

The Public Sector Foundation in its report suggested several tax systems that can be used to penetrate the informal sector through taxation. The first is the Net-worth method. Under this method, the taxpayer has to make a declaration as to the assets acquired during the year of assessment and the expenditure. The difference then creates the tax base for assessing that tax payer's liability.

Another method is the standard assessment method under the presumptive taxation system. Under the standard assessment method, there is a fixed tax on individuals or businesses depending on the business or occupation in which they are involved. There is a presumed income level in particular businesses or occupation which acts as the tax base and the presumption of income can be based on several indicators such as number of employees and the quantity of machinery used. This method is good for penetrating businesses or occupations where there is a lot of understatement of income

22 ibid

23 ibid

2.0 STRUCTURE OF UGANDA'S TAX SYSTEM VIS-A-VIS THE THIRD WORLD AND OECD COUNTRIES

Tax structure refers to the manner in which tax policy is turned into tax legislation that can be administered by the tax authority and complied with by the taxpayer.[22] The principle purpose of taxation is to raise funds to finance public expenditure and this, therefore, calls for a system that can guarantee that this happens.[23] The choice of a tax structure largely depends on many factors including the level of development, the administrative capacity to collect taxes effectively and the need to finance desired public expenditure.[24] This, therefore, means a tax system should be efficient enough to raise adequate resources. Taxes need to be imposed in a manner that provides fiscally sustainable that is to say without adverse macro-economic consequences but also in a manner that provides fiscal flexibility in the future. The taxes that make up a tax system must be designed in a way that prepares them for any broad economic developments that affect the tax base.

The Tax system in Uganda is a two-tier system that is split between the central government and the local governments. According to the Constitution of the Republic of Uganda, the government has the power to levy taxes,[25] however, no tax shall be imposed except under the authority of an Act of Parliament.[26]

Parliament enacts laws that guide URA in its operations and approves it's policies while Ministry of finance, planning and economic development represents the executive arm in the tax administration, oversees the operations of the URA, drafts government tax policies, funds the operations of URA and ensures proper national budgeting, utilisation and accountability.

The Uganda Revenue Authority under its mother Act,[27] as well as the Local Government Authorities under the Local Government Act,[28] are the bodies clothed with the mandate to collect taxes in Uganda.

2.1 Uganda's Tax Structure

The discussion on tax structure entails the mode of collection and administration of the affected taxes.[29]

Uganda's tax system is comprised of;

29 Bakibinga, op cit note 1., 10

(i) Income taxes,

(ii) Taxes on services and Transactions

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22 Joseph O Okuja, op. cit. note 13, 65

23 ibid

24 ibid

25 Article 191(1) and (2) of the 1995 Constitution

26 ibid, Article 152

27 Cap196

28 Cap 243

29 Bakibinga, op cit note 1., 10

(iii) Taxes on local production

(iv) Taxes on Foreign Trade

2.1.1 Income Tax.

Income tax is the tax payable on the income of a person or profits of a corporation over a period of time.[30] Income tax is charged for each year of income in respect of any person, resident or non-resident, upon all the chargeable income of such person.[31] It is also charged upon the income of any business for whatever period covered as well as those from employment or any right granted to any person for use or occupation of any property.[32] The Income Tax Act is administered by the Commissioner-General of the Uganda Revenue Authority.[33]

2.1.2 Taxes on Services and Transactions.

(a) Value Added Tax(VAT)

This is provided for under the Value Added Tax Act.[34] VAT is a consumption tax that is imposed at each stage of distribution on the value-added at each of those stages. The recognized stages are importation, manufacturing, wholesale, retail and consumer.[35] The VAT statute is administered by the commissioner-general of URA who in practice has delegated his powers to the commissioner for VAT.[36]

(b) Stamp Duty

Instruments such as the transfer of title, property or interest are charged with the payment of stamp duty. The rate of duty stands at 1 per cent.[37] Stamp duty is administered by the commissioner for internal revenue and in most cases through the agencies of the registrar general, registrar of titles and registrar of motor vehicles.[38]

2.1.3 Taxes from local production

Taxes exercised on local production are called excise duty. Exercise duty is a duty charged on the production or use of any goods, whether meant for local consumption or export or on a license to deal in certain products.[39] The structure collection and administration of exercise tax is governed by the East African Excise Management

30 Osborn's Concise Law Dictionary, 320.
31 Income Tax Act, cap 340 Section 4(1) read together with sections 15-20
32 ibid sections 17(1), 18,19,20
33 ibid Sections 2, 156 read together with the Uganda Revenue Act, Section 10.
34 Cap 349.
35 Bakibinga, Value Added Tax Tax: Introduction, Rationale and the law in Uganda (Professional Book Publishers, 1996)p1-3.
36 Bakibinga, op cit note 1, 14
37 Stamps Act, Cap 342, section 2 and schedule item 42 as amended.
38 Bakibinga, op cit note 1., 14
39 Osborn's op. cit note 30,138.

Act, [40] and the Exercise Traffic Act, [41] as amended from time to time.[42] The excise legislation is administered by the Commissioner-General of URA through the commissioner for customs and Exercise. [43]

2.1.4 Taxes from Foreign Trade

Taxes from foreign trade comprises imports and exports principally excise and customs duties. Customs duties are defined as duties or tolls payable upon merchandise imported into the country.[44] Trade taxes are governed by the custom's and exercise Act. [45] Customs duty legislation is administered by the Commissioner- General of the URA through the commissioner for customs and Exercise. [46]

From the foregoing analysis, it can be concluded that Uganda is characterized by direct and indirect taxes. Direct taxes being those levied directly on the earnings of individuals while indirect taxes are those subjected to the goods that people buy.

2.1.5 Local revenue structure

2.1.5.1 Legal provisions for collection of local revenue

The Constitution of the Republic of Uganda, under Article 176 (2) (d) states that "there shall be established for each local government unit a sound financial base with reliable sources of revenue".

The mandate to levy, charge, and collect appropriate fees and taxes is derived from Article 191(1) and (2) of the Constitution which empowers LGs to levy, charge, collect and appropriate fees and taxes such as rents, rates, royalties, stamp duties cess, fees on registration and licensing and any other fees and taxes that Parliament may prescribe.

Article 196 (a) of the Constitution requires each LG to draw up and maintain a comprehensive list of all its internal revenue sources and to maintain data on its total revenue potential. Also, Article 77 (1) of the Constitution empowers LGs to formulate, approve and execute their budgets and plans and to collect revenue and spend it.

Article 194 (4) (d) of the Constitution states that. "the Local Government Finance Commission shall advise the local governments on appropriate tax levels to be levied."

Therefore, Parliament passed the enabling law in the form of the Local Government Act to facilitate this. Section 80 (1) of the LGA (Cap 243) empowers LGs to levy, charge and

40 Cap 24 laws of the East African Community.
41 Cap 338 Laws of Uganda.
42 Bakibinga, op cit note 1
43 ibid
44 Osborn's op. cit note 30,.105
45 Cap 335(Laws of Uganda, 2000 ed)
46 Bakibinga, op cit note 1,15

collect fees and taxes, including rates, rents, royalties, stamp duties, personal graduated tax, and registration and licensing fees and the fees and taxes that are specified in the Fifth Schedule (especially parts III and IV) which contains the Local Governments Revenue Regulations.

Each source is explained in details under a specific Act and Statutory Instrument that includes, among others:

a) The fifth schedule of the Local Government Act, provides for the collection of local service tax, LG hotel tax, and other revenues.

b) Section 98 of the Mining Act,[47] sets out how tax revenue from minerals is shared among government, LGs and owners, i.e. Central Government (80 per cent), HLG (10 per cent), LLG (17 per cent) and individual landowner (3 per cent).

ii. **Collection of local revenues**

Section 85 of the LGA, states that (1) "in the city and municipal councils, revenue is to be collected by division councils"; (1b) "the city or municipal council may, with the concurrence of a division in its area of jurisdiction, collect revenue on behalf of the division." (2) "in rural areas, revenue shall be collected by the sub-county councils; (4) "a district council may, with the concurrence of a sub-county, collect revenue on behalf of the sub-county council." The town councils directly collect their revenues.

The Local Government Act (LGA), Chap 243 Section 80 (2) requires each LG to draw up a comprehensive list of all its local revenue sources from which it expects to collect revenue during the financial year and to maintain data on total potential collectable revenues.

In addition Regulation 33 (1) of the LGFARs (2007), revenue registers shall be used to show details of revenue due, revenue collected and all arrears, including a record of steps taken to collect all arrears. According to Regulation 31 of the LGFARs (2007), the authority for revenue collection is given to the council every year through the approved estimates. On approval of the complete estimates by the local government council, the council may collect the revenue. Therefore, the council must budget for its revenues every year.

Under Regulation 32 of the LGFARs, the head of finance is responsible for ensuring that revenue collectors carry out their duties properly, and to ensure that all revenue due to the council is promptly collected in the approved manner and banked intact.

(i) **Sources of local Revenue to local governments.**

47 Cap 148

The locally raised revenues (LRRs) are expected to be received from within the jurisdiction of the LG. Locally raised revenues are

a) Local Service Tax (LST).

LST is levied by LGs on the wealth and income of the following categories of people: Persons in gainful employment; self-employed and practising professionals; self-employed artisans; businessmen and businesswomen; and commercial farmers.

b) Local Government Hotel Tax (LGHT).

LGHT is levied on hotel and lodge accommodation per room per night and the tax is paid per room occupied.

2.2 Tax Structure in Third World Countries

It is often classified by the following tax systems

2.2.1 Direct and Indirect Taxes

Taxes are classified as direct or indirect. Indirect taxes are levied on goods and services and, thus, only "indirectly" on individuals.[48] Examples are excise duties and sales taxes, import and export duties. Direct taxes are levied directly upon individuals or firms.

2.2.2 Proportional and Progressive Taxes

According to Smith, equality is secured by taxing everyone at an equal rate. This is known as proportional taxation.[49] A progressive tax charges different rates from different income-groups. Under this system, the higher the income the higher is the rate of taxation.

2.3 Tax Structures of OCED Countries

The Organization for Economic Co-operation and Development (OECD) is an international economic organization of 34 countries, founded on 30 September 1961 to stimulate economic progress and world trade. **O**ECD countries are Australia, Austria, Belgium, Canada, Chile, Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Ireland, Israel, Italy, Japan, Korea, Luxembourg, Mexico, Netherlands, New Zealand, Norway, 48 Sanket Suman**,** Tax Structure in Developing Countries https://www.economicsdiscussion.net/taxes/tax- structure/tax-structure-in-developing-countries-with-diagram/12806 (Accessed March 6, 2021)

49 ibid

Poland, Portugal, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, Turkey, United Kingdom and the United States.[50]

2.4 Analysis of the Tax structures.

In Uganda, the direct domestic revenue collection in June 2020 was Ugx. 794.73 billion against a target of Ugx, 1,105.69 billion hence registering a performance of 71.88 per cent. Corporation tax contributed the most to direct domestic taxes collections over the 5 years. The direct domestic tax collections in the FY 2019/20 were UGX 5,878.63 billion posting a growth of UGX
366.95 billion (6.66 per cent) compared to the FY 2018/19. PAYE has consistently contributed the most to direct domestic taxes collections. Corporation tax and Withholding tax have consistently contributed the second and third most to the direct domestic taxes collections respectively.[51]

Indirect domestic taxes collections for FY 2019/20 were UGX 3,874.67 billion against a target of UGX 4,979.12 billion. VAT collections in June 2020 declined by UGX 47.57 billion (20.83 per cent reduction), compared to June 2019. Local Exercise Duty collections in FY 2019/2020 were UGX 1,266.08 billion against a target of UGX 1,662.30 billion registering an outturn of 76.16 per cent.[52]

On average, OECD countries collected 33.7% of their tax revenues through taxes on income and profits (personal and corporate income taxes taken together). Taxes on personal and corporate incomes remain the most important source of revenues used to finance public spending in sixteen OECD countries, and in nine of them - Australia, Canada, Denmark, Iceland, Ireland, New Zealand, Norway, Switzerland and the United States - the share of income taxes in the tax mix exceeds 40%.[53]

The poorest countries collect two-thirds or less of the revenue collected in the richer countries, as a fraction of GDP, an observation that could reflect differences in preferences for public vs. private goods, but that could also be a symptom of problems in tax collection.[54]

Among the richest countries, the main sources of revenue are the personal income tax (42.7%= 54.3% (1–.178) of revenue) and various types of consumption taxes (32.9% of revenue). Consumption taxes are even more important among developing countries (43.5% of their lower

50 What is OECD Countries, Available at https://www.igi-global.com/dictionary/entrepreneurial-pillars-and- women-entrepreneurship-relationship-in-oecd-countries/36862 (Accessed March 6, 2021)

51 Uganda Revenue Authority, ANNUAL REVENUE PERFORMANCE REPORT FY 2019/2020, 6

52 ibid, 6

53 Revenue Statistics - tax structures, Available at http://www.oecd.org/tax/tax-policy/revenue-statistics-tax- structures.htm (Accessed March 6, 2021)

54 Roger Gordona & Wei Li , Tax structures in developing countries: Many puzzles and a possible explanation *Journal of Public Economics* 93 (2009) 855–866.

tax revenue), but the personal income tax is of minor importance, collecting only 16.6% of tax revenue.[55]

The corporate income tax is a much more important source of revenue among poorer countries (19.3% of revenue, compared with 9.7% in richer countries), and tariffs are also important (16.4% of revenue, compared with a trivial fraction in richer countries).[56]

The informal economy on average is only about 15% of GDP among OECD countries, and thus small enough that it should not be a driving factor in the choice of the tax structure. However, among developing countries, the median size of the informal economy they report is 37% of GDP, ranging from 13% in Hong Kong and Singapore to 71% in Thailand and 76% in Nigeria.[57]

3.0 FUNCTIONS AND OBJECTIVES OF TAXATION

Revenue in a country is at the centre stage of all government proceedings and all governments endeavour to find means and methods of finding revenue.

In an ideal world, there would not be a reason for collecting taxes as the markets would regulate themselves and their players. However, seeing as we do not live in a utopian society, the principles of fairness can only apply to a certain extent when it comes to the players in a free market. It is at this point that the regulators of such markets resort to other methods of regulating the markets.

In seeking to explain the current role of the tax system, conventional theorists such as Allan, or Musgrave and Musgrave, begin from the proposition that, in a perfectly competitive economy, the problems of production, distribution and exchange would be solved by the competitive process itself, the free actions of men pursuing their desires in a free market. Thus, in theory, entrepreneurs in a free market would attempt to maximize profits but would be restrained by market forces from over-exploiting their position.

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55 ibid
56 ibid
57 ibid

It is against this background that we can establish the objectives and functions of taxes in society.

3.1 Revenue collection

The main objective of tax collection by governments has always been to raise revenue to finance governments recurrent expenditure. A government needs a constant source of revenue to enable it to function optimally. This expenditure can include an extension of services such as schools, hospitals and payment of workers[58] among others. The need to raise revenue is the primary objective that any government has for the collection of taxes from its people. However, revenue collection is not the only objective as to why the government collects taxes. There are other non- revenue objectives for collecting taxes and these are discussed below.

3.2 Economic stability.

Achievement of economic stability does not come naturally but requires policy guidance without which the economy tends to be subject to substantial fluctuations and may suffer from sustained periods of unemployment and inflation[59]According to the Uganda revenue authority, taxation is used to regulate demand and supply in the economy in times of inflation.

Inflation is defined as the decline of the purchasing power of a currency over time. This is caused by having an influx of cash within the economy which increases the spending power of the power. Therefore, the government will increase tax rates to reduce the money in circulation to control inflation. Similarly, during periods of insufficiency of funds, the government may allow its tax rates to dwindle to allow the people more spending power[60].

It can be said therefore that tax cuts increase disposable income and encourage businesses to hire and invest more which leads to economic development[61].

Preference is however given to expenditure tax in contrast with income tax primarily because income tax reduces the spending power of an individual by reducing the money available to them. On the other hand, though, expenditure tax is levied when a consumer decides to spend on goods and services. This allowed the consumer to refrain from spending on such goods and services to avoid being levied highly, this, in turn, increases the capital available to the individual to be able to spend on the goods and services that they desire which can be viewed as a reward for saving.

58 Uganda Revenue Authority, Taxation Handbook ,11

59 Richard A Musgrave and Peggy B, Public finance in theory and practice (Mcgraw-Hill International Editions, 5th edition),12

60 Bakibinga, op cit note 1.

61 Tax policy Center, a citizen's guide to the fascinating (though often complex elements of the US tax system. Available at https://www.taxpolicycenter.org/briefing-book/how do taxes affect economy short

Tax incentives such as tax holidays and credit for investment in manufacturing attract investment in a country. The aim of the intent of the provision on tax incentives is to provide for capital accumulation.[62]

3.3 Income redistribution

Taxation also helps check income inequalities in an economy. This is done through three main tax structures; 1. Progressive taxes, as is the case with income tax, which increase with the increase income, as is the case with income tax 2. Regressive taxes, which decrease with increasing income such as Value Added Tax and 3. neutral taxes which are of a fixed percentage for all incomes as is the case with OTT.[63]

Alternatively, redistribution may be implemented by progressive taxes used to finance public services such as public housing which benefit low-income individuals. The final way in income redistribution may be achieved is through a combination of taxes imposed on goods purchased by high-income consumers with subsidization of goods used majorly by low-income consumers. Emphasis is further made that an optimal solution to tackling the issue of income redistribution through alternative measures is complex and a combination of both taxes and subsidies is required[64]

According to the Uganda revenue authority, to achieve greater equality in the distribution of wealth and income, the government may impose a progressive tax on the incomes of the rich and the revenue collected is used to provide social services for the benefit of society[65]. It may be therefore concluded that the government through taxation can provide social services to society at the expense of the lavish consumption of the rich.

3.4 **Quality control**

Taxation can also be used as a tool for quality control to protect society from harmful products by imposing high taxes on them for instance excise duty on alcohol and cigarettes as well as a levy of used vehicles[66]. This also prevents the dumping of subpar products into the country. On the other hand, however, taxes on priority products and services are reduced to encourage investors to invest in the production or provision of those goods and services respectively.

62 Anwar Shah Fiscal incentives for investment and innovation Available at https://www.economicsdiscussion.net/taxes/tax-structure/tax-structure-in-developing-countries-with- diagram/12806 (Accessed March 6, 2021)

63 Bakibinga, op cit note 1.

64 Richard op.cit note 59

65 Uganda Revenue Authority, Taxation Handbook,11

66 ibid.

3.5 **Support for those whom a free market would not provide**.

Taxation is also required to enable governments to support those whom a free market would not otherwise supply.

Much as the free market provides for goods and services such as food and health care that are considered desirable, there are always members of society that are not able to access these goods and services, in which instance the government steps in to provide these services and goods such access to free health care, universal primary education for the case of Uganda, through revenue raised from taxation of those with excess income to be able to provide for those in need.

whereas the main objective of tax collection is to raise revenue, governments use taxation for different purposes that are meant to boost their economies and the social standing of their people. This is done through government expenditure and subsidisation on goods and services and incentivising investment in priority fields among others.

3.6 **Provision of social goods and services**

In what he refers to as the allocation function of taxation, Musgrave proposes that certain goods are referred to as social or public goods as distinct from private goods that cannot be provided through the market system[67].

The argument posited is that while people's preferences are influenced by their environment, wants and desires are experienced on an individual basis. The market mechanism is well suited for the provision of private goods as it is based on the exchange which can occur only where there is the exclusive title to the property being exchanged[68]. Such however is not the case with social goods where exclusion of one consumer from the consumption of a social good does not reduce consumption by anyone else. Given such a background, the benefits of social goods are not vested in the property rights of individuals and therefore the market cannot function.

4.0 **EVALUATION OF A TAX SYSTEM.**

There are 4 main criteria to be followed when evaluating a tax system.

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67 Richard op. cit note 59
68 ibid

In his book, Revenue law in Uganda, David J Bakibinga states that Adam Smith postulated that a good tax system or principles of taxation are certainty, convenience, economy and equality. And economists have added a fifth, neutrality.[69]

4.1 Certainty.

The tax to be paid by an individual ought to be clear and never unpredictable. Therefore, the time of payment, be it yearly or monthly and if possible the deadline should be known and clear to both the taxpayer and the tax collector. It should also be known when each tax shall fall due and after how long it always falls due.

In addition, the manner of payment should be certain, be it by cheque, cash, or any other line or form of credit, or if it is to be deducted by the employer or paid individually by each taxpayer. The option to pay in instalments or lump sum and the currency should also be clearly stated.

Lastly, the taxpayer should know exactly how much he or she is to pay at every moment he is expected to pay. This should be known to the tax collector at any given moment. According to a study conducted by the Southern and Eastern Africa trade information and negotiations institute and Oxfam, the tax assessment process does not provide sufficient information to taxpayers and assessors don't seek to involve taxpayers who consider the system unfair in any case.

There are also four aspects of certainty and these include;

(i) The certainty of incidence. The degree of certainty with which taxing authorities can predict who will bear the burden of a tax. It should be noted that there can be a significant difference between the intended and the ultimate actual incidence of a tax.

(ii) The certainty of liability. The ease and accuracy with which liability to a tax can be assessed. Retrospective legislation can cause particular difficulties concerning certainty.

(iii) Evasion ratio. The extent of evasion and avoidance and the certainty with which the taxing authorities can overcome avoidance and evasion techniques and extract revenue from taxpayers. In Uganda, this is mainly in the area of direct taxes. Estimated evasion of petroleum products alone goes up to 15-20% of the value consumed[70]. It has been suggested that this may be due to a lack of knowledge and information, easily accessible to the public.

(iv) Fiscal marksmanship. The certainty with which the taxing authorities can predict the revenue which will be collected in a particular year.

The rationale for the requirement of certainty according to David J Bakibinga in his book,[71] is said to be is to protect both the taxpayer and government interests against the tax collector. Thus it prevents aggravation of the tax upon the obnoxious taxpayer or extortion by the threat of

69 Bakibinga, op. cit. note 1.

70 Okecho Olwenyi, Joseph, and Emma Seery. "Widening the Tax Base of Low-Income Countries: Taxing high- net-worth individuals in Uganda." (2020).

71 Bakibinga, op cit note 1.

aggravation by the tax collector. This explains the annual gazetting of the trade tariffs under the finance legislation. he further explains that where a tax system or taxation is uncertain, it encourages 'the insolence and favours the corruption, of an order of men who are naturally unpopular'[72] even when they are neither insolent nor corrupt.

4.2 Convenience.

The government should ensure that a taxpayer will be able to pay the tax assessed on him or her at that given time therefore every tax should be levied at the time or in the manner that is most likely to be convenient for the taxpayer to pay it. For example, Pay as You Earn tax deducted at the source as the employee is being paid. In addition, taxes on the rent of land or houses is payable at the same time at which rent is usually paid i.e. levied at a time when it is most likely to be convenient for the contributor to the payer when he or she is most likely to have the wherewithal to pay. In his book, David J Bakibinga explains that taxes upon consumable goods as articles of luxury are finally paid by the consumer, and generally in a manner that is very convenient for him or her. Since it's their choice to buy it or not it would be that individuals fault if he suffers any considerable inconvenience from payment of taxes. Taxes upon incomes of individuals or corporations should be levied when such individuals or companies receive payments or profits respectively. It should be stressed that if the time or manner of payments is not convenient for the taxpayer it is the government that loses or suffers the consequences.

4.3 Equity/Fairness.

It is a practical and moral necessity for a taxation system to be fair. A system viewed by taxpayers as unfair or discriminatory is unlikely to enjoy widespread support and the perpetuation of such a system may eventually provoke an informal taxpayer revolt in which there is a significant rate of avoidance or evasion to avoid tax liability. According to the fair tax monitor report, Uganda's current tax system is regressive and is worsened by the tax body's complex tax structure which is both difficult to understand but also worsens inequality.

Equity suggests that everybody should pay his or her fair share of taxes. Horizontal equity theory suggests that taxpayers in similar financial conditions should pay similar amounts in taxes. Vertical equity suggests however that those who are better off should pay at least the same proportion of income in taxes as those who are well off.

However, there is a wide variety of views when it comes to measuring the fairness of a particular tax system. Similarly, views differ on whether a particular system is sufficiently fair. In tax matters, fairness is an ideal exceedingly difficult to define and harder still to measure.

Different perspectives lead to the support of different types of tax systems. Fairness in terms of merit imagines a system with low marginal rates in terms of income tax, no capital gains and death and wealth taxes. Fairness in the perspective of social equality favours a system with high

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72 Smith, Adam. "An inquiry into the nature and causes of the wealth of nations: (Volume One." London: printed for W. Strahan; and T. Cadell, 1776.)

personal income taxes and wealth and death taxes and capital gains taxes designed to redistribute wealth.

Even if social justice were to be put into account it is difficult to ascertain how much priority it should be given and begs the question of how much more should well of pay in taxes? This becomes difficult to quantify.

4.5 Economical.

Every tax ought to be so contrived as both to take on and to keep out of the people's pockets as little as possible, over and above what it brings to the treasury of the state. In other words, every tax ought to be economical to collect, implement and enforce, if the government is to effectively benefit from its fiscal policies. There has been some debate as to whether the recently introduced VAT is economical to collect by small traders, given the increased costs of bookkeeping and engagement of accounting services.[73]

The general principle is that the cost of collection and administration of taxes to the collecting agent should not exceed 5% of the tax revenue likewise the cost to the taxpayer should be as low as possible. (should not hinder voluntary compliance.) The importance of taking adequate account of compliance costs in formulating and evaluating tax policy need not be emphasized.

4.6 Neutrality.

David J Bakibinga in his book states that this principle requires that the tax system itself should influence as little as possible in a way in which economic activities are carried out.[74] The government however may interfere in a free market economy by taxation nonetheless only when it is introduced deliberately, for proven explicit and quantified purposes, and even then only after it is shown that other approaches such as tariffs etc. were likely to be less effective.

This principle emphasizes that the impact of tax shouldn't influence individual/ business choices by distorting/altering the costs of alternative goods/modes of investments or different activities.

73 The New Vision Newspaper Vol II, No. 248,p13 (16th October 1996)

74 Bakibinga, op cit note 1.

ADMINISTERING THE INCOME TAX SYSTEM IN UGANDA.

Background.

Taxation as understood today was introduced in East Africa by the early British colonial administrators through the system of compulsory public works such as road construction, building of administrative headquarters and schools, as well as forest clearance and other similar works.[75]Income tax was introduced in Uganda in 1940 by a Protectorate ordinance. It was mainly payable by the Europeans and Asians but was later extended to Africans. In 1952, the Ordinances were replaced by the East African Income Tax Management Act, which laid down the basic legal provisions found in the current income tax law. The East African Income Tax Management Act of 1952 was repealed and replaced by the East African Income Tax Management Act of 1958.[76]

Kwagala in her thesis,[77] makes a point that the development of the tax system often reflects the history of tax policies made to address crises or other short-term priorities of the government in power. Kwagala argues that the development of Uganda's tax system has been mirrored by its turbulent political history.[78] Uganda's tax policies have in past been majorly influenced or dictated by external actors since the introduction of formal taxation in 1900. Consequently, Uganda's tax system has always been in line with those of other developing countries and in particular the East African Countries. Prior to independence, the East African Community was in charge of tax policy within the community, there was no opportunity for Uganda to fashion its own tax policies or pursue an independent policy.

Income tax is defined under s.4 of the Income Tax Act, Cap 340 (ITA) as tax charged for each year of income and imposed on every person who has chargeable income for the year of income.[79]This paper shall discuss a brief background to Uganda's tax system; give an overview of the mandate of Uganda Revenue Authority and an analysis of its performance from when it was established to date, tax assessments, returns, payments, appeals and reviews, enforcement mechanisms and tax offences and penalties.

Key Definitions.

Tax system: This can be defined in the broad sense as a system of taxes as created and imposed by government, the process by which these taxes are collected and administered.

Tax policy: Tax policy is the choice by a government as to what taxes to levy, in what amounts, and on whom. It has both microeconomic and macroeconomic aspects. The macroeconomic aspects concern the overall quantity of taxes to collect, which can inversely affect the level of economic activity. The microeconomic aspects concern issues of fairness (whom to tax) and allocative efficiency.

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[75] URA TAXATION HANDBOOK, A Guide to Taxation in Uganda (2nd Edition).
[76] *Ibid.*
[77] Kwagala Igaga, D. *When more is Less: An analysis of the Reforms of Direct Taxation of Profits from Business Activity in Uganda (University of Warwick, PhD Thesis, 2013).*
[78] *Ibid.*
[79] Section 4, Income Tax Act, Cap 340 (ITA).

Introduction.

After the disintegration of the East African Community (EAC) in the 1970s, Uganda took over the full control of its tax policy. The function of tax collection and management was transferred to the Ministry of Finance under the Income Tax department. However, these were years that Uganda endured a lot of political instability which also affected its tax system as a whole, up to until 1986 when there was a return to relative stability. The new government, in light of the economic constraints and inefficiency in the tax system together with the Bretton Woods institutions introduced a number of reforms in the area of taxation as part of the wider Structural Adjustment Programme (SAPs).[80]

A study was conducted by Coopers & Lybrand to inquire about the status of Uganda's tax system. It was reported that there were serious weaknesses in tax administration and large sections of the public did not pay tax as the Ministry of Finance did not have the capacity to assess and collect taxes on all individual taxpayers and small businesses.[81] It was further found that these challenges stemmed from a number of factors which included, lack of motivation among workers in terms of remuneration packages to the employees of the defunct tax collecting departments in Ministry of finance, poor accommodation, lack of training programs, inadequate collection facilities, inadequate man power, ineffective tax collection due to poor assessment, insufficient auditing systems, low compliance by the tax payers.[82] It was recommended in the report that the best solution was the establishment of an autonomous body free from civil service terms and conditions of service and management practices.[83]

The reform of the tax administration in Uganda and other African states was based on the proposition by the international Financial Institutions (IFIs) that revenue collection agencies are more effective when they operate autonomously rather than as governmental departments.[84] The independence of URA was designed to limit political interference.[85] It would therefore be able to offer better remuneration than the traditional civil service and thus attract and retain competent staff hence improving efficiency in tax collection. It was also argued that an overhaul of the revenue collection system would permit creation of a salary structure incentive to be set at all levels as a means to discouraging staff from corruption tendencies.[86]

OTHER KEY POLICY REFORMS.

A number of statutory reforms were passed by Parliament to improve tax administration. First, the Tax Appeals Tribunal was established by statute to provide for a specialized dispute resolution mechanism for tax disputes.[87] Second was the Investment Code Act (1991) which was

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[80] Kwagala (*supra*), p. 6.
[81] *Ibid,* p. 5.
[82] David J. Bakibinga, *Revenue Law in Uganda,* 2nd Edition (Law Africa Publishing: Nairobi, Kampala & Dar es Salaam, 2019), p. 31.
[83] Kwagala (*supra*), p. 31.
[84] *Ibid.*, p. 6.
[85] Coopers & Lybrand, Deloitte, *Planning for a Revenue Authority for Uganda,* Final Report June 1991.
[86] Bakibinga, p. 31; IMF: Uganda, Possibilities for Reform Aide Memoire (1991) Paras. 1 & 3.
[87] Kwagala, *op. cit.*, note 9.

passed and designed to attract foreign direct investment through granting tax exemptions and holidays to foreign investors but these were subsequently made available to all investors. The Value Added Tax (VAT) was introduced in 1996 to replace the Sales Tax and Commercial Transactions Levy (CTL). In 1997, the Income Tax Decree 1974 (ITD 1974) was repealed and replaced with the income Tax Act 1997 (ITA). Under the new Income Tax Act, the tax base was broadened through the abolition of tax holidays and reduction in exemptions through the repeal of several sections of the Investment Code Act (1991). The ITA also made other new inroads, for instance all employee benefits connected to employment, for example, health insurance, accommodation and transport were put together and now computed under the Pay as you Earn (PAYE) scheme.[88]

One of the other key reforms under the Income Tax Act was the introduction of direct taxation of profits from business activity in the formal and informal sector, at a uniform rate of 30%. This meant that Capital Gains Tax was introduced in Uganda for the first time since independence.[89]

A separate regime of presumptive taxation was also introduced to tax small businesses that operate in the informal sector; this replaced the complicated system of trade licenses for small businesses under the Income Tax Decree (ITD 1974).[90]

There was also an effort to encourage private investment in order to encourage economic growth and increase tax revenue. This was to be achieved through fiscal and regulatory reforms, for instance, the business registry was restructured and procedures improved to reduce the cost of business registration.[91]

1. UGANDA REVENUE AUTHORITY: Its Creation and Core Functions.

The Uganda Revenue Authority ("URA") was established by the Uganda Revenue Authority Act, 1991 and set up in the September of the same year as a central body for assessment and collection of specified revenue, to administer and enforce the laws relating to such revenue and to provide for related matters.[92] URA was created as a quasi-autonomous unit with a Board of Directors (BOD) appointed by the Minister of Finance. Although the URA Act grants a considerable degree of independence to the Board in terms of control over the day-to-day operations, the Ministry of Finance Planning and Economic Development (MOFPED) maintains control over matters concerning the budget. For budgetary purposes, URA is regarded as a

[88] *Ibid.*

[89] *Ibid.*

[90]*Ibid.;* Section 4, ITA.

[91] Kwagala (*supra* note 3).

[92] Uganda Revenue Authority Act Cap 196, *Long title*.

department of the MOFPED. Regarding revenue, the MOFPED sets the revenue targets and how such targets are to be spread over the different tax heads.[93]

Although the URA Act expressly provides that URA will be a semi-autonomous body,[94] in practice this has greatly been contested. The URA Act was enacted in 1991 before the promulgation of the 1995 Constitution of Uganda. Article 99(1)[95] provides that executive authority is vested in the President which empowers him or her to make necessary appointments or disappointments as he or she may deem fit. Under Article 98[96] the President is recognised as the head of the Executive arm of Government. URA falls under the Executive arm of Government. The legality of presidential appointments was considered in ***Sevrino Twinobusingye v Attorney General,***[97] where the Court upheld the position that the President enjoys discretionary powers to appoint and disappoint and courts ought to observe and respect that authority.

However, the Court seems to have checked this position in the case of ***Gerald Karuhunga v Attorney General***[98] where the Court considered the legality of the President's appointment of a retired Judge as a Chief Justice. In that case, the then retired Benjamin Odoki had been appointed Chief Justice, even when the Judicial Service Commission had not recommended him to the president. Court held that *the advice of the Judicial Service Commission is a sine Qua non (a pre-requisite) for the appointment of a Judicial Officer and this includes the appointment of a Chief Justice.*
In the context of revenue law, section 9 of the URA Act provides that the Minister of Finance shall appoint the CG on the advice of the Board of Directors. It is a concept of rule law and in the broad sense administrative law, that administrative authorities and officers should exercise their powers in accordance with established law. The president is not above the law and incase he disregards any law, his actions will be found ultra vires as was the case in **Karuhanga v Attorney General (*supra*)**. However, in practice the President still appoints and fires the Commissioner Generals of Uganda in total disregard of these principles. The best example in this regard being the recent *impromptu* firing of CG Ms. Doris Akol and the appointment of the current CG, Mr. John Musinguzi.[99]

[93] Uganda Revenue Authority Website, https://www.ura.go.ug/openFile.do?path=webupload/download/staticContent/TOPMENU/189/192_Corporate_Hi story.pdf accessed on 3/26/2021

[94]

[95] 1995 Constitution of the Republic of Uganda.

[96] *Ibid.*

[97] Constitutional Petition No. 47 OF 2011.

[98] Constitutional petition No. 0039 Of 2013.

[99] On President's Powers to Appoint URA Commissioner General, Accessed from https://thelegalreports.com/2020/03/31/on-presidents-powers-to-appoint-ura-commissioner-general/ accessed on 3/26/2021.

THE PERFORMANCE OF UGANDA REVENUE AUTHORITY TO DATE.

As stated earlier, the aims of tax reforms in Uganda were diverse. The government was keen to increase tax revenue and tackle the recurrent budget deficits in a bid to reduce donor dependence. After the establishment of URA, a target was set of increasing the tax to GDP ratio by two percentage points annually in the early 1990s, one percentage point in the late 1990s and half a percentage point after 2000. Half a percentage point was a long-term target.[100] There was a marked increase in tax revenue to GDP ratio between 1991 and 1995 but stagnated at about 12 % thereafter.[101]

Overall, the tax reforms carried out in the 1990s achieved a marginal increase in revenue collection as a percentage of GDP from 11.3% in 1995/96 to 13.1 % in 2007/08 but they were not successful at widening the tax base.[102] According to a recent URA database report, the net revenue collections increased over a period of five year at a rate of 15.72 %, this also translated into an increase in the tax to GDP ratio from 12.84% in 2015 to 15.11 in 2019in the last decade.[103]

However, with the economy suffering from the effects caused by the COVID-19 pandemic, it remains to be seen whether URA will achieve its current annual targets. At a regional level, Uganda still performs poorly compared to other East African countries in terms of tax to GDP ratio. For instance, Kenya's tax to GDP ratio before the COVID-19 pandemic averaged at 18.2 % in 2017, [104]whereas that of Sub Saharan Africa stood at 17.2 %.[105]

[100] *Ibid.*
[101] *Ibid,*
[102] *Ibid.*
[103] URA Annual Press Brief, Period: July 2018-June 2019, Theme: *Transparency and Accountability for Effective Service Delivery. Accessed from*
30.
https://www.ura.go.ug/Resources/webuploads/GNRART/Annual%20Press%20%20Brief%20-FY%202018- 19%20shared%2015th%20July%2019.pdf

[104] Official Website of the OECD, Accessed from https://www.oecd.org/countries/kenya/revenue-statistics-africa- kenya.pdf accessed on 3/22/2021 at 10: 24 am.

[105]https://www.oecd.org/tax/tax-policy/brochure-revenue-statistics-africa.pdf

Figure 1: Tax to GDP Ratios 1991-2010

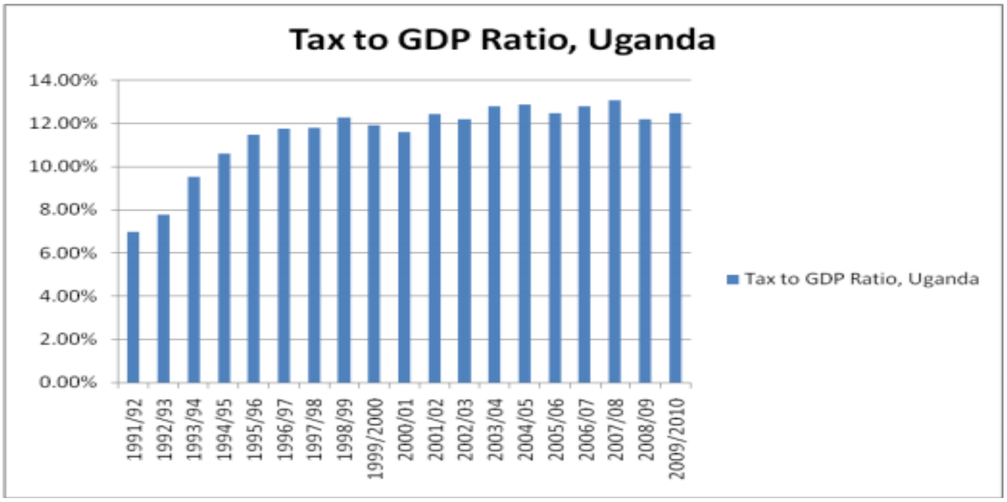
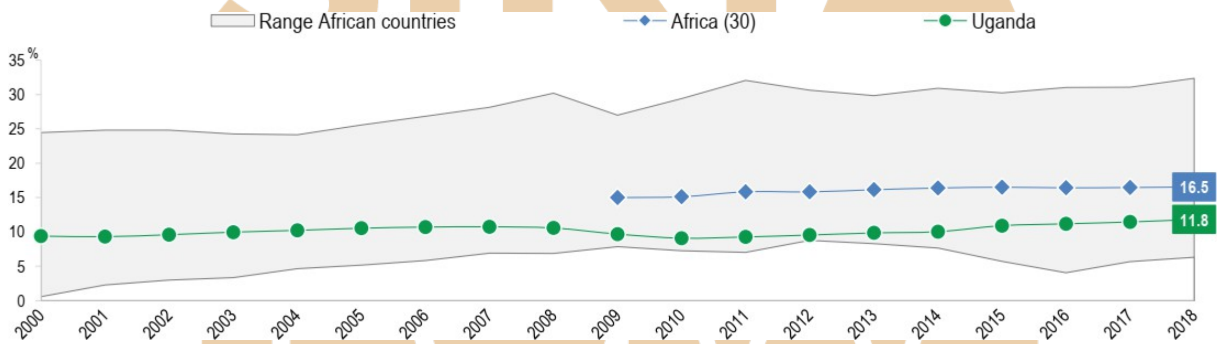


Figure 1 : ***Shows the perfomance of Uganda Revenue authority for the first 10 years. Source :***



Kwagala Main thesis

Figure 2 : ***Shows a comparasion of Uganda's tax to GDP ratio with other African countries for a period between the year 2000 to 2018. Source : OCED website.***

FACTORS BEHIND URA'S PERFORMANCE.

Instability in tax administration, [106]URA has undergone through numerous changes in administration and organizational structure. The first administration was headed by a Ghanaian national Mr. Edward Larbi Siaw who had commendable experience in management of a tax body like URA. During his tenure there was relative calm and overall the tax ratio steadily increased in his six-year reign. However, as years passed political meddling in the tax body started. This was partly due to the infighting between the anti-smuggling Unit and senior customs managers; this eventually resulted into the unfortunate end to the Commissioner General's (CG) contract, together with other several officers.[107]

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[106] Private Sector Foundation Uganda (PSFU) 2009, *Widening Uganda's Tax Base and improving Tax Administration*, (hereinafter "*the PSFU report*").

The second CG Mr. Elly Rwakooko was not interviewed and did not have any experience of managing a large tax body like URA, and after his 3-year contract, the president used to refer to him as a non-performer. The third CG Ms. Annebrit Aslund also lacked experience of managing a large tax body and her management style was quite lacking and achievements very minimal. At the time of publication of the PSFU report,[108] during CG Allen Kagina's tenure, it was reported that URA experienced its biggest turnover since its creation.[109] Ms. Allen Kagina was replaced with Ms. Doris Akol whose tenure also unceremoniously came to an end when her contract was terminated and replaced with the current CG, Mr. John Musinguzi.

Kwagala in her thesis argues[110] that the relative failure to raise the tax revenue is also attributed to weaknesses in tax administration coupled with lack of taxpaying culture and the nature of the economy. The low tax revenue is clearly related to the low levels of income in the country.

Uganda's low revenue performance has also been attributed to the structure of the economy which constrains possibilities and efforts to broaden the tax base. Uganda has a significantly large agricultural sector accounted for 24.2 % of GDP in 2019/20,[111] industry contributing 29.5 % and services sectors contributes 46.2 %.[112] The outputs and inputs in the agricultural sector do not attract taxes.

The URA attributes the low revenue to the big informal sector and inadequate tax education fuelling evasion and non- compliance.[113] The informal sector refers to the myriad of economic enterprises that operate outside the realm of the formal national regulation.[114] The informal sector is distinct from the illegal industry in the sense that it encompasses market-based production of goods and services through legal processes where taxation is subsequently evaded. The nature of the informal sector constrains the capacity of the state to design effective tax policies targeting it. One of the defining characteristics of the informal sector is evasion of tax legislation.

In 2009, the Private Sector Foundation conducted a research with the theme "*Widening Uganda's Tax base and improving Tax Administration*" with the aim of finding key performance constraints impeding the growth of tax revenue collection, a number of recommendations were made and they appear as follows.

Privatization of assessment and collection of rental tax; According to the study it was found that it was not feasible in the current administrative framework for URA to mobilize

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[108] *Ibid.*
[109] *Ibid.*
[110] Kwagala, *supra* note 3.
[111] Uganda Economic Update , *World Bank Group*, 14th Edition Feb, Accessed from:[http://documents1.worldbank.org/curated/en/571011581515307951/pdf/Uganda-Economic-Update-14th- Edition-Strengthening-Social-Protection-to-Reduce-Vulnerability-and-Promote-Inclusive-Growth.pdf](http://documents1.worldbank.org/curated/en/571011581515307951/pdf/Uganda-Economic-Update-14th-Edition-Strengthening-Social-Protection-to-Reduce-Vulnerability-and-Promote-Inclusive-Growth.pdf)
[112] *Ibid.*
[113] Kwagala, *op. cit.* note 36.

capacity in terms of human and non-human resource to be able to penetrate the rental sub sector and efficiently manage it for tax purposes. It was found that the sub sector has high revenue potential thorough there is limited capacity to handle it. This was achieved in 2020 when the Minister of Finance on behalf of the Government signed an agreement with an American Company *Ripple Nimma Inc* to improve rental income tax compliance in Uganda.[115]

Taxation of illegal income. The report[116] recommended that tax body should develop specific guidelines or practice notes to tax illegally earned income. This income has persistently expanded in Uganda yet there is currently no strategy to tap it. Based on the World Bank estimates that over UGX500Bn per year, the expected tax yield would be a conservative UGX 120Billion or 0.5% of GDP.URA can also work together with other bodies such as the Inspectorate of Government and the Financial Intelligence Authority to curb the issue of illegal income.

Alternate tax turnover tax. The report also recommended that government should institute an alternative turnover (presumptive minimum) tax for perpetual loss declarers. This policy would apply to medium and large taxpayer companies which have declared losses for say three or more years and the aim would be to discourage companies from fictitiously declaring losses. Countries which have levied this tax report that the number of loss-making companies substantially reduces after the tax has been introduced. They would be taxed on turnover like in the case of small taxpayers. The rate could be set at 3% of gross turnover. This recommendation has not yet been realized as the parliament has not yet passed the Income Tax (Amendment) Bill 2020.[117]

Raising the Value Added Tax (VAT) threshold. The other policy related recommendations made included increasing the VAT threshold to UGX 100Million, strengthening the penalty provisions for noncompliance and fraudulent or exaggerated claims for input tax. The VAT threshold has since been increased by amendment to UGX 150 Million.[118]

Tax education and sensitization: The report found that in the area of tax education and sensitization should be further strengthened as there is still considerable gap in tax knowledge among the public. This is in addition to efforts already made by URA in this area. The approach to this functional area needs to be completely overhauled to maximize positive results.

Penalizing noncompliance: The report recommended that noncompliance should be effectively and timely penalized. The tax compliance model demands that for compliance to be

[115] Daily Monitor "Inside Museveni's rental tax contract with US firm" https://www.monitor.co.ug/uganda/news/national/inside-museveni-s-rental-tax-contract-with-us-firm-1893878.

[116] PSFU Report.

[117] Proposed amendments to the tax legislation in Uganda - tax amendment (bills), 2020, legal alert written on 27/04/2020, **http://www.mmaks.co.ug/articles/2020/04/27/proposed-amendments-tax-legislation-uganda-tax- amendment-bills-2020** accessed on 3/23/2021.

[118] The Value Added Tax (Amendment) Act No. 5 of 2015.

effective, the few non-compliant taxpayers need to be swiftly and severely isolated and punished to make the vice a dangerously navigable area.

Capacity building in the tax administration: The survey carried out by the report found that URA needed to address the numerous capacity issues. Some of these included the URA audit function, ineffectiveness of enforcing tax laws and human resource management aspects. The Tax Administration should encroach on the skills in the private sector by contracting experienced private sector tax auditors to train URA auditors. On human resource, it was recommended that management needed to take recommendations of their internal auditors very seriously and address the existing maladministration aspects relating to recruitment, placement and promotions so as to raise staff trust in the system and subsequently morale. URA, as an institution is seen as not stable and turnover of staff was found to have been steadily growing. In a bid to remedy these challenges, URA started a graduate program as a mechanism of countering the high staff turnover.[119]

National Identification System (NIS): The report recommended that the NIS should be centralized at the Registrar General's Office and effectively developed to avoid taxpayer mutation. It could use the date of birth (DOB) model as is used in many countries where citizens are required to use this identification number whenever doing formal transactions like opening bank accounts, accounts for utilities like electricity and water, and tax related transactions. All government departments would be required to interface with the system at the Registrar General. This would apply to other key sectors like Banks and Insurance companies. Uganda rolled out the registration for National Identification cards in 2016 under the Registration of Persons Act. This appears to be in the right direction in achieving a single National Identification System.

Formalizing the informal sector. In order to fiscally penetrate the informal sector effectively, the study recommended that deliberate measures should be taken to induce its participants to join the formal sector. Strategies should include sensitizing the participants to illustrate the benefits of operating in the formal sector. To ensure this is done, government could fully facilitate the civil society that has the capacity and willingness to do it. Alternatively, a government department could be established to cater for the needs of the informal sector. There has been a number of interventions established to cater for the informal sector like establishment of a "one stop centre" facilitated by the different government agencies like URA, Uganda Registration Services Bureau (URSB) and Kampala City Council Authority (KCCA) under the Tax Register Expansion Project (TREP) arrangement.

Presumptive taxation. It was recommended from the *Private sector* report that presumptive taxation Should be expanded to cover some informal businesses which had failed to establish annual turnover figures as prescribed in the current law. These included bars, restaurants, washing bays, day/night parking bays, guest houses, small hostels, traders in agricultural products like bananas and milk. These could be presumptively taxed at say UGX 100,000 per annum. This would require an amendment in the law and such a measure should

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[119] URA website. https://www.ura.go.ug/download/CGMS/Graduate%20Trainee%20interview%2044444[1].pdf.

exclude the Kampala business area as businesses in this area are relatively bigger with higher taxable surpluses. Presumptive tax assessment and collection also needs to be privatized for similar reasons as advanced for rental tax

Liaison between URA and other regulatory institutions; The report recommended that should be a structured liaison between URA and key regulatory institutions including UIA, Kampala City Council Authority (KCCA),Ministry for Finance and Ministry of Local government in enforcing the tax laws. It was found that there was a gap between the tax administrators and tax Policy technocrats and this is not healthy for revenue collection. This has been realized through the collaboration between KCCA, URA and Uganda Registration Services Bureau (URSB) under the TREP arrangement, this framework is aimed at streamlining and speeding up the process of business registration where a taxpayer will access all services of the three organizations under one roof. That is –business registration from URSB, a Tax Identification Number from URA and application for a trading license from KCCA.[120]

2. ASSESSING TAX AND PAYING TAX LIABILITIES

Assessment basically means the ascertainment of chargeable income and the amount of tax payable on it. The URA is the central body for the assessment and collection of specified tax revenue, administering and enforcing the laws.[121] Assessment is not justification about the tax that is due in a given period.[122] It's an administrative process undertaken by the Commissioner to ascertain the amount of tax that is chargeable to a given taxpayer after considering the relevant facts and circumstances including personal knowledge and opinion which is subject to objection and appeal.

Tax liability is the total amount of tax debt owed by an individual, corporation or other entity to a taxing authority[123] like URA. It is the total amount of tax one is responsible for paying to the tax body. The basis for determination of income tax liability for resident persons is the gross income of the person reduced by allowable deductions under the Act,[124] and any foreign income tax paid on foreign income included in the gross income referred to as a foreign tax credit, not exceeding the Ugandan income tax payable on the foreign source income for that year.[125] Assessment is extensively dealt with in Part 4 of this paper.

3. TAX RETURNS

[120] Tax register expansion project (TREP) to tap into the informal sector, https://www.ura.go.ug/download/CGMS/TREP_FINAL.pdf accessed on 3/23/2021.
[121] UGANDA TAXATION POLICY: IMPLICATIONS FOR POVERTY ERADICATION AND ECONOMIC GROWTH, p. 11.
[122] Joseph O. Okuja, *Domestic and International Taxation in Uganda*: The Law, Principles & Practice (2nd Edition, 2019), p. 108.
[123] What is tax liability? https://www.investopedia.com/terms/tax/taxliability, Accessed March 25, 2021.
[124] Section 15, ITA.
[125] URA TAXATION HANDBOOK: A Guide to Taxation in Uganda, 2nd Edition, p. 37.

According to Okuja, a tax return represents a periodic declaration of the taxpayer's particulars of income in a specified format to the tax administration (URA).[126] The amount of tax due for any tax period is based on the information provided by the taxpayer in a tax return.[127]

This explains why according to **section 92A** of the **Income Tax Act, Cap 340 (ITA)**, a tax return must be accompanied with a declaration that it is complete and accurate. Further, **section 40(1)** of the **ITA** provides that a taxpayer's method of accounting must conform to generally accepted accounting principles.

Types of tax returns and when they must be filed.

These are provided for under **section 16(7)** and **(8)** of the **Tax Procedures Code Act, 2014 (TPCA)**. Of these, income tax returns include:

a) Return of income. It must be filed not later than 6 months after the taxpayer's year of income.
   It should be noted that a year of income is defined by **section 2(zzz)** of the **ITA** as the period of 12 months ending on 30th June, and includes a substituted year of income and a transitional year of income. A normal, substituted and transitional year of income are further elaborated upon under **section 39** of the same **Act**.
   Pursuant to section **16(5)** of the **TPCA**, audited accounts by an accountant registered with the Institute of Certified Public Accountants of Uganda (ICPAU) are required for taxpayers with an annual turnover of Ug Shs. 500 million and above.

b) Return of rental income. This is required not later than 6 months after the taxpayer's year of income.
c) Provisional tax estimate. This is antecedent to the payment of provisional tax provided for under **section 111** of the **ITA**. In case of a non-individual (artificial persons), the estimate must be filed not later than the 6th or 12th month of the taxpayer's year of income. Individuals are required to file a provisional tax estimate by the end of the 3rd month after the year of income.
d) Business information returns. These must be filed not later than 2 months after the end of the year of income.
e) Lotteries and Gaming return. A licensed person under the **Lotteries and Gaming Act, 2016** must furnish a weekly return by every Wednesday of the week and a monthly return not later than 15 days after each tax period.
f) Withholding tax return (including PAYE returns). This in respect of

withholding tax generally provided for under **Part XIII** of the **ITA**. These must be furnished not later than 15 days after the tax period to which the return relates.

Special cases.

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[126] Okuja, *op. cit.*, note 48, p. 114; David J. Bakibinga, *Revenue Law in Uganda*, Reprint (Kampala: Law Africa, 2016), p. 217.

[127] Okuja, *Ibid.*

Section 18 of the **TPCA** empowers the Commissioner to require a tax return if during a tax period a taxpayer: has died; become bankrupt, wound up or went into liquidation; is about to leave Uganda permanently; or the Commissioner otherwise considers it appropriate.

In the case of death, bankruptcy, winding up or liquidation, the person's year of income commences on the 1^{st} day of their year of income up to the date of the happening of the unfortunate event in question.[128] The tax return in such circumstances is therefore in respect of that particular period of time only. For example;

a) Assuming that individual X with a normal year of income dies on 30^{th} March, 2022. The administrator of their estate or executor would be required to file a return in respect of the year of income commencing 1st July, 2021 up to 30^{th} March, 2022, the date of X's death.
b) Suppose that a company with a substituted year of income commencing on 1^{st} October of every year goes into liquidation on 24^{th} April, 2022. The liquidator would be obligated to file the company's tax return in respect of the year of income, 1^{st} October, 2021 to 24^{th} April, 2022.

Particulars of a Tax return.

The law previously gave detailed particulars to be included in a return of income.[129] However, **section 16(1)** of the **TPCA** simply provides that the taxpayer shall submit the tax return in the prescribed form and in a manner determined by the Commissioner. From URA's Taxation Handbook,[130] and a perusal of various tax returns forms from the URA website,[131] the following can be deduced as some of the key particulars that must be included in a return of income;

i. The taxpayer's gross total income.
ii. Expenses related to tax exempt income/allowable deductions provided for under **sections 22-38** of the **ITA**.
iii. Estimated chargeable income. **Section 15** of the **ITA** defines chargeable income as the gross income of the person for the year, less total deductions allowed under the **Act** for the year.
iv. The taxpayer's name and signature together with a declaration that the return is complete and accurate. The form must be dated.
v. According to **section 92A (4)** of the **ITA**, where the taxpayer is legally incapacitated, the legal representative of the taxpayer shall sign the return.
vi. Under **section 92A (5)** of the **ITA**, where the taxpayer is carrying on business, the return shall be accompanied by a statement of income and expenditure and

a statement of assets and liabilities of the taxpayer. It should be recalled that according to **section 15** and the **Third Schedule** to the **TPCA**, where the business has a turnover above Ug Shs. 500 million, the statement must be prepared by a certified accountant or auditor.

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[128] Bakibinga, p. 218.

[129] *Ibid.*

[130] Uganda Revenue Authority, *Taxation Handbook: A Guide to Taxation in Uganda* (2nd Edition, 2015), p. 53.

[131] https://www.ura.go.ug/leftMenu.do;jsessionid=0a011f3730d821cd8b44216d4d72a475a7a6efff3b51.e3mRc3yTah50bh4QbNqLa30Te0 (accessed 15/03/2021 at 06:69am).

vii. Where the return of income is prepared by an accountant or auditor, or any other person for remuneration, **section 92A (6)** of the **ITA** enjoins them to sign the return certifying that to the best of their knowledge, the return is complete and accurate. **Section 17** of the **TPCA** stipulates the same requirement for a tax agent who prepares or assists a taxpayer in preparing a return.

According to **section 92A (7)** of the **ITA** and **section17(2)** of the **TPCA**, where the professional refuses to certify the return, they must inform the taxpayer in writing, the reasons for such refusal and the taxpayer shall attach that statement to the return.

Where the Commissioner is not satisfied with the taxpayer's return, he may by notice in writing under **section 16(4)** of the **TPCA** require the taxpayer to provide a fuller or further tax return.

Worthy to note, the Commissioner has power under **section 16(2)** of the **TPCA** to appoint another person at the taxpayer's cost to prepare and furnish a tax return on behalf of the taxpayer who has failed to file a return. Such tax return shall be treated as the actual return of the person required to file the return.[132]

Extension of time

A taxpayer may, under **section 19** of the **TPCA** apply for extension of time to file the return by applying to the Commissioner by the date on which the return is required to be furnished. Where the Commissioner is satisfied that the taxpayer due to a <u>reasonable cause</u> (such as sickness or travel outside the country), may not be able to furnish the return by the due date, he may grant an extension for a period not exceeding 90 days.[133]

The Commissioner may under **section 19(6)** of the **TPCA** grant an extension of time after the expiry of the due date of the return if he is satisfied that the failure to furnish the return was due to <u>exceptional circumstances.</u>

A taxpayer dissatisfied by the Commissioner's refusal of extension of time may object to the Commissioner's decision within 45 days after notice of such rejection.

Importantly, pursuant to **section 19(5)** of the **TPCA**, extension of time for filing the return does not change the date for payment of the tax due as specified in the tax law under which the return is required. Interest also remains payable on the unpaid tax from the date the tax was originally due.

Exemptions

There are persons that the law does not require to file tax returns. These are provided for under

section 93 of the **ITA** and they include;

a) Non-resident persons whose source of income in Uganda is derived from dividends, interests, royalty, natural resource payment or natural charge; public entertainment and sports contracts and professional engagements; and shipping, air transportation and telecommunications.[134]

[132] Section 16(3), TPCA.
[133] Section 19(4), *Ibid.*
[134] Section 93(a), ITA read together with sections 83-87 of the same Act; Bakibinga, p. 221.

b) Resident individuals engaged in employment presumptively assessed or whose total income is subject to the zero rate under **Part I** of the **Third Schedule** to the **ITA**.

c) A resident individual whose gross income consists exclusively of employment income derived from a single employer and from which tax has been withheld under the PAYE system.[135]

Offence for failure to furnish a return.

Section 48 of the **TPCA** imposes a strict liability penal tax[136] on a person who fails to furnish a tax return. When a person has been granted extension of time, the offence is committed and the penal tax is imposed when the return is not filed by the extended due date.[137] The penal tax is 2% of the tax payable under the return before subtracting any credit to the taxpayer on his tax return or 10 currency points per month, whichever is higher, for the period the return is outstanding.

In ***Radio Pacis Limited v Commissioner General URA***,[138] it was underscored that failure to file a tax return is a strict liability offence. It was held by Justice *Stephen Mubiru* that penal tax accrues once a person obligated to file tax returns fails to furnish a return for any tax period. He added that in Uganda, ignorance of the law, honest and mistaken beliefs are not acceptable defenses in cases of default to file tax returns.[139]

Causes of failure to file tax returns.

Frank Samwel,[140] lists some of the causes as;

a) Taxpayers' lack of knowledge on the law and procedure to be followed in preparing and filing tax returns.

b) Lack of enough funds to bear the costs of preparing the necessary documents necessary to file the return. Even preparing the return itself is no simple feat especially for illiterate and semi illiterate taxpayers.

   In Uganda's case, this has been remedied by the presumptive tax imposed on small businesses with a gross turnover less than Ugshs. 150M per year of income pursuant to **section 4(5)** and the **Second Schedule** to the **ITA**. The taxpayer may nonetheless opt out of being presumptively taxed in preference of being assessed on the basis of returns.

Solutions for failure to file tax returns.

F. Samwel,[141] suggests a couple of solutions which we are agreeable to. These include;

a) Increased taxpayer education. This should be spearheaded by the URA in concert with the Local Governments from the grassroots level.

135 Taxation Handbook, p. 54.
136 Okuja, p. 173.
137 Section 54, TPCA.
138 High Court Civil Suit No. 0008 of 2013.
139 *Ibid.*, p. 6.
140 Frank Samwel, *Causes and Consequences of Failure to File the Annual Return By the Tax Payer; A Case Study of Shinyanga Municipality* (Dissertation Submitted Leading to the Award of Master of Laws in Commercial Law at the University of Mzumbe, 2013).
141 *Ibid.*, p. 87.

b) Further simplifying the requirements for filing tax returns so as to enable even lay people file them on their own.

4. ASSESSMENT

An assessment is the ascertainment of chargeable income and the amount of tax payable on it including penal tax. It also includes any decision of the Commissioner which is subject to objection and appeal under the Income Tax Act. For example, if a taxpayer makes a request for extension of time to file a return and the Commissioner rejects the request, the decision is deemed to be an assessment because the taxpayer can object.[142]

In **Uganda Project Implementation Centre Ltd v. URA,**[143] while interrogating the constitutionality of S.34(3) of the VAT Act which required a taxpayer to pay 30% of the tax assessed before lodging an objection to an assessment to the Tax Appeals Tribunal, the Constitutional Court noted the payment of tax usually commences with the taxpayer filing returns with the respondent, followed by payment of the relevant tax as assessed by the respondent in accordance with the information contained in the returns filed by the taxpayer. This position is in line with section 18 of the TPCA.

When Does the Commissioner Exercise the powers to Assess?

1. As per section 21 of the TPCA, the Commissioner directly exercises this power under what is called a default Assessment which according to the above provision is to the effect that where a taxpayer fails to furnish a self-assessment as per section 20 of the TPCA, the Commissioner may at any time make an assessment in the manner stipulated under section 21(1) (a, b & c) i.e., amount of assessed loss in case of an assessed loss of the taxpayer, the amount of the excess input credit of the taxpayer in the event of such assessment under VAT and in any other case, the tax payable by the taxpayer.

2. Under Section 22 of the TPCA, the Commissioner may make an advance assessment if a person required to furnish returns under section 18 of the TPCA and where the Commissioner is convinced that there is a risk that a taxpayer may delay, obstruct, prevent or render ineffective payment or collection of a tax that has not yet become due. This mode of assessment was clearly alluded to in the case of **Uganda Projects Implementation Ltd V URA (*Supra*),** where though the point of contention was in regards the constitutionality of Section 34(c) of the VAT Act, the court stressed that in the event of a taxpayer failing to file the necessary returns or where the returns

filed do not satisfy the Commissioner General or where a person will become liable to pay but is unlikely to pay the amount due, the commissioner General may make an assessment.

[142] URA Taxation Handbook: A Guide to Taxation in Uganda 2nd Edition, P. 15.

[143] Constitutional Petition 2007/18 [2009] UGCC 2 (09 February 2009).

In the case of **Mandavia v. Commissioner of Income Tax ,**[144] the appellant's contention entailed inter alia that in invoking her powers under section 72 of the East African Income Tax (Management) Act 1952 to assess the appellant for additional amount in the event of an initial under assessment or of no assessment for a person liable to taxation, the Commissioner had acted ultra vires and so the assessment was void since this was done before the expiry of the time allowed for the delivery of that persons returns as required under section 71 of the same Act. In determining whether the additional assessment by the Commissioner was ultra vires for having been made before the time stipulated by the statute (Section 72 of the EA Income Tax Management Act), it was held that before making assessments under the impugned section the time allowed thereunder had to lapse and the assessments were set aside.

Assessment Notice

This is defined as a document issued by the Commissioner specifying the details stipulated under section 21(2) and 22(5) of the TPCA specifying inter alia the amount of tax payable, the period to which the assessment refers, the penal interest if any among other items. The importance of this notice is to give the taxpayer a chance to review the accuracy or inaccuracy of the assessment made and make objections where necessary within the stipulated time before the appropriate platforms.

Without delving into and pre-empting the impending discussion on appeals and reviews (*infra*), we should note here that according to the Tax Appeals Tribunal Act, Cap. 345, a taxpayer dissatisfied with the decision of Commissioner may appeal the decision to the High Court or apply for review of the decision to the Tax Appeal Tribunal.

In **Heritage Oil and Gas Ltd v. URA,**[145] where the appellants having entered into a Production Sharing Agreement (PSA) with the Government of Uganda which contained an arbitration clause to the effect that disputes under the agreement which could not be amicably resolved within 60 days would be referred to arbitration in line with the UNCITRAL Arbitration Rules. The appellants sold their interests to Tullow Uganda Ltd upon which the respondents issued tax assessments for Capital Gains Tax which the appellants objected to by filing applications in the Tax Appeals Tribunal. They however later attempted to stay the same applications opting to invoke Article 24 of the PSA, contending that this type of dispute ought to have been subjected to

Arbitration. The Tribunal rejected their argument.

On appeal, in determining inter alia whether tax matters were part of the dispute contemplated under Article 26 (1) of the Production Sharing Agreement regarding Arbitration and thus having the effect of fettering the mandate of the Tax Appeals Tribunal, **Hon. Justice Hellen Obura** emphasized the fact that the 1995 Constitution of Uganda empowers Parliament under Article

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[144] [1958] E.A.407.

[145] Civil Appeal-2011/14) [2011] UGCommC 97 (12 September 2011.

152 (3) to enact laws to establish Tax Appeals Tribunals for the purpose of settling tax disputes and objections (relating to assessments and other matters). She thus found that the Tribunal had rightly entertained the matter.

Why the Commissioner?

Obviously, it is a statutory mandate and obligation of the Commissioner General to do so. However, as noted by the Supreme Court in **URA V Meera investments,**[146] while interrogating the issue of whether the Commissioner General was the proper party to sue, the learned Justice Kanyeihamba noted that the purpose of empowering the Commissioner General to assess, demand, collect and sue for any tax not paid is to ensure that Uganda revenues are settled, collected and paid expeditiously.

Tax assessment is defined by section 3 of the TPCA to mean self-assessment, default assessment advanced assessment and additional assessment. Self-assessment is defined under section 3 of the Act to mean an assessment made by a taxpayer under section 20 of the TPCA. Section 16(8) obligates a taxpayer to file returns not later than six months after the end of a financial year. Thus by default a taxpayer is expected to assess themselves from the filed return, given that tax payable is certain as clearly stipulated by several tax statutes for instance (part 1 of the 2nd schedule) under the ITA.

A taxpayer who has submitted a self-assessment return in the prescribed form for a tax period is treated as having made an assessment for the tax payable including a nil amount (2820000 (part 1of the Second Schedule to the ITA)) for that period being the amount set out in the returns filed. This is set out in section 20(1) of the TPCA. Further, 20(4) states that a prescribed electronic form submitted by a taxpayer for a tax return is a self-assessment. Hence a self-assessment is considered to be a true reflection of the taxpayer's tax liabilities.

Additional assessment

This is defined under the definition section of the TPCA as an additional assessment made by the Commissioner under section 23 of the Act. This may be made by the Commissioner to amend the tax assessment made for a tax period to ensure that in case of an added loss or excess input tax credit, the taxpayer is assessed in respect of the correct amount as provided for under section 23(1) of the TPCA. An additional assessment maybe made at any time if fraud, or any gross or wilful neglect has been committed by or on behalf of a tax payer or new information is discovered in relation to tax payable for a tax period.[147]

However, this has a time limit of three years after the date the taxpayer filled his/her tax returns or the Commissioner served notice of the original assessment on the tax payer[148] or for the case of adding on the additional assessment, within three years from the date of service of the notice

[146] CA NO.22 OF 2007 (2009) UGSC 3.
[147] S. 23(2), TPCA.
[148] *Ibid.*

of the additional assessment[149] and this is limited to amending the alterations and additions made in an additional assessment.[150]

Finally under s. 23(7), service of a notice of additional assessment under the section does not change the due date for payment of the tax payable under the assessment as determined under the tax law imposing the tax and penal tax and interest shall remain payable based on the original due date thus where the tax payer is assessed to pay more tax than originally paid, the taxpayer shall as well pay penal tax on the extra amount assessed. However, where the circumstances leading to the additional assessment are occasioned by an error on the part of the Commissioner, the penal tax shall not be paid.

5. PAYMENT OF TAX

Due date for payment of tax

Income tax is charged on every person who has chargeable income for each year of income. Chargeable income is derived from three main types of income, namely; business, employment and property. Income tax is administered under the ITA.

Section 4(1) of the ITA states that,

"Subject to and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income."

The law relating to payment of income tax is further encapsulated in section 27 of the TPCA which sets out the mechanisms and processes by which payment of income tax shall be administered. This section sets out provisions for when the tax ought to be paid,[151] who shall collect the tax, and how one will be notified of the date of collection,[152] the time within which this tax shall be paid in,[153] as well as who may waive such duties upon a citizen and in addition spells out what grounds such waiver shall be made in subsection 4.

The law provides that tax is payable on a date specified in law for example we see that the law states provisional tax is payable in instalments after the 6th and 12th month.[154]

The amount owed by the party to the state shall be collected by the Commissioner serving a notice of demand on the person liable for such amount. This amount is payable on or before the date specified from the notice, this being a date that is not less than 28 days from the date of service of the notice.

The Commissioner may waive the amount or accept a lesser amount than is required to be paid, this is provided for in section 24(3) of the ITA where an objection has been reasonably made to a tax assessment.

[149] S. 23(2b), TPCA.
[150] S. 23(5), TPCA.
[151] S. 27(1), TPCA.
[152] S. 27(2), TPCA.
[153] S. 27(3), TPCA.
[154] S. 111, ITA.

Payment of provisional tax

This is provided for under section 111 of the ITA. It refers to the income tax during the income year rather than at the end of the year. A provisional taxpayer other than an individual may pay the tax in 2 instalments of provisional tax, or before the last day of the 6th and 12th month of the year of income. This is in respect to the tax payer's liability for income tax for that year.

The formula for the calculation of provisional tax for a year of income is provided for in Section 111 of the ITA as;

50% x (A-B)

A being the tax payable by provisional tax payer for the year of income

B being the tax withheld under the Act, prior to the due date for the payment of the instalment from any amounts derived by the tax payer during the year of income which will be included in the gross income of the tax payer for that year.

A provisional taxpayer who is an individual, is liable to pay four (4) instalments of provisional tax, on or before the last days of the 3rd, 6th, 9th and 12th month of the year of income in respect to the tax payers' liability for income tax of the year of income.

This is calculated according to the formula;

25% x (A-B)

A being the estimated tax payable by the provisional tax payer for the year of income.

B being the amount of the tax withheld under the Income tax Act, prior to a due date for payment of instalment, from any amounts derived by the tax payer during the year of income. This is included in the gross income of the tax payer for the year.

However, per section 111(6) of the ITA, it important to note that this obligation to pay income tax in the specified period of time may be waived by the Commissioner, upon written application and where good cause is shown by the applicant who seeks a waiver. This waiver may also be for the payment of varying amounts of the tax by that taxpayer.

The law also states in Section 111(8) of the ITA that each instalment of provisional tax shall be credited against the income tax for the year of income to which the instalment relates and in case the instalments credited under the aforementioned subsection exceed the amount stipulated by the formula or that which ought to be paid, the exceeding amount shall be dealt with by the Commissioner in accordance with section 113(3) of the same Act which provides for a refund.

6. APPEALS AND REVIEWS

Whenever a taxpayer is dissatisfied with a tax assessment by URA, they are at liberty to raise an objection with the Commissioner General (CG) of URA. S.24 of the TPCA defines an objection as a communication in writing from a taxpayer to the CG expressing dissatisfaction with an assessment raised on them. The same piece of the law prescribes that an objection must be in writing and it should specify grounds for objection. It should be lodged within 45 days after receiving notice of assessment and where one is late, the onus is on them to show that they were absent from Uganda or that they were sick or any other reasonable cause. If there is no extension of time within which to lodge an objection granted by the CG, the taxpayer may under s. 24 of the TPCA proceed to the Tax Appeals Tribunal (TAT) for review within 45 days of denying the extension.

After going through the grounds, a taxpayer finds irritating, the CG is required to serve an objection decision within 30 days after the objection was lodged. An Objection decision is defined as one made by the CG to allow a taxpayer's objection in whole or in part or disallow it.[155]

In the 2020 judgment by Justice Christopher Madrama; **Kampala Nissan Uganda Limited v Uganda Revenue Authority,**[156] while objecting against an assessment by the respondent that imposed VAT and a penalty to the total tune of Ugx 300m, the appellant sought to rely on a letter by the Commissioner Large Tax Payer's Department exempting them from VAT liability on bond sales seeing as the customers paid it direct to URA. A review was set up within the tax collecting organ that found that the letter erred. The objection decision then, was that estoppel could not capture a statutory obligation to pay tax. If there is no objection decision within 90 days, the tax payer, by writing, elects to treat the CG as having accepted the objection in whole.

Where a taxpayer is dissatisfied with the Objection Decision S.25 of the TPCA provides more avenues to seek redress. One can launch an application for review with the Tax Appeals Tribunal within 30 days from the date of the Objection Decision. A copy must be served to the Commissioner General. 30% of the Tax in dispute or the part which is not in dispute, whichever is greater must be deposited with the TAT. This is the reason most people stay away from proceeding with the TAT at first.

The 2020 decision of **Fuelex (U) Ltd v URA**[157] became a Constitutional Reference in 2009 because the appellant was contesting against the constitutionality of the 30% of the tax levy.

The sole question the tribunal framed and referred to this court was whether section 15 of TAT contravenes art 21,126(2a) of the constitution in as far as requiring a tax payer who has lodged a notice of objection to an assessment to, pending final resolution of the objection, pay 30% of the tax assessed or that part of the tax assessed not in dispute, whichever is greater.

Court however found that that this requirement was unjust, as it favoured one of the disputants to the detriment of the other, and is against the rule of law of equal access to justice for everyone as it is an impediment to the exercise of the right.

However, this constitutional court order has been appealed to the Supreme Court, it leaves some questions on how to apply it before that TAT.

- Is s.15 of the TAT act now limited to objections that are concerned only with the amount of tax assessed and does it not extend to assessments based on purely technical disputes?

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[155] S. 1(1) (g), TPCA.
[156] [2011] UGHC 139.
[157] [2020] UGCC 10.

Or has it been rendered void altogether? The constitutional court in this case has no power to modify s.15 which it has found to be unconstitutional, to make it only applicable to certain circumstances. Thus the Supreme Court is now left with the task of finalizing this matter.

- Rationale of 30% payment

  To ease collection of taxes for the government as court processes normally take a long time.

The practice of dodging the TAT had gone on for a while until the Supreme Court settled it in **URA v Rabbo Enterprises,**[158] where it held that there is no concurrent jurisdiction. The Court added that the High Court may have original unlimited jurisdiction in all matters but when it gets to tax matters, that job is done by the TAT, the High Court retaining only an appellate role.

One can appeal to the High Court within 45 days after the Objection Decision. A copy must be given to the Registrar of the High Court, the Respondent, the TAT and then to the CG within 5 days of lodging the appeal. The High Court appeal must only be on a question of law and that should be clearly stated in the notice of appeal. This is to ensure taxpayers do not waste court's time.

It should be noted that the **Rabbo** decision overturned the Supreme Court's earlier decision in **Meera Investments v The Commissioner General, URA,**[159] where it had been held that the High Court had unlimited jurisdiction to handle tax matters and as such a taxpayer was free to go it directly without first going to the TAT. **Rabbo** is the prevailing law.

According to S.26 of the TPCA, the burden of proof lies on the person who lodges the objection. Further, according to S. 18 of the Tax Appeals Tribunal Act, where the taxation decision is an objection decision in relation to an assessment, the applicant has the burden of proving that, the assessment is excessive; or in any other case, the taxation decision should not have been made or should have been made differently.

7. ENFORCEENT MECHANISMS

When tax has not been paid by the due date, it is a debt due to the Government and the Commissioner may sue for the recovery of tax owed in a court of competent jurisdiction.[160] **Collection from persons leaving Uganda**

The Commissioner may issue a certificate containing particulars of tax payable to an officer in charge of immigration control to stop one from leaving the country if he/she believes that the taxpayer will leave Uganda permanently without paying the tax due.[161] A certificate signed by the Commissioner is sufficient proof of payment.[162]

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[158] [2017] UGSC 20.
[159] [2007] UGCA 62.
[160] Section 29, TPCA.
[161] Section 30(1), TPCA.
[162] Section 34A (6), VAT Act.

Recovery of Tax through Persons Owing Money to the Taxpayer

The Commissioner can under S.31 of the TPCA recover tax through third parties owing money to the taxpayer by notice in writing to pay the amount specified. The third party also could be one that owes money to the taxpayer or holds money or an account for the taxpayer or has authority from some other person to pay money to the taxpayer.

This mode of recovery was discussed in **Tullow Uganda Ltd v Heritage Oil & Gas Ltd and Heritage Oil PLC.**[163] The claimant and the first defendant, each held a 50% exploration interest and rights in the license of certain petroleum exploration areas in Uganda. The claimant wished to extend its commitment to Uganda and the defendant to realize its investment in Uganda and move on. Under their Joint Operating Agreement, it was stated that in the event the defendant wanted to dispose of its interest then Tullow had a right of pre-emption. Thus, when Heritage sent its first letter of intent, the parties instead signed a sale and purchase agreement (SPA). Under the SPA, Heritage indemnified Tullow against non-transfer tax. Any non-transfer tax arising in respect of the transaction including capital gains tax, was to be borne by Heritage. In the event that any non-transfer tax is charged on Tullow in connection with the transaction, Heritage undertook to pay Tullow an amount equal to such tax. The SPA also obliged Tullow to give Heritage notice of any tax claim it received.

The dispute arose out of the indemnity sought by the claimant in respect of the payment to GOU of US dollars 313,477,500. The Commissioner of URA sent notices to Tullow in accordance with the then s.106 (now s.31 TPCA) and 108 of the ITA. Section 106 in particular stated a condition that became an issue of contention, that the taxpayer must have failed to pay tax on the due date and secondly, the tax payable <u>should not be subject of a dispute</u>. This brought in the issue of the validity of the assessment notices. Heritage claimed that the notices were invalid because the tax was part of a dispute thus the question what amounts to a tax dispute?

Professor Bakibinga, as an expert witness in the case guided thus;

> ***"…there is a distinct and deliberate difference between the words due and payable (coupled with the saving for the existence of a dispute) in s106 and due in s108 , the latter of which is intended to regulate, and be applicable only to, tax recoverable in respect of a non-resident. A s106 Notice can only be served if the tax is due and payable and not if there is a dispute; thus plainly during the 45 days no s106 Notice can be served, and after the 45 days, if***

there has been payment of the deposit and an objection within the 45 days, then there can be no s106 Notice issued because no sum is payable. In the case of s108 however, as a result of the difference in wording, there is no such limitation, and a s108 Notice can be served in respect of the amount assessed against the taxpayer (or the balance after any payment by way of deposit or on account) even though it is not payable and even though there may be a dispute."

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[163] [2013]EWHC 1656 (Comm).

The Judge agreed with him. Consequently, the notices were found to be valid as per Ugandan law. As such, the assessment was proper and Tullow was to be indemnified by Heritage.

Frank Babibaasa v URA,[164] also brought into issue the then s.103 of the ITA on validity of assessment notices. The brief facts are that Frank was a whistle blower for URA and from this he got paid (given a token of appreciation). Frank challenged this income being taxed. Court held that it was chargeable income. However, the assessment notices issued by URA were not valid, since s.103 of the ITA stated that the due date for payment of tax is within 45 days from the date of service of the notice of assessment. But in this case, the agency notice was issued on the same day as the assessment notice thus making it invalid.

Hon Remmy Kasule in the case of **CADER V URA & STANDARD CHARTERED BANK,**[165] lays down the requirements for issuing an agency notice;

1. There is a failure by a taxpayer to pay income on a date the said tax is due and payable.
2. The tax payable is not subject of a dispute.
3. There must be notice in writing.
4. The addressee of the notice must be owing or holding or has authority to pay money belonging to the tax payer.
5. The notice must be issued by the Commissioner.
6. The notice must have in it the date when money is to be paid to the Commissioner.

Recovery by distress proceedings.[166]

This encompasses sell of the movable property of the taxpayer. A distress order shall specify, the taxpayer against whose property the order is issued, the amount of the unpaid tax liability, the property to be executed, and the tax liability to which the order relates.[167] A police officer is to be present during the proceedings.[168] A notice should be attached to any property under a distress order[169] and if the taxpayer does not pay up within ten days after distress is executed, then the property shall be disposed of by sale by public auction or in any the manner the Commissioner may direct.[170]

Temporary Closure of Business.

The Commissioner may notify a person in writing of the intention to close down part or the whole of the person's business premises for default in paying a tax that is due

[171] S. 33(1), TPCA.

and payable, within seven days from the date of the notice.[171] Where a taxpayer does not pay the tax due after

[164] (HCT-00-CC-CS-2011/434) [2013] UGCommC 3 (21 January 2013).
[165] HCMA 734 OF 2006.
[166] S. 32, TPCA.
[167] S. 32(2), TPCA.
[168] S. 32(3(b), TPCA.
[169] S. 32(4), TPCA.
[170] S. 32(5(b), TPCA.

[171] S. 33(1), TPCA.

service of a notice, the Commissioner or authorized officer may issue an order to close down part or the whole of the business premises of the taxpayer for a period not exceeding fourteen days.[172] The Commissioner may demand entry into premises with the presence of a police officer.[173]

Charge over Immovable Property.

If a taxpayer who is the owner of land or a building in Uganda does not pay tax by the due date, the Commissioner may, by notice in writing, to the Registrar of Titles direct the Registrar that the land or buildings in the notice are the subject of a security for unpaid tax[174] with a notice served on the tax payer.[175] This shall act as a caveat and be considered before any mortgage or encumbrance on the land.[176] But the Commissioner can register an actual caveat to prevent sale or any other transaction.[177] After twelve months of receiving the notice, without the taxpayer paying, then distress proceedings shall be commenced.[178]

Seizure of goods.

The Commissioner or a tax officer authorized in writing by the Commissioner may seize any goods in respect of which there are reasonable grounds to believe that the tax payable in respect of the supply, removal or import of the goods has not been paid.[179] Goods seized shall be stored in a place approved by the Commissioner or authorized officer for the storage of seized goods.[180] The person seizing the goods shall obtain a written statement from the owner or the person who has custody or control of the goods at the time of the seizure, specifying the quantity and quality of the goods.[181] Where goods are seized, the Commissioner shall, within ten days after the seizure, serve on the owner of the goods or the person who has custody or control of the goods immediately before the seizure, a notice;[182]

- identifying the goods;
- stating that the goods have been seized under this section and the reason for the seizure;
- setting out the terms for the release or disposal of the goods.

Where after making reasonable enquiries, the Commissioner does not have sufficient information to identify the person on whom a notice should be served, the Commissioner may serve the notice on a person claiming the goods, but that person must give sufficient information to enable the notice to be served.[183] The Commissioner may authorize the release of any goods seized

[183] S. 35(5), TPCA.

[172] S. 33(2), TPCA.
[173] S. 33(3), TPCA.
[174] S. 34(1), TPCA.
[175] S. 34(2), TPCA.
[176] S. 34(3), TPCA.
[177] S. 34(6), TPCA.
[178] S. 34(4), TPCA.
[179] S. 35(1), TPCA.
[180] S. 35(2), TPCA.
[181] S. 35(3), TPCA.
[182] S. 35(4), TPCA.

[183] S. 35(5), TPCA.

where a person has paid, or gives security for the payment of the tax assessed as payable or the tax that will become payable in respect of the supply, removal, or import of the goods.[184]The goods can also be disposed of by distress.[185]

Security for unpaid tax.

A taxpayer may be required, by notice in writing, to give security by bond, deposit, or otherwise satisfactory to the Commissioner, for the payment of tax that may become payable, if there is reason to believe that a taxpayer establishing a business in Uganda intends to carry on the business for a limited time only or a taxpayer may not pay tax when it becomes payable.[186]

[184] S. 35(6), TPCA.
[185] S. 32(6), TPCA.
[186] S. 36, TPCA.

[184] S. 35(6), TPCA.
[185] S. 32(6), TPCA.
[186] S. 36, TPCA.

8. TAX OFFENCES AND PENALTIES

If one fails to furnish returns by due date or further time allowed by the Commissioner, they are liable to penal tax of 2% of the tax payable before subtracting any credit allowed,[187] and payment of 25 currency points or liable to conviction. When taken to Court, if the tax arrears are not paid within time, one becomes liable to a fine not exceeding 50 currency points.[188] Failure to maintain proper records makes one liable to pay penal tax equal to double the amount of tax payable from the period of failure.[189] The person also becomes liable to a conviction and fine not exceeding 48 currency points.[190]

A penal tax of fifty million is imposed for failure to provide records in respect of transfer pricing within 30 days when requested by the Commissioner and twenty million for failure to provide further information.[191] One pays tax double the amount of the excess for misleading statements or omission of information.[192] And, also a fine not more than 48currency points or imprisonment for 2years.[193]

Penal Tax is charged for understating provisional tax estimates. A provisional taxpayer, whose estimate or revised estimate of chargeable income for a year of income is less than ninety percent of the taxpayer's actual chargeable income assessed for that year, is liable to penal tax equal to twenty percent of the difference between the tax calculated in respect of the taxpayer's estimate, or as revised, of chargeable income and the tax calculated in respect of ninety percent of the taxpayer's actual chargeable income for the year of income.[194]

In the case of VIVO Energy v URA[195] the applicant acquired leases for placement of their fuel stations for which they had paid premium and rent. The premium and rent were treated as deductible expenses by the respondent. The respondent imposed a penalty on the applicant for purportedly filing an amended provisional return out of time.

The issues were whether the premium and rent paid were deductible expenses under the ITA? It was held that rent is a revenue expenditure and as such vivo was entitled to a deduction.

And on whether it was proper to impose penalty under **the then** s.154 of the ITA **currently s.51 (2) TPCA**? The respondent contended that because the revised estimate filed by the

[193] S. 58, TPCA.
[194] S. 51(1), TPCA.
[195] [2018] UGTAT 1

applicant was out of time and penal tax should be imposed using the provisional assessment filed by the latter. The applicant's financial year runs from January to December. The estimate is not in dispute but rather the time of filing the revised provisional return which is in dispute. The applicant filed on 30th December. The amount the applicant paid on 30th December corresponds

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187 S. 48, TPCA.
188 S. 54, TPCA.
189 S. 49, TPCA.
190 S. 56, TPCA.
191 S. 49A, TPCA.
192 S.50, TPCA.

193 S. 58, TPCA.
194 S. 51(1), TPCA.
195 [2018] UGTAT 1

with the amount indicated in the revised provisional return. **There is doubt as to how the applicant would have paid the taxes without filing the revised tax estimate**. The penal assessment set aside.

A provisional taxpayer whose estimate or revised estimate of gross turnover for a year of income is less than ninety percent of the taxpayer's actual gross turnover for that year is liable to penal tax equal to twenty percent of the difference between the tax calculated in respect of the taxpayer's estimate, or as revised, of gross turnover and the tax calculated in respect of ninety percent of the taxpayer's actual gross turnover for the year of income.[196]

Section 51 of the TPCA does not apply to a taxpayer who is in the business of agricultural, plantation, or horticultural farming.[197]

A person who does not apply for registration as required under a tax law is liable to a default penalty equal to the higher of – double the amount of tax payable during the period commencing on the last day of the application period until the person files an application for registration with the Commissioner or the Commissioner registers the person on the Commissioner's own motion; or fifty currency points.[198] The penalty imposed shall be recovered and collected by the Commissioner as if it were unpaid tax.

Liability for penal tax is calculated separately in respect of each section dealing with penal tax.[199] The Commissioner serves a notice setting out the penal tax payable and the due date. The due date should not be less than 28 days from the date of service of the notice.[200]Penal tax shall not be imposed on a person for an act or omission if the person has been convicted of an offence for the same act or omission. Where penal tax has been paid and criminal proceedings are instituted in respect of the same act or omission, the Commissioner shall refund the amount of penal tax paid.[201] Where good cause is shown, in writing, by the person liable to pay penal tax, the Minister may, on the advice of the Commissioner, remit in whole or part, any penal tax payable.[202] Penal tax is treated as unpaid tax and shall be recovered and collected as unpaid tax.[203]

A person who does not comply with the;[204]

a) Notice served on them under section 31 TPCA for the recovery of tax through persons owing money to the tax payer.
b) Notice served under section 18(2) (i) TPCA where the commission may require the tax payer or their representative to furnish a tax return for a

[204] S. 55, TPCA.

period by the date

[196] S. 51(2), TPCA.
[197] S. 51(3), TPCA.
[198] S. 52(1), TPCA.
[199] S. 53(1), TPCA.
[200] S. 53(3), TPCA.
[201] S. 53(4). TPCA.
[202] S. 53(5), TPCA.
[203] S. 53(6), TPCA.

[204] S. 55, TPCA.

specified in the notice and this date maybe the date before the otherwise usual date.

(ii) Notice to pay any tax due under the return.

c) To provide reasonable facilities and assistance required under section 41 which provides for the access to promises, Records and Data storage devices.

d) Notice to obtain any information or Evidence by the Commissioner as provided in section 42 of the TPCA.

e) Get a tax clearance certificate prior to performing an act specified in section 43 of the Act. It provides for a passenger transport service r freight transport service with a goods vehicle with the capacity of two tonnes or more to get a clearance certificate.

To get a clearance certificate the tax payer has to apply to the commissioner.

f) Comply with sections 11, 13, 47 or 72 of the TPCA.

Section 11-registration of addition or substitution of a tax agent.

Section 13-cancellation of a Tax Agents Registration, an agent that ceases to carry out business they must notify the committee.

Section 47- provides for confidentiality, any tax officer that discloses any information is liable under this section.

Section 72-the manner in which to furnish documents or services of notice, this should be done directly and personally or to the persons registered address.

All these offences are liable on conviction to a fine not exceeding 25 currency points. The use of a false TIN shall be liable on conviction to a fine not exceeding 24 currency points. A person who uses another person's TIN is deemed to have used a false TIN except in the circumstances provided for in section 5(6) i.e. with written permission of the TIN owner or where the registered tax agent uses the TIN in respect of tax affairs of the taxpayer.[205]

If a person obstructs a tax officer in the performance of their duties, they shall be liable to a fine not exceeding 48 currency points or imprisonment not exceeding 2 years.[206]

Any person who aids or abets a tax an offence shall be liable to get the same punishment as that imposed on the principle offender.[207]

[208] S. 61, TPCA.

A person who;[208]

a) Rescues goods subject of an order under section 32 TPCA for goods in distress, goods that are in premises of an order under section 33 TPCA which provides for temporary closure for failure to comply with tax obligations or that have been seized under order 35 TPCA.

[205] S. 57, TPCA.
[206] S. 59, TPCA.
[207] S. 60, TPCA.

[208] S. 61, TPCA.

b) Before, during or after any distress under section 32 or 35 TPCA, breaks or destroy goods to prevent their seizure, the securing of goods or the proof of an offence.

c) Enters the premises subject to section 33 TPCA without the commissioner's permission.

They shall be liable on the conviction to a fine not exceeding 48 currency points or a sentence not exceeding 2 years.

If a person does not apply for registration as required or does not notify the commissioner of a change in registration of particulars or circumstances as required by tax law or does not apply for the cancellation of registration as required. And where there is failure or registration is done recklessly, the person is liable to a fine not exceeding 50 currency points or 2 years.[209]In other cases they are liable to 25 currency points or 1-year imprisonment.

A tax officer who;[210]

a) Directly or indirectly asks for a reward whether pecuniary or not which is not payment that the officer is lawfully entitled to.

b) Enters in an agreement to abstain from doing, permit or connive, in doing anything or conceal any act where the tax is defrauded or contrary to tax provisions

Liable to 48 currency points or not exceeding 2 years or both.

2) A person who;

a) Directly or indirectly bribes an officer.

b) Proposes to enter an agreement with the officer to abstain from doing, permit or connive to do anything conceal any act where the tax is defrauded or contrary to tax provisions.

Liable to pay a fine not exceeding 48 currency points or 2 years of imprisonment.
An officer who informs the commissioner of their acts is exonerated from prosecution but is liable to 25% of what the fine would have been.
A person who tells the commissioner of their actions under (2) shall be exonerated but liable to payment of the tax that was not paid as a result.

6) A person who impersonates a tax officer shall be liable to pay a fine not exceeding 50 currency points or imprisonment not exceeding 2 years.

Offences committed by companies are treated as offences committed by the person

211 S. 64, TPCA.

who at the time is; CEO, managing director, company secretary, treasurer or a similar offence in the company, Acting or purporting to act in that person and in a partnership, every partner at the time of the commission of the act is liable.[211]

[209] S. 62, TPCA.
[210] S. 63, TPCA.

[211] S. 64, TPCA.

This does not apply where the offence is not committed by the person with no consent from the people specified above or has exercised all due diligence to prevent the commission of the offence. For an unincorporated association or body, it is committed by the person involved in the management or acting or pupating to act in that capacity.

Under s.66 of the TPCA, except for offences under section 63, the Commissioner at any time before the proceeding may enter into an agreement with the offender to compound the offence if the offender agrees to pay the commissioner any unpaid tax and an amount not exceeding the maximum fine imposed by law.

The Commissioner can only compound the offence if the offender admits to committing the offence and requests of the commissioner to enter a compounding agreement in relation to the offence.

The agreement should specify the name of the offender, the offence committed, sum of money to be paid and date of payment

- ✓ A copy of the written admission shall be served on the offender.
- ✓ It is not subject to appeal.
- ✓ It is treated as proof of conviction of the offender for the offence.
- ✓ Where the commissioner compounds an offence, the offence is not liable to prosecution or penal tax in respect of the offence.

The amount of any tax due and payable under tax law is not abated by reason of conviction.[212]

9. CONCLUSION

Taxation is the most secure and most reliable way by which Governments raise money. It is therefore crucial that there be a systematic and efficient organ to steer and oversee the assessment and collection of taxes. Similarly, it is paramount and most desirable that the enforcement of the tax system in the event of non-compliance not only be effective but also reasonable and realistic as not to oppress taxpayers.

The administration of Uganda's income tax system whereas not perfect, is a good work in progress. The URA has done a credible job in its almost 30 years of existence. As discussed above, there is a proper way of filing returns. Assessments are made largely on the basis of taxpayers' returns save in instances when the Commissioner must intervene to save the Government from losing revenue. The ITA and TPCA, provide, with laudable certainty the time when taxes are due, and the manner and means in which they should be paid. The TPCA and the TAT Act elaborately provide for how dissatisfied taxpayers may challenge the Commissioner's tax decisions so as to ensure that taxpayers only pay taxes when they are content with the fairness of the assessment and other incidental matters.

Fundamentally, the country continues to grapple with policies and laws that can widen its strained tax base. It is submitted that whereas this is desirable and necessary, policy makers and

[212] S. 67, TPCA.

legislators should not do it at the expense of taxing the population into poverty. If anything, it should be a balancing act that works for the common good of the State, taxpayers and the non- taxpayers.

<u>**Interpretation of Statutes**</u>

A. Sources of Laws.

A source is where the law draws its content and force. In Uganda the Supreme Law of the land is the Constitution. There are 4 main categories;

i. Primary or Principle Legislation that have a bearing on taxation. These include sources such as the Income Tax Act, the Value Added Tax and Excise duty Tax Act, URA Act etc. These laws can either be;

  - An enabling statute which makes it lawful to do something which would not otherwise be lawful.
  - A repealing statute which is one that expressly or by necessary implication invokes or terminates another statute.
  - An amending statute that makes an addition to or operates to change an original law so as to effect an improvement for the better implementation of the original law.
  - A codifying statute which presents an orderly and authoritative statement of the leading rules of law on a given subject.
  - A consolidating statute is one that presents a whole body of statutory law on a given subject in complete form.

ii. Surbodinate, Subsidiary, secondary or delegated legislation. These include statutory instruments like regulations, rules and the like. The interpretation act under Sec. 18 provides that a S.I inconsistent with any act under which the instrument is made will be void to the extent of its consistency.

They are usually used to place mechanisms for the proper and efficient operation of a principal law. They should not therefore impose any tax.

iii. International Agreements. The country will be governed by international treaties that they assented to such as the General Agreements for Tariffs and Trade. (GATT) These laws govern how taxes will be imposed on nonresidents and the free trade zones.

iv. Common Law, Case Law and Judicial precedent. This mainly relates to the body of law created by court decisions rendered by judgements. Courts usually apply certain rules when interpreting the meaning of words and language used in law which subsequently may serve as precedent.

Common Law mainly concerns the principles and customs that are of English origin which have been recognised and given the force of law because they are enriched by concepts and precepts of justice, equity and good conscience which are of general application. The growth is founded on the principle of stare decisis which means to stand by what has been decided.

B. Interpretation of Statutes

Interpretation of statutes is the process where we ascertain the true meaning of words used in a statute. It is generally accepted that words should be given their plain and natural meaning unless a definition section provides otherwise. It therefore only becomes necessary to resort to the principles or rules of interpretation that have been adopted by the courts where there is an ambiguity or inconsistency or obscurity in the law. These are; the golden rule, the literal rule and the mischief rule.

The sources of law under Tax stem from the Constitution of Uganda, to the statutes such as the Tax Procedure Code Act, The Income Tax Act etc. In the process of interpretation, several aids are used which include interpretation and act, and specific interpretation sections in individual acts. The non-statutory provisions include reliance on common law.

Particular to tax law, interpretation cannot be found anywhere else except in the words of the legislature because under Art. 152, no tax can be found anywhere else except under the authority or an act of parliament. This would mean that a government body or court should not extend the words of a tax to impose one yet the law doesn't provide for it. The provisions have charging provisions, incentive provisions, concession provisions and procedure provisions that interpret the context. Tax laws are amended more than any other law.

Tax law is therefore unique because it touches human activity at so many points. The tax provisions shouldn't be interpreted without consideration of overlapping areas in law e.g., OTT & the Right to Freedom of Expression Association and Assembly, the right to Information etc.

a. The Literal Rule

This is a fundamental rule to which all the others are subordinate. It is the most widely used rule for interpreting tax laws or any other laws generally. The rule fundamentally stipulates that words used in a law must be interpreted according to their literal, ordinary and natural meaning. The assumption is that they are words that an ordinary and natural person would understand them to mean.

Therefore, if the language used is plain and unambiguous, then the law must be applied accordingly even though the intention of the legislature may have been different or the result is harsh and undesirable. The supporters of this method mainly argue that it prevents courts form taking sides in legislative or political issues, and therefore helps to provide consistency in interpretation. The nay sayers however argue that the rule rests on the erroneous assumption that words have a fixed meaning, and yet situations may change.

b. The Golden Rule

This rule is to the effect that if the words used are ambiguous, the courts should adopt an interpretation which avoids an absurd result so as to achieve the obvious intention of the legislature as well as produce a rational construction of the statute. However, if a gap is identified in the application of this method, the remedy is for the provision of the act to be amended and not for the courts to fill in the gap.

The purposive rule that is similar to the Golden Rule focuses on giving the purpose for which a law is enacted. It prescribes that when interpreting a provision of law, it is not always the case that a strictly literal interpretation of a provision should be adopted. If the interpretation of the provision is going to lead to an absurdity, the meaning of the words should be interpreted in such a way to avoid the absurdity.

c. The Mischief Rule

This rule seeks to determine what the intention of parliament was. It provides that the law should be interpreted with reference to the problem that it set out to cure. Heydon's case sets out the questions that should be asked when applying this principle; i. what was the law before the new law was passed; ii. What was the mischief, problem or defect that the new problem was trying to remedy; iii. What was the remedy that parliament was trying to provide so as to cure the mischief and; what was the reason for the remedy.

This rule is however rarely applied and only relied on after courts have exhausted all other modes and aids to interpretation. The rationale is that is the legislature wanted to capture a certain event, they would have expressly stated so. The application of this rule is seen to give judges too much discretion compared to the golden and the literal rule that effectively decide on the intent of parliament.

Cases applying the Rules

Three main cases can be used to analyse the application of these rules; I.R.C v.

Duke of Westminster, Ramsay v. I.R.C and Furniss (Inspector of Taxes) v. Dawson.

a) **Literal Rule**

I.R.C v Duke of Westminster in application of the Literal Rule established the principle that; *Everyman is entitled if he can to organise his affairs so that a tax statute is less than it would otherwise be.* This directly means that individuals were allowed to organise systems and procedures that would ideally help reduce the amount of taxes that they would pay.

In this particular case, the duke used to employ a gardener and pay him from his post-tax income which was substantial. In order to reduce the tax, he agreed by covenant to pay the gardener an equivalent amount but over a long period of time. Under the tax laws at the time, this allowed the Duke to claim the expenses as a deduction, thus reducing his taxable income and liability towards income tax and surtax. The I.R.C thus brought the action arguing that the defendant was avoiding a tax that he was meant to pay giving rise to the rule.

The introduction of this Westminster doctrine led to rampant cases of tax avoidance as the assumption was that individuals could create whatever processes in order to organise their finances. Tax avoidance is defined in ***I.R.C v Willoughby*** as a tax payer reducing his liability to tax without incurring economic consequences that parliament intended to be suffered by any tax payer qualifying for such reduction in his tax liability.

In deciding ***I.R.C v McGuckian,*** **Lord Steyn** in analysing the application of taxation laws stated that; previously, tax law followed by and large literal interpretation of laws and therefore courts felt compelled to follow a step-by-step analysis of schemes and procedures being applied to avoid taxation. The understanding was that the steps were genuine i.e., without malice and therefore courts did not look at the form or strategy of the transactions. It was due to this literal interpretation that tax avoidance was allowed to flourish to the detriment of tax payers. The Westminster doctrine relied on spoke nothing about the methods or orders of organising one's affairs that would be recognised by the courts as effective methods to lessen the taxes.

The judge continued to emphasise that the literal application and formalistic insistence on examining steps in a composite scheme was what allowed tax avoidance to flourish.

b) Purposive Rule

The ***Ramsay v I.R.C***. introduced a more purposive approach to interpretation of Taxation Laws. It fundamentally established that the methods applied by a company or an individual should be looked at broadly and not based on process by process. The court stated that legislation cannot require courts to arrive at a decision that corresponds with the party's own intentions. Loss and gain are an indivisible process measured at the end to determine the tax and this is within the judicial function of the court.

In this case, the applicants in order to avoid the chargeable gains tax that would accrue from the profits made created a scheme where a similar concurrent transaction would operate at a loss. The resultant effect was that money would pass around in a circle and the applicants would still make a profit.

The court in this case also noted that the function of the court is to apply strictly and correctly the legislation which parliament has enacted. If the taxpayer escapes the charge, it is for parliament, if it disapproves of the result, to cover the gap.

c) The conflict and difference between the cases

The Westminster doctrine and the Ramsay principle meet at loggerheads in ***Furniss (Commissioner of Taxes) v. Dawson.*** This was especially shown when the Court of Appeal applied the Westminster Doctrine but the House of Lords overturned this decision with one of the reasons being that the Ramsay principle would be undermined almost to the point of being rendered ineffective.

In this case, respondents owned a company which Wood Bastow Holdings Ltd offered to buy. If the respondents had directly sold the company, they would pay a substantial amount of capital gains tax. There was a rule at the time that if the shares in company A were sold to company B, there would be no capital gains tax payable immediately. It would only be payable when (if ever) that person later sold the shares in company B. To take advantage of this rule, the Dawsons created a company Greenjacket Investments Ltd which they sold the operating companies which then sold the operating companies to Wood Bastow Holdings.

The court stated that: "First, there must be a pre-ordained series of transactions; or, if one likes, one single composite transaction. This composite transaction may or may not include the achievement of a legitimate commercial (i.e. business) end… Secondly, there must be steps inserted which have no commercial (business) purpose apart from the avoidance of a liability to tax - not 'no business effect.' If those two ingredients exist, the inserted steps are to be disregarded for fiscal purposes. The court must then look at the end result. Precisely how the end result will be taxed will depend on the terms of the taxing statute sought to be applied."

In IRC v McGuckian, **Lord Browne-Wilkinson** stated that the question in a process where procedures have been taken to reduce the tax is not whether the procedure has successfully reduced the tax burden but rather what was the purpose of the procedure? It is irrelevant to consider whether or not to disregard the effectiveness of the artificial steps which were designed in the first place to only reduce a tax burden.

If the transaction was not part of a business venture or has no business intention it will be considered as an artificial step.

Therefore, where the tax payer choses a course which is seen to involve tax avoidance as opposed to tax mitigation, it follows that avoidance must be seen as at least one of the tax payers purposes in adopting that course whether or not the tax payer has formed the intention of avoiding taxes.

NB. The fundamental difference amongst these cases is that the Westminster's doctrine is still applicable to the extent that such a transaction is between legal persons and not companies. The other cases were all companies trying to apply a doctrine with the major intention of avoiding taxes which is illegal.

The Cape brandy syndicate vs. the commissioners of Inland Revenue

The Appellants, three members of certain firms engaged in the wine trade, entered into an oral agreement to form a syndicate, independent of their respective firms, with a view to acquiring as a speculation a quantity of brandy from the Cape Government for subsequent sale on their joint account. The brandy was bought in three instalments through an agent in Cape Colony, the Appellants being unaware in the first instance of the total quantity available. A small quantity of the brandy was sold by the said agent on commission and the balance was shipped to the United Kingdom, blended by the members' firms with French brandy purchased by the syndicate and re- casked and sold in numerous lots, over a period ending September, 1917, by those firms on behalf of the syndicate. The proceeds of the sales, less the usual charges for commission and other expenses, were paid by the members' firms to the syndicate. None of the Appellants had previously or since been engaged in a similar transaction.

The Appellants contended that they carried out an isolated transaction of a speculative nature, which was not a trade or business within the meaning of Section 39 of the Finance (No. 2) Act, 1915; and, alternatively, that if they carried on a trade or business, the profits arising from a business commencing after 4th August, 1914, were not chargeable to Excess Profits Duty.

Held by Rowlatt J:

In taxation you have to look simply at what is clearly said. There is no room for any intendment, there is no equity about tax, there is no presumption as to tax: you read nothing in. You imply nothing but you look fairly at what is said and what is said is the tax.

Where two laws are on a similar matter they should be constructed or read together. In this particular case court should look at section 45 of the 1916 Act and the Act of 1915 together because one extends the others scope although they do not contain similar words.

Lord sterndale referred to the schedule of the Act as a further aid to interpretation and reached the conclusion that the Act excluded a business that existed before the pre-war period.

Inland Revenue Commissioner vs. Duke of Westminister

The Duke executed deeds with persons then in his employ (including his gardener) in which he covenanted to pay to them certain weekly sums for a period of seven years or the joint lives of the parties. The deeds recited that the payments were made in recognition of past services faithfully rendered to the Duke and that the Duke desired to make provision for the person notwithstanding that he may continue in the Duke's service (in which event he will be entitled to remuneration in respect of such future service) or may cease to work for the Duke.

Letters of explanation (which were acknowledged by the employees) were sent to each employee informing him that he could claim full remuneration for future work but that it was expected in practice that he would be content with the provision made by the deed plus such sum (if any) as might be necessary to bring the total payments up to the level of the salary or wages he had lately been receiving.

The recipients at the time the deeds were executed were receiving fixed wages or salaries and after execution of the deeds continued in the Duke's employment and continued to receive such sums as, with the sum payable by the deed, made up the amount of the wages or salary payable before the deed and no more.

The Issue

If the amounts paid under the deed in respect of periods during which the persons were in the Duke's employ were remuneration for services, they were not deductible in computing the Duke's liability for surtax. If, on the other hand, the amounts were annual payments, they were deductible. Thus, the issue was whether the payments under the deeds were remuneration for services or not.

Held:

Atkin J; While interpreting a document you must not go beyond the legal effect of the agreements and conveyance made, it must be construed with ordinary rules in reference to all surrounding circumstances and reference must be made to preceding words before sentences.

Applying this principle court decided that the payments were not remuneration for services. The letter was not a contract, only an expression of hope or anticipation and even if it was a contract, it was nothing more than a contract that the person's remuneration for future services will not be full remuneration but only the additional sum referred to in the letter.

Opoya vs Uganda

The two appellants were jointly tried and convicted of robbery with aggravation (committed with a common design) (ss. 272 and 273 (2), Penal Code) and were sentenced to death, the trial judge feeling himself bound by the Kichanjele case (1) that a sentence of death is mandatory under s. 273 (2), Penal Code.

Sir Clement De Lestang VP:

It was the rule in the past for penal laws to be construed strictly. The rule was rigorously applied in favorem vitae when so many trifling offences were punished. It has lost its force with application of death and where an equivocal word or an ambiguous sentence leaves reasonable doubt as to the meaning of the law which the canons of interpretation fail to solve the benefit should be given to the subject there is now no distinction between the construction of penal laws and other laws.

The duty of the court is to put the language of legislature honestly and faithfully it's plain and rational meaning according to its express an manifest intention.

Crane Bank v Uganda Revenue Authority.

Facts.

This is an appeal to the High Court arising from the decision of the Tax Appeals Tribunal. The matter arose from an assessment of tax on agricultural loans which the applicant considered to be exempt from tax under the Income Tax Act, Cap 340.

The brief background to the dispute is that the respondent audited the applicant for the period of 2005 to 2006 for corporation tax, Pay As You Earn(PAYE) and withholding tax and raised an assessment against the appellant for the sum of Ushs. 399,684,725 only on the 31st December, 2007. The appellant in 2008 objected to the manner of treatment by the respondent of interest on agricultural loans and the respondent made an objection decision confirming their decision that interest on loans extended to companies in the business of processing and exporting fish and therefore was not exempt from tax under the provisions of section 21(1)(u) of the Income Tax Act(here in after referred to as the ITA). The appellants then appealed to the Tax Appeals Tribunal(TAT) against the objection decision of the respondent and TAT ruled against the current appellant and found that the exemption created under section 21(1)(u) of the ITA only covers the interest on loans granted to persons engaged in actual growing of crops, fish farming, bee keeping, animal and poultry or similar operations but not interest on loans to persons who process and export fish and coffee.

Issue.

Whether the Tribunal erred in law when it held that the exemption created under Section 21(1)(u) of the Income Tax Act does not include processing and exporting of fish and coffee.

Holding.

The provision which is the subject of this appeal is Section 21(1)(u) of the ITA, Cap

340 which stipulates that;

"Except Income, (1) The following amounts are exempt from tax,(u) interest earned by a financial institution on a loan to any person for the purpose of farming, forestry, fish farming, bee keeping, animal and poultry husbandry or similar operations."

The meaning of farming is defined in section 2 of the ITA as follows, "farming" means pastoral, agricultural, plantation, horticultural or other similar operations."

With regard to statutory ambiguity, a provision of the law is ambiguous if it irreconcilably conflicts with another provision or when it is susceptible to more than one meaning. The appellant argues that the term "farming" in the Act is ambiguous, because it is susceptible to more than one meaning.

Where the meaning of the term in a statute is ambiguous, the court may resort to the purposive meaning of the term, in interpretation of the statute.

Court no longer adopts a strict constructionist view of interpretation which required them to adopt the literal meaning of the language. The courts now adopt the purposive approach which seeks to give effect to the true purpose of legislation and are prepared to look at how much extraneous material that bears on the background against which the legislation was enacted(Lord Bridge in Pepper v Hart).

The Income Tax does not define the term "farming". Under the rules of interpretation, where the Act does not define a term/word, then words/terms must be given their ordinary literal meaning.

The courts may have recourse to dictionaries, though with care. The Advanced Dictionary defines the word "farming" to mean the business of managing or working on a farm. The same dictionary defines a farm as an area of land used for growing crops, fishing and keeping animals on a farm.

According to the ejusdem generis rule, the phrase "or similar operations" at the end means that be included the activities must be familiar in nature to the ones enumerated before it. In our view, processing and exporting fish are not similar to the growing of coffee and fish. If the legislature had intended the whole chain of agribusiness to benefit, that is growing, processing and marketing agricultural products, it would have specifically stated so in the law.

The position of the law is that if any doubt arises from the words used in the statute, where the literal meaning yields more than one interpretation, the purposive approach may be used, to determine the intention of the law maker in enacting of the statute(URA v Speke Hotel).

In Welcome Incorporation v The Glayo Queen, it was held that budget speeches and papers have been accepted by the courts in interpretation of statutes.

In this case, the purpose of the Act can be established from the Minister's budget speech from the year 2005/2006, read as follows.

" Credit to Agriculture"

"According to the results of the 2002 Population and Housing Census, agriculture accounts for the livelihood of a very large proportion of the population. Despite this, access to finance is still very poor. In order to encourage lending to the agricultural sector, I am proposing that interest earned by financial institutions on loans granted to persons engaged in agriculture be exempt from tax. The details will be found in the Income Tax (Amendment) Bill 2005."

From the speech of the Minister, it is evident that the proposal is a result of the population and Housing Census that was conducted in 2002. The Minister considers the largest proportion of the population that derives it's livelihood from agriculture but has no access to funding. This to my mind shows that the consideration was for the largest portion of persons who are engaged in primary agriculture. This therefore would exclude the smaller proportion of persons engaged in agribusiness and processing, who also have the access to finances, because to make the legislation applicable to them, would not address the above stated purpose of the legislation.

Court therefore agreed with the finding of the Tax Appeals Tribunal that the exemption created under section 21(1)(u) of the ITA covers the interest on loans granted to persons engaged in growing crops, fishing, bee keeping, animal and crop husbandry and not to persons engaged in the process of export of coffee and fish.

Heritage Oil and Gas Limited v Uganda Revenue Authority.

<u>Facts</u>.

This is an appeal to the High Court arising from the Tax Appeals Tribunal. The appellant entered into a production sharing agreement for petroleum exploration, development and production with the Government of the Republic of Uganda.

The said agreement contained an arbitration clause to the effect that dispute under the agreement which could not be settled amicably within 60 days would be referred to arbitration in accordance with the United Nations Commission for International Trade Law(UNCITRAL) Arbitration Rules.

The Appellant sold its interests under the agreement to Tullow Uganda Limited under a sale and purchase agreement and a supplemental agreement there to. As a result of the said sale and under the authority of the Income Tax Act(ITA), the respondent issued tax assessments for Capital Gains Tax which the appellant objected to and filed 2 applications in the Tribunal.

<u>Issues</u>.

Whether the Tribunal erred in law in declining to grant the application to have the legal proceedings under Tax Appeals Tribunal Applications Nos.26 and 28 of 2010 stayed and referred back to Arbitration.

Whether the Tribunal erred in law in holding that the Arbitration and Conciliation Act(Cap 4) is inoperable as the Respondent was not a party to the Production Sharing Agreements.

Whether the Tribunal erred in law in holding that the Tax Appeals Tribunal mandate cannot be fettered by a contractual provision in an agreement.

Holding.

The short title of URA Act stipulates that the URA Act is an Act to establish Uganda Revenue Authority as a Central body for the assessment and collection of specified revenue, to administer and enforce the laws relating to such revenue and to provide for such related matters.

Section 3 of the URA Act eshrines the roles of URA which include advising the minister on revenue implications, tax administration and aspects of policy changes relating to all taxes referred to in the first schedule of the Act.

Taxes are statutory provided for and any acts to make it contractual would be ultra vires. Article 152(1) of the Constitution of the Republic of Uganda is to the effect that no tax shall be imposed except under the authority of an Act of Parliament. In essence, the mandate of Uganda Revenue Authority to collect tax in accordance with the laws of Uganda cannot be fettered or override by an agreement. Furthermore, Article 152(3) of the Constitution of the Republic of Uganda also provides for Parliament to make laws to establish the Tribunals for purposes of settling tax disputes. This jurisdiction could not be waived or fettered by the purported arbitration clause.

Justice Egonda Ntende in K.M. Enterprises and Others v Uganda Revenue Authority ruled that exercise of statutory powers and duties cannot be fettered or overriden by an agreement, estoppels, lapse of time, mistake and such other circumstances.

The rationale for making tax matters statutory and not contractual is to enable Government achieve the objectives of taxation as stated by Prof. David Bakibinga in his book "Revenue law in Uganda" are to raise revenue, achieve economic stability and development, to foster equitable income distribution.

Taxation is the most reliable source of funds for most developing economies and therefore subjecting it to the whims and negotiation skills of contractors and Government officials would create uncertainty and inequity on the amounts payable and cause economic instability.

Tullow Uganda Limited v Heritage Oil and Gas Limited and Another.[2013] EWHC 1656.

Facts.

Tullow purchased Heritage's stake for 1.45 billion US dollars after which Heritage ceased to operate within Uganda. URA made a tax assessment of 404 million US Dollars in capital gains tax. Heritage disputed the tax, because it believes the sale was not taxable given that the Production Sharing Agreement which the company signed with the Government failed to mention such a payment.

Heritage further argued that sale of it's assets to Tullow Oil was not taxable in Uganda because the sale itself took place outside Uganda and because the company itself is not incorporated in Uganda. URA argued that the assets sold were located in Uganda and that their sale was done with the consent of Uganda, making the transaction taxable under Ugandan law.

Issue.

Whether Ugandan law would consider that the claimant was in possession of the escrow account for the purpose of section 108 of the ITA.

Holding.

Section 108 of the ITA provides that the Commissioner may, by notice in writing, require any person who is in possession of an asset, including money, belonging to a non-resident tax payer to pay tax on behalf of the non-resident up to the market value of the asset but not exceeding the amount of tax due.

The Judge while considering the purposive rule for interpretation of statutes which in this case was to assist in recovery of tax from a non-resident. This was also collaborated by Prof.David Bakibinga(expert witness) who acknowledged the aggressive approach of the tax regime in Uganda for purposes of mitigating any tax avoidance schemes. The judge then proceeded to rule that the money on the escrow account be remitted to URA as tax paid by Heritage in respect of their capital gains tax.

New Vision Printing and Publication Corporation v Uganda Revenue Authority.

Facts.

This matter arises out of an appeal in the Tax Appeals Tribunal. The Appellant installed new printing equipment which it sourced through a finance lease. Under the said lease, the Appellant was required to make certain payments to the lessor of the machinery on a Finance lease(these payments included interest and rentals)

It is the appellant's case that rental payments were an allowable deduction since such expenditures were wholly and exclusively incurred in the production of the appellant's income as eshrined under section 14(1) of the Income Tax Decree (1974).

The respondents through a witness respondents through a witness contended that by that by 1995, the laws stipulated that a finance lease with an option to purchase should be regarded as a loan. And as such, the asset remained an asset of the lessor and income from it was taxable.

Issue.

Whether the Tribunal erred in law in holding that the Appellants lease rentals were not a deductible expenditure for tax purposes. This brought out the contention between the International Accounting Standard 17 and section 14 of the Income Tax Decree 1974 in Uganda.

Holding.

The dichotomous position as practised in the International Accounting Standards and as provided in the Income Tax Act Decree in relation to Finance leases points to the difficulty of applying mooted universal rules in an area governed by a local statute. It can hardly be said that commercial accounting practices even if universally practised can outride a statute. It can also be hardly said that the treatment of Finance leases in England or in Metropolitan jurisdictions where they originated must be accorded in Uganda without reference to or in disregard of the local law.

PRINCIPLES OF INTERPRETATION OF TAX STATUTES:

Fiscal legislation is complex and detailed. In part, this is inevitable since tax legislation should be certain. Persons should know whether they are or are not subject to tax or duty on a particular transaction or sum of money. It has always been held to be the cardinal principle that in a taxation matter, the burden lies upon the Crown/URA, to show that tax is chargeable in a particular case. Both the literal rule and the purposive rule have been applied in interpreting taxing statutes. The earliest statement of the literal rule appears in the famous passage of Rowlatt J, in **Cape Brandy Syndicate v IRC (1921),**

> "*it is urged..............that in a taxing Act clear words are necessary in order to tax the subject. Too wide and fanciful a construction is often sought to be given to that maxim, which does not mean that words are to be unduly restricted against the crown in those Acts. It simply means that in a taxing Act one has to look merely at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no presumption as to a tax. Nothing is to be read in, nothing is to be implied. One can only look fairly at the language used……*"

This rule was also applied by Lord Reid in IRC vs. Hinchey, and in Uganda it has been applied in the criminal law case of Opoya vs. Uganda (1967) E.A 754 and also in the case of Capital Finance Corporation Limited vs. Uganda Revenue Authority. See also the case of New Vision Printing and Publishing Corporation vs. URA. In recent times, the

Courts in England have indicated preference to the purposive approach. This is manifest in the case of Pepper vs. Hart (1992) 3WLR1032 where the majority of the House of Lords went as far as referring to the Hansards in an effort to discern the UK Parliament purpose in enacting section 63 of the Finance Act 1976. Lord Griffith asserted that -

"*if the language proves to be ambiguous I can see no sound reason not to consult Hansard to see if there is clear statement of the meaning that the words were* *intended to carry. The days have long passed when the courts adopted a strict constructionist view of interpretation which required them to adopt the literal meaning of the language. The Courts now adopt a purposive approach which seeks to give effect to the true purpose of legislation and are prepared to look at much extraneous material that bears upon the background against which the legislation was enacted"*

The traditional summary of the rules of interpretation was laid down by Lord Donavan in **IRC vs. Mangin (1971) AC 739; (1971)1 All E.R. 179** -

(i) The words are to be given their ordinary meaning. They are not to be given some other meaning simply because their object is to frustrate legitimate tax avoidance devices. Moral precepts are not applicable to the interpretation of revenue statutes.

(ii) One has to look merely at what is clearly said. There is no room for any intendment. There is no equity about a tax. There is no presumption as to tax. Nothing is to be read in, nothing is to be implied. One can only look at the language used.

(iii) The object of the construction of the statute being to ascertain the will of the legislature it may be presumed that neither injustice nor absurdity was intended. If therefore a literal interpretation would produce such a result, and the language admits of an interpretation which would avoid it, then such an interpretation may be adopted.

(iv) The history of an enactment and the reasons which led to its being passed may be used as an aid to construction.

The rules of construction which apply to statutes generally also apply to taxation statutes. Thus, the rules for example, which require effect to be given to the words in the light of the intention shown by the statute as a whole or of another statute in pari material, or which apply to repealing, amending or consolidating statutes, apply also to taxation Acts. Thus, the Income Tax Act and the amendments to it contained in various Acts and Finance Acts forms a code, and all the provisions of these statutes are in pari material.

There are however certain principles which have a special application to these Acts.

- Equitable construction not permissible.
  The taxing statute must be strictly construed. Any ambiguity must be resolved in favour of the taxpayer. *See Stanbic Bank and 6 others vs Uganda Revenue Authority*

HCCS *170 of 2007 and 792 of 2006(Consolidated*). A statute is designed to be workable, and the interpretation thereof by a Court should be to secure that object, unless crucial omission or clear direction makes that end unattainable. See **Whitney v IRC (1926) A.C. 37, 52, 10TC 88, 102**. The principle that in cases of ambiguity a taxing Act should be construed in favour of a taxpayer does not apply to a provision giving a taxpayer relief in certain cases from a section clearly imposing liability. **Littmann vs. Baron (1951) Ch. 993; (1951)2 All ER 393, 33TC 373**.

In **Ormond Investment Co. vs Betts (1928) AC 143, 162, 13TC 400, 422, 434**, Lord Atkinson said –

> "*it is well established that one is bound, in construing Revenue Acts, to give a fair and reasonable construction to their language without leaning to one side or the other, that no tax can be imposed on a subject by an Act of Parliament without words in it clearly showing an intention to lay the burden upon him, that the words of the statute must be adhered to, and that so called equitable construction of them are not permissible*".

- Intention from the words used:
  It is the words of the statute that are to be construed, a rule exemplified in the following passage –

> "*While various phrases and illustrations are naturally employed in developing an argument about the alleged application of the words of the Income Tax Acts to a particular transaction; it is, nevertheless, necessary to have primary regard to the statutory words themselves and to their proper judicial construction*".

Withers (I.T) v Nethersole (1948)1 All ER 400 at 402, 28TC 501, 514- 517 HL Viscount Simmons.

> "*It is not the function of the court of law to give to words a strained and unnatural meaning because only thus will a taxing section apply to a transaction which, had the legislature thought of it, would have been covered by appropriate words*".

See Lord Simonds in IRC v. Wiltson (1949)1 All ER 865, 868, 31TC 141, 166.

> "*The Courts will not stretch the terms of taxing Acts in order to improve on the efforts of Parliament and to stop gaps which are left open by the statutes. Tax avoidance is an evil, but it would be the beginning of much greater evils if the courts were to overstretch the language of the statute in order to subject it to taxation people of whom they disapproved*". (Lord Norman in **Vestey v.**

IRC (1949)1 All ER 1108, 31TC, 1.

It follows therefore that in construing a taxing Act, the court must have regard to the meaning of the words used and to the intention of the legislature as shown by the Act(s).

If those words so construed doe not clearly impose an obligation where none existed previously on the subject who is sought to be taxed, then that subject is not under any such obligation.

But the principle does not entitle the court either to disregard the plain meaning of words used or to resolve ambiguities in favour of the taxpayer or appearing from the Act. In **IRC Hinchy (1960) A.C. 748, 761, (1960) 1 All ER 505, 38TC 625**, Lord Reid said –

> "*What we must look for is the intention of parliament……. But we can only take the intention of parliament from the words which they have used in the Act, and therefore the question is whether these words are capable of a more limited construction. If not, then we must apply them as they stand, however unreasonable or unjust the consequences, and however strongly we may suspect that this was not the real intention of parliament*".

- Income Tax Acts to be construed in pari material.
  The Income Tax Decree 1974 had been amended several times. It was replaced by the consolidated 1997 Act, now Cap.341; that has been amended more than five times. In construing the Act, that Act and the subsequent Acts and Finance Acts, will all be taken in pari material, so that –

  - the meaning and intention of a provision will be ascertained from the words used in light of the Act as a whole. In **Penang & General Investment Trust Ltd v IRC (1943) AC 486, (1943)1 All ER 514, 25TC 219**, Viscount Simmon said – "*A Finance Act is to be read with previous finance Acts as a single code*".
  - in cases of doubt or ambiguity recourse may be had to the former Acts.
  - where words are used in the same context as previous Acts, and those words have received judicial interpretation, it will be assumed that the words are used in the same sense.

Where the piece of legislation being considered is an amending enactment, it is legitimate to investigate the law as it stood (taking statute law and case law together) therefore, and to deduce from that investigation what the omission or defect was, that the amendment was designed to change. (**North Central Wagon & Finance Co. (1953)1 All ER 1009, 34TC 59**.

It is sometimes possible, where there is obscurity in an earlier or later statute in pari material, to explain a passage in the first Act by reference to the second one and vice versa. In **Ormond Investment Trust Ltd vs Betts (1928) AC 143, 154, 13TC 400, 422**, Lord Buckmaster said –

> "*It is also possible that where Acts are to be read together ………a provision in an earlier Act that was so ambiguous that it was open to two perfectly clear and plain constructions could, by a subsequent incorporated statute, be interpreted so as to make the second statute effectual*".

In John Hudson & Co. Ltd v. Kirkress (IT) (1955) AC 696 (1955)2 All ER *345, 36TC 28,* Lord Simmonds described the passage from which the above is an extract as a valuable exposition of the law on this subject. A little further on in his speech, *Lord Simmons* developed the topic as follows –

> "*My Lords, it follows from what I have said, that even where two Acts are to be read together, it is not permissible to make what is clear in the earlier Act obscure and ambiguous by reference to something in the latter Act. The contrary view would be in direct conflict with the decision of this House in Ormond case. In the first place, if the earlier act contains such an ambiguity as I have described, then the proposition can be accepted in its widest sense, and recourse can be had to the later to explain the earlier act. But, secondly, if there is no ambiguity in the earlier Act, then the proposition must have a more limited meaning and it will be the earlier Act to which recourse may be had to explain a provision of the later Act. It is upon the same principle that, where there has been a judicial interpretation of words in a statute, those words will be deemed to have the same meaning in a subsequent statute dealing with the same subject matter*".

- The Scheme of the Act:
  The meaning of a word or expression is in tax cases often discussed in the light of what is called the "scheme of the Act" an expression which is a convenient one if it is remembered that it merely means in accordance with the intention of the Act as shown by the whole context. The words used must be taken in their context, and therefore in such meaning (if capable of such a meaning) as is in conformity with the intention as thus ascertained. Thus, the dictum of Lord Macnaghten in **London County Council vs A.G. (1901) AC 26, 35, 4TC 265, 283**, that "income tax ………..is a tax upon income" is accurate provided the word 'income' is taken in the meaning with which it is used in the Income Tax Acts. As Lord Halisbury said in **Secretary of State in Council of India vs Scoble (1903) AC 299, 302, 4TC 618** –

> "*It cannot be doubted, upon the language and the whole purport and meaning*

of the Income tax Acts, that it never was intended to tax capital – as income at all events".

- Presumption against retrospective operation:
  The following rule stated in **Maxwell on interpretation of statutes (10th Edn) 214** is applicable in construing a taxing enactment:

  > "*A statute is not to be construed to have a greater retrospective operation than its language readers necessary. Even in construing a section which is to certain extent retrospective, the maxim ought to be borne in mind as applicable whenever the line is reached at which the words of the section cease to be plain. For it is to be observed that the retrospective effect of a statute may be partial in its operation*".

  The basic reason for this presumption was stated by *Lord Simonds* in **John Husdon** (*supra*). –

  > "*When an Act of parliament becomes law and its meaning is plain and unambiguous a citizen is entitled to order his affairs accordingly and to act upon the footing that the law is what it unambiguously is. He must be assumed to know that the law may be altered but, if so, he may be assumed to know also that it is contrary to the general principles of legislation in this country to alter the law retrospectively. He should know, too, that, if parliament alters the existing law retrospectively, it does so by an amendment which is an express enactment and, above all, he is surely entitled to be confident that it will not do so by force merely of an assumption or an allusion in a later Act*".

  Although non-retrospection is a fundamental rule of law, if an enactment plainly states that it is to have retrospective effect, it must not be construed so as to defeat that statement. **Ingle vs. Farrand (1927) AC 417, 428, 11TC 446**. It has been decided that the presumption against retrospective effect is not involved where a finance Act is treated as operative as from the beginning of the fiscal year.

  > "*It is notorious, and indeed invariably happens, that the Finance Act for a particular year does not pass into law until the then current financial year has to some extent elapsed. Nevertheless, the time unit with which the Finance Act invariably deals with for the purposes of assessment is the financial year, and it deals normally with the taxable income in respect of the then current financial year. That, of course, does not mean that it is retrospective. It is*

merely the unit of time in respect of which taxation is imposed".

- Extra-territorial application and International Law.
  Parliament is legislatively omnipotent, and consequently if by statute it imposes a tax upon any person or any property whenever that person or property may be situated, effect

must be given to that statute by the courts. Nevertheless, it is recognized that by the comity of nations, one state is not to be assumed to be making laws which infringe the sovereign rights of other states and general words will not be so construed as to bring about such a result. Income tax, therefore, will not be held to apply to persons abroad in respect of their income derived from sources out of this country; but this does not mean that a resident may not be taxed in respect of his income derived from property or possessions out of Uganda or a non-resident in respect of his property or possession in Uganda. Indeed, the ITA taxes –

(i) Income arising to Ugandan resident, wherever the income arises whether at home or abroad.

(ii) Income flowing from this country, no matter to whom it belongs abroad.

The rule that some income arising abroad, is taxed here only to the extent to which it is remitted here does not affect these basic rules except as to amount.

There is a well-established rule that the courts do not enforce Revenue laws of other countries. In **Delhi electric Supply vs Government of India (1955) AC 41; (1955)1 All ER 292**, the H.O.L. held –

> "*The case was governed by a well-established rule that the courts of the U.K. would not enforce tax debts due to other countries*".

- Relation of Tax Law to General Law.

  Taxation law does not exist in vacuo. It has regard to situations and transactions, the exact force and effect of which are determined and regulated by the general law. It may be vital that the true legal position of the tax payer in relation to a transaction giving rise to an item of apparent income should be appreciated, before any attempt is made to apply the taxing Act to the case. Thus, the rights of beneficiaries under a will, a trust or intestacy may have a bearing on tax position. Cases such as Aked vs Shaw (I.T.) (1947) 28TC 286.Nscheller vs Apthorpe (18856)2 TC 89. Grainger & Sons v. Gough (1896) AC 325; 3TC 462 and Gavazzi vs. Mace (1926) 10TC 698 demonstrate this principle.

  In all cases it is essential always to bear in mind that, unless there is express statutory provision to the contrary, the transaction to which the taxation statutes apply depend for their true nature and effect on the general law of the land. Thus, in Costain Property Investments Limited (1984) STC204, (1984) 1ALLE.R 894, a case decided under the Capital Allowances Act of the UK, it was held that a tenant who had installed a lift in a leased building could not claim initial allowance since the lifts immediately became the property of the landlord under general land law principles and they could not be said to belong to the tenant as required by sections 22 and 24 of that Act. The effect of Costain has however been reversed by statutory enactment

THE DISTINCTION BETWEEN INCOME AND CAPITAL

Introduction

This paper aims to highlight the distinction between what amounts to capital as well as what amounts to income. By way of various definitions from various sources, coupled with case law and statutory provisions, it is our hope that one can ably tell capital and income apart by the time he/she gets to the end of this paper; so that if one were faced with a certain set of facts that might raise confusion on the part of laymen, he/she is able to explain simply what the law is regarding capital and income.

What Amounts to Capital?

Capital is defined as that portion of the produce of industry existing in a political economy, which may be made directly available, either for support of human existence, or the facilitating of production. In commerce and as applied to individuals, it is understood to mean the sum of money which a merchant or banker or trader adventures in any undertaking, or which he contributes to the common stock of the partnership.[213]

It is important to note the usage of the word "stock" and in relation to the discussion on capital, it can be looked at as the actual estate, whether in money or property, which is owned by an individual or corporation. In reference to a corporation, it is the aggregate of the sum subscribed and paid in, or secured to be paid in by the shareholders, with the addition of all gains and profits realized in the use and investment of the sums or if losses have been incurred, then it is the residue after deduction of such losses.[214]

Thomas Piketty in his book[215] gives a comprehensive understanding as to what capital is and is not. He defines capital as the sum-total assets that can be owned and exchanged on some market. It includes all forms of real property (including residential real estate) as well as financial professional capital (plants, infrastructure, machinery, patents, etc.) used by firms and government agencies.

He is keen to exclude human capital and his most obvious reason is that human capital cannot be owned by another person or traded on some kind of market (at least not permanently) and this is a key difference from other forms of capital. He compares labor today, its limitations as to time and scope with labor in the slave era where there were no limitations as to how much and how long one would be put to work which were determined by the slave master. It becomes undesirable, on his account, to include human capital when defining capital for taxation purposes.

[213] The Black's Law Dictionary
[214] Ibid.
[215] Thomas Piketty, *Capital in the Twenty-First Century* (Cambridge, Massachusetts: 2014)

That notwithstanding, capital, according to him, includes all forms of wealth that individuals, or groups of individuals can own and that can be transferred or traded through the market on a permanent basis.

What is Income.

Professor Bakibinga in his book[216] highlights two major concepts as to what income is and these are:

- **Traditional View**: where income, as distinguished from capital is the fruit of the tree and capital is looked as the tree itself.
- **Modern Approach**: where income is looked at as an accretion to wealth or as economic power.

Adam Smith in his book[217] opines that income is revenue drawn from either labor, stock or land. That derived from labor is wages, that derived from stock by the person who employs or manages it is profit, that derived from it by the person who does not employ it himself but lends it to another is interest on the use of money. Revenue from land is rent belonging to the landlord.

According to Meade JF, taxable income is the value of what a taxpayer would have consumed during the year without diminishing his capital wealth in the process.[218] No income is recognized as arising unless an actual receipt has been taken. The said receipt may take the form of money's worth.[219]

It is important to note that no mere improvement of a person's financial or material position is recognized as constituting income. An increase in the value of property, even a net increase in total resources is excluded from the computation of his income.

According to Okuja[220], for tax purposes, anything that can be construed as income is taxable unless it is specifically exempt under provisions of the law. Income tax, whatever way it is taxed, is a tax on income and is ultimately a tax on individuals.

The Income Tax Act conceives income as arising from three pursuits which brings three broad categories which are

a) Income that is derived by a person as remuneration for rendering personal services. This can be looked at as employment income.[221]

[216] Professor David J. Bakibinga, *Revenue Law in Uganda*
[217] Adam Smith, *The Wealth of Nations*,
[218] Meade JF, *The Structure and Reform of Direct Taxation*
[219] *Final Report of the Royal Commission on the Taxation of Profits and Income.*
[220] Okuja, J.O, *Domestic and International Taxation: The Law, Principles and Practice (*2nd Edition, 2019)
[221] Section 19 Income Tax Act.

b) Income from property as a return on investment i.e. property or investment income. It includes any other income that is not employment or business or investment income.[222]
c) Income from the profits of a business, trade, profession or adventure in the nature of trade or a reward from carrying on a business.

According to Parsons R, for anything to be income, there must first and foremost be a gain to the taxpayer and the gain must have an income character. Once the gain has been established, then it must be established that the gain was derived or realized by the same taxpayer.[223]

Negative Propositions of Income

a) Amounts that cannot be converted into money are not income.

The ordinary meaning of income contains a notion of gain that is money or that is convertible to money. The implication is that if goods and services cannot be converted to cash, then there is no benefit to the taxpayer and therefore no receipt of income.

In ***Commissioner of Taxation v Cooke and Sherden***,[224] it was stated that if a taxpayer receives a benefit which cannot be turned to pecuniary account, he has not received income as that term is understood according to ordinary concepts and usage.

b) That Capital Receipt or Gain does not have the character of income.

Income arises from the use of capital but does not include the gains made on the realization capital items. Therefore, capital gains or profits on the disposal of capital assets are not ordinary income.

This can be illustrated by the case of **Eisner v Macomber**[225] where the defendant owned shares in a company which declared a 50% stock dividend which added 1100 shares to her holding. The taxing authority contended that the certificates should be taxed as income to the defendant as if the corporation had distributed money to her. She sued for a refund. To fully understand the judgment arrived at in this case, one must consider the economic substance of a stock dividend. It is also known as stock split and it is a transaction in which a corporation multiplies the total number of shares outstanding but gives the new shares to shareholders in proportion to the numbers they held. For instance, if a company declared a 'two for one' stock split and distributes no money or other property to any stockholder, a stockholder who held 100 shares at $4 per share will now hold 200 shares with a value of $2 each; both, in essence, retain

[222] Section 20 Income Tax Act
[223] Parsons R, *Income Taxation in Australia*
[224] [1980] FCA 37; 80 ATC 4140.4151
[225] US 252 US189

value of $400. With a stock dividend, a stockholder's assets do not grow after the dividend. Metaphorically speaking, the 'pie' is still the same size, but it has been split into more pieces, each piece being proportionately smaller. Ideally, the stockholder still holds the same proportionate percentage of the corporation that was owned before the stock dividend.

Bearing that in mind, it was held that the overall aim of tax law is to impose a tax on dividends when assets representing corporate earnings are transferred to shareholders. Stock dividends however merely give the shareholders additional pieces of paper to represent the same equitable interest; they do not transfer assets or create new priorities among the shareholders. The total value of the common shares, though now spread out over a larger number of units, is left unchanged from its previous level. Effectually, nothing changes.[226]

This standpoint might have been more relevant in the past. Today, recent developments in the tax structure as well as statutory extensions capture capital gains as constituting income. Gains from disposal of business assets are taxable as income.

The question in the case was not whether the shareholders had gained in an economic sense but whether in legal or accounting terms the stock dividend was to be recognized as a taxable event. The question is whether a stock dividend is like a situation where a corporation simply accumulates its earnings and makes no distribution at all or if it is more like the receipt of cash dividends which are followed by reinvestment of cash received in additional shares.

Majority of the court held that the stock dividend was not a realization of income by the taxpaying shareholder for the purposes of the tax legislation. They were of the view that not only does a stock dividend really take nothing from the property of the corporation and add nothing to that of the shareholder, but the antecedent accumulation of profits evidenced thereby, while indicating that the shareholder is richer because of an increase of his capital, at the same time shows that he has not realized or received any income in the transaction.

The court also noted that in **Towne v Eisner**,[227] it had clearly stated that stock dividends were not income as nothing of value was received by Towne; the company was not worth any less that it was when the dividend was declared and the total value of Towne's stock had not changed. They held that the government is allowed to tax income but it is only allowed to tax income as income and not anything other than income. It is not allowed to redefine income to fit its agenda.

This proposition would apply to a gain from the realization of an asset where the gain does not arise from the carrying on of a business. Where there is a business to which the gain

[226] Christopher Marvin, *Federal Income Taxation: A Law Student's Guide to Leading Cases and Concepts 2005,* Pg. 80
[227] 245 US 418 [1918]

relates, the Act now prescribes that the gain is taxable as a capital gain provided that the asset sold is a capital asset of the business.[228]

c) That a gift does not have the character of income.

According to the Black's Law Dictionary, a gift is a voluntary conveyance of land or transfer of goods from one person to another, made gratuitously and not upon any consideration of blood or money. In Ingram v Colgan, a gift was defined to be a transfer of personal property, made voluntarily and without consideration.[229]

A gift is therefore anything that has value, such as money, property or possessions. It can also be in form of loss of value when something is transferred. E.g. when you sell your house to your child for less than it is worth, that difference in value counts as a gift.

There is usually no tax to pay on small gifts. There is also no tax to pay for gifts between spouses or civil partners. With specific reference to the United Kingdom, other gifts outside this scope count as to the value of one's estate. People you give anything more than 325000 pounds will be charged Inheritance Tax.[230] The tax rate is placed at 40% and it is levied on any amount that goes above the 325000-pound mark.

The distinction between income and a gift, lies in a person's claim as of right to receive the gift. The receipt of the gift does not give the recipient the right to receive it and it therefore cannot be construed as income.

d) That Proceeds of Gambling and Windfall Gains (unexpected accretions to wealth) are not income.

Such winnings are common windfalls that are not ordinary income. Windfalls are the product of good luck or good fortune and it is likely that such fortunes can be recurrent and regular.

A windfall, however, will be income if it is sufficiently connected with services or a business or employment. It will also be income if it can be regarded as derived from property.

Under the Act, windfalls are taxable under property income although there might arise technical and practical difficulties in assessing these gains.

e) That Mutual Receipts are not considered as income.

[228] Look at Section 21(1)(k) and Section 18 (1)(a)
[229] [1894] 38 Pac. 315
[230] Some countries levy taxes on inheritance. It is important to note the distinction between Estate Tax and Inheritance Tax. The latter is charged upon the beneficiary of inheritance whereas the former is levied upon the estate of the deceased upon his or her death. The tax is not popular and many economists are against it because it is reflective of poor economic policy.

The argument is that there is no gain if an amount is derived by a taxpayer from himself. The income must come from outside. The basis of the principle of mutuality is that one cannot derive income from dealing with oneself; nor can one incur an expense with oneself. These are termed as mutual receipts and they are non-income amounts because the contributor and the beneficiary are the same.

To drive this point home, we draw reference to the Australian case of **Fletcher v Income Tax Commissioner.**[231] Many clubs collect subscription of varying amounts according to the expected use to be made of the facilities or other factors such as age and personal circumstances and this is consistent with mutuality. The principle operates in relation to receipts from members in a club or association. The effect of the principle is that member subscriptions and payment for services like dinning and bar facilities are not income of a non-profit club or association formed to pursue a common objective.

According to the case, distribution has to be a return of the subscription and not a return on the subscription. Where the club's activities extend to non-members, like visitors to such a club, it is necessary to identify the proceeds that fall outside mutuality and to apportion expenses for the purposes of determining taxable income. Any gains realized from sources outside the mutual entity, such as bank interest on surplus funds, would be income by ordinary concepts.

Under the Act, the doctrine has been replaced such that a mutual company is treated, for the purposes of the Act, as carrying on a business subject to tax, for which entrance fees and subscription paid by members is deemed to be income of the business of the mutual company. Income in excess of deductions as to total income derived from the members and money carried on to the following year is deemed as business income and is taxable.

Positive Propositions of Income

- **a)** That to be income, an amount must be beneficially derived and recognized on a cash receipts or accrual basis.
- **b)** That receipt of income should be judged from the character it has in the hands of the recipient i.e. for a receipt to have the character of income, it must be a gain to the recipient or the person who derived it.
- **c)** That income generally exhibits recurrence, regularity and periodicity.
- **d)** That amounts derived from employment or provision of services e.g. salary,

wages and fees is income. The critical element in determination is the connection between the income receipt and earning activity.[232]

e) That amounts derived from carrying on a business are income. While proceeds from business activities are income by ordinary concepts, the question of whether an activity amounts to a business is a challenge that involves examining the facts of a particular case.

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[231] [1947] 164 F.2d 182 (2d Cir. 1947)
[232] Section 19 Income Tax Act

Indicia such as badges of trade are helpful in resolving the question of whether a business exists.[233]

f) That amounts derived from property or investments is income.[234]

g) That a compensation receipt takes the revenue or capital character of the item compensated. Amounts received as substitutes for or compensation for lost income is in itself income. Payments in substitution for income are themselves income. The same goes for loss of revenue assets such as trading stock. It also applies to compensation for cancellation of business contracts especially when the profit-making structure has been left intact.[235]

h) That legal as well as illegal income is taxable. The fact that an amount has been derived through illegality, immorality or ultra vires does not preclude the said amount from being income derived. This however does not mean that the income earned illegally should escape prosecution under the Penal Code Act or any other statute that criminalizes that illegal derivation of income.

INCOME TAX IN UGANDA

Income is defined by Black's law dictionary as the return in money from one's business, labor or capital invested; gains profit or private revenue[236]. Income was defined in **re Slocum 109 N.Y 153, 02 N.E 130; and Waring v Savannah, 00 Ga.99** as that which comes in or is received from any business or investment of capital without reference to the outgoing expenditures; while "profits" generally mean the gains which are made upon any business or investment when both receipts and payments are taken into account[237].

According to the holding in **Eisner v Macomber 252 US 189 (192a a 0)[238],** it is imperative to distinguish between what constitutes and what doesn't constitute income and understand the difference in its application on a case to case basis and according to truth and substance without regard to form since the Income Tax Act of Uganda does not expressly define income. As such, income needs to be differentiated from capital owing to the cardinal relation of

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[233] Section 18 Income Tax Act

[234] Section 19 Income Tax Act

[235] Section 61 Income Tax Act
[236] "What is INCOME? definition of INCOME (Black's Law Dictionary)." https://thelawdictionary.org/income/. Accessed 27 Mar. 2021.
[237] "Definition of INCOME • Law Dictionary • TheLaw.com." https://dictionary.thelaw.com/income/. Accessed 27 Mar. 2021.
[238] "Eisner v. Macomber: 252 U.S. 189 (1920): Justina US Supreme " https://supreme.justia.com/cases/federal/us/252/189/. Accessed 27 Mar. 2021. [4] "Capital in the Twenty-First Century — Thomas Piketty | Harvard .... " 14 Aug. 2017, https://www.hup.harvard.edu/catalog.php?isbn=9780674979857. Accessed 27 Mar. 2021.

capital to income. Thomas Piketty defines capital as the total of non-human assets that can be owned and exchanged on some market. He further adds that capital includes all forms of real property as well as financial and professional capital used by firms and government agencies[4].

The court in **Eisner v Macomber** defined income as the gain derived from capital, from labor, or combined, provided it be construed to include profit gained through the sale or conversion of capital assets.

Income Tax is defined in the Uganda Revenue Authority handbook as a tax imposable on a person's taxable income at specific rates. Tax is defined under Section 2 (qqq) of the Income Tax Act as any tax imposed under this Act. Persons may for the purpose of definition be an individual, company, partnership, trustee, government or government subdivision. Income tax is thereby charged on every person who has chargeable income for each year of income.

Chargeable income is derived from three main types of income namely; business, employment and property. The Income Tax Act Cap 340 hereinafter referred to as the ITA regulates the administration of Income Tax in Uganda where Section 4 of the Act imposes Income Tax where it stipulates that "Subject to and in accordance with this Act, a tax to be known as income tax shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income."

Subsection 2 makes provision for the income tax payable by a taxpayer for a year of income to be calculated by applying the relevant rates of tax determined under this Act to the chargeable income of the taxpayer for the year of income and from the resulting amount are subtracted any tax credits allowed to the taxpayer for the year of income.[239]

Rental income is established under Section 5 where it is a tax charged for each year of income and is imposed on every individual who has rental income for the year of income.

Section 15 of the ITA makes provision for Chargeable income where; Subject to section 16, the chargeable income of a person for a year of income is the gross income of the person for the year less total deductions allowed under the Act for the year. It is however necessary to understand the concept of income and it would be a fallacy to discuss income and not define the concept of gross income. Provided for under Section 17, Subject to the Act;

"**Gross income** of a person for a year of income is the total amount of business income, employment income and property income, derived during the year by the person, other than income exempt from tax.

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[239] "THE INCOME TAX ACT. CHAPTER 340 - Ministry of Finance " https://www.finance.go.ug/sites/default/files/Publications/Income%20Tax%20Act.pdf. Accessed 27 Mar. 2021.

For the purposes of subsection (1)(a) the gross income of a resident person includes income derived from all geographical sources; and (b) the gross income of a non-resident person includes only income derived from sources in Uganda.

The **Year of Income** derives its legality from the Act where under Section 2 (zzz) and Section 39(9) "year of income" means a period of twelve months ending on the 30th June, and includes a substituted year of income and a transitional year of income which are stipulated under Section 39(1) and Section 39(6) respectively as a taxpayer may apply, in writing, to use as the taxpayer's year of income a substituted year of income being a twelve-month period other than the normal year of income; and the commissioner may, subject to subsection (3), by notice in writing, approve the application and where the year of income of a taxpayer changes as a result of subsection (1), (2) or (4), the period between the last full year of income prior to the change and the date on which the changed year of income commences is treated as a separate year of income, to be known as the "transitional year of income".

Since Income Tax is the tax imposed on incomes from business, employment and property, the scope of liability to taxation should be ascertained since it is dependent upon a person's residence status. However, Section 18 of the ITA provides for business income which means any income derived by a person in carrying on a business and includes the amount of any, while Section 2(g) defines business to include any trade, profession, vocation or adventure in the nature of trade but does not include employment[240]. Business income means any income derived by a person in carrying on a business and includes the amount of gains or losses from the disposal of business assets such as land and buildings, any amount derived by a person as consideration for accepting a restriction on the person's capacity to carry on business, The gross proceeds derived by a person from the disposal of trading stock, the value of gifts derived by a person in the course of, or by virtue of, a past, present, or prospective business relationship, interest derived by a person in respect of trade receivables or by a person engaged in the business of banking or money lending, rent derived by a person whose business is wholly or mainly the holding or letting of property.

In **Inland Revenue Commissioner v W. Andrew Biggar**[241], an appeal was made by the Crown from the finding that payments to the taxpayers as an instalment on the first premium under the EEC Dairy Herd Conversion Scheme was a capital payment which did not form part of the taxpayer's income. The inspector treated the first instalment as part of their profits accruing from their trade and assessed them to income tax. The taxpayers appealed against the assessment and contended that the instalment was received by them as a payment for abandoning their trade as dairy farmers and ceasing to sell milk and dairy products and was therefore a capital receipt and wasn't taxable as trading profits. The Crown contended that under the scheme, the instalment

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[240] "THE INCOME TAX ACT. CHAPTER 340 - Ministry of Finance " https://www.finance.go.ug/sites/default/files/Publications/Income%20Tax%20Act.pdf. Accessed 31 Mar. 2021.

[241] [1982] BTC 332

was received as compensation for the temporary loss of income suffered as a result of ceasing to sell milk and dairy products and the sum was thus an income receipt of their trade.

The General Commissioners found for the taxpayers and thus the appeal by the crown. In allowing the appeal Lord President Emslie held that the taxpayers gave up their right to continue producing milk and milk products for supply and sale but they neither lost nor surrendered any of their capital assets. They simply converted those assets invested in milk production into assets directed to meat production and they incurred no loss of any kind in doing so. Furthermore, the conversion premium was received by the taxpayers to make good for a possible temporary loss of income which the farmers might suffer during the exchange from dairy cows to beef cattle and which would be taxable if it were received thus the premium possessed the quality of income taxable under the Income and Corporation Taxes Act.

In this instance, capital gains arise from the disposal of a business asset that is not a depreciable asset, such as land and buildings.

The URA taxation handbook at pg. 24 explains that the disposal of an asset occurs when an asset has been sold, exchanged, redeemed, distributed, transferred by way of gift, destroyed or lost by the taxpayer. A **Capital gain** is the excess in form of consideration over the cost base of an asset[242] The cost base of an asset is the amount paid or incurred by the taxpayer in respect of an asset, including incidental expenditures of a capital nature incurred in acquiring the asset and includes the market value at the date of consideration in kind given for the asset[243] Capital gains tax is a tax levied on the profits earned on the sale or conversion of an asset.[244] Capital gains are included in the gross income of the taxpayer and assessed as a business income.

Section 19 provides for **employment income** to mean any income derived by an employee from any employment and includes the following amounts, whether of a revenue or capital nature; any wages, salary, leave pay, payment in lieu of leave, overtime pay, fees, commission, gratuity, bonus or the amount of any travelling, entertainment, utilities, cost of living, housing, medical or other allowance; the value of any benefit granted; the amount of any discharge or reimbursement by an employer of expenditure incurred by an employee, other than expenditure incurred by an employee on behalf of the employer which serves the proper business purposes of the employer; any amount derived as compensation for the termination of any contract of employment, whether or not provision is made in the contract for the payment of such compensation, or any amount derived which is in commutation of amounts due under any contract of employment;[245] Employment income is thus deemed to exist where there is a

[242] "Capital Gains | Wex | US Law | LII / Legal Information Institute." https://www.law.cornell.edu/wex/capital_gains. Accessed 1 Apr. 2021.
[243] URA TAXATION HANDBOOK
[244] "Capital Gains Tax - Investopedia." https://www.investopedia.com/terms/c/capital_gains_tax.asp. Accessed 1 Apr. 2021.
[245] Section 19 of the Income Tax Act

contractual relationship between master and servant for a pay. Pursuant to the URA taxation handbook, it is necessary to discern between an employee and an independent contractor.[246] Section 2(x) defines an "employee" to mean an individual engaged in employment; Section 2(y) refers to an "employer" to mean a person who employs or remunerates an employee; and Section 2(z) explains employment as the position of an individual in employment of another person, directorship of a new company, a position entitling the holder to a fixed or ascertainable remuneration, holding or acting in public office.[247]

In Uganda Revenue Authority v Siraje Hassan Kajura[248] the Supreme Court in finding for the appellants held that retrenchment packages are not part of any clause in the above provision 30 and therefore not exempt. Furthermore, Justice Opio Ruby Aweri went on to explain that the language used in Section 19 of the Income Tax Act, does provide for exempt employment income. Retrenchment packages are not included on the list of exempt income. In arriving at his findings, the learned justice relied on the several persuasive precedents within Uganda and foreign jurisdictions in respect to whether terminal benefits or retrenchment packages are liable for taxation. He emphasized that courts have rightly in his view reasoned that such packages are liable for taxation as employment income and relied on **Katureebe Eridad & Anor V URA**, HCCS No. 107 of 2010 (Eldad Mwangusya J as he was then), **Lugeya Samuel & Anor V URA**, HCCS No. 0156 of 2010 (V.T Zehurikize J); **Namatiti Patrick Bukene and Anor V Civil Aviation Authority & URA**, HCCS NO.203 of 2013 (Nyanzi J), **Nkote Charles & Anor V URA & Anor**, *25* HCCS NO. 107 of 2009 (Eldad Mwangusya J as he was then).[249] In the case of **Nkote Charles & Anor V URA & Anor** [250], (Supra), Mwangusya J (as he then was) observed as follows;

"The consent decree already cited in this judgment recognized that two categories of emoluments accrue at the termination of somebody's employment. The Income Tax Act cited by both Counsel also makes the distinction between gratuity which is 35 included in the definition of Employment income under S. 19(1) and pension which, under S.21(1)(n) of the same Act is exempt from tax. This distinction made under the Act and recognized by the consent Decree is the key to determining the issue as to whether the taxation by PAYE from the Plaintiffs was lawful. This distinction is 40 a clear indication that while Terminal Benefits are taxable under the

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[246] "Employees vs. Independent Contractors | Nolo."

https://www.nolo.com/legal-encyclopedia/employees-vs- independent-contractors.html. Accessed 1 Apr.

[247] "THE INCOME TAX ACT. CHAPTER 340 - Ministry of Finance " https://www.finance.go.ug/sites/default/files/Publications/Income%20Tax%20Act.pdf. Accessed 2 Apr. [248] "Uganda Revenue Authority v Kajura (Civil Appeal-2015/) [2017 ... - Ulii." 20 Dec. 2017, https://ulii.org/ug/judgment/supreme-court-uganda/2017/63. Accessed 2 Apr. 2021.

[249] "Uganda Revenue Authority v Kajura (Civil Appeal-2015/) [2017 ... - Ulii." 20 Dec. 2017, https://ulii.org/ug/judgment/supreme-court-uganda/2017/63. Accessed 2 Apr. 2021.

[250] "Katureebe Eridad & Anor v Uganda Revenue Authority (Civil Suit" 20 Jan. 2012, https://ulii.org/ug/judgment/high-court-uganda/2012/10. Accessed 2 Apr. 2021.

by the PAYE from the Plaintiffs' Terminal benefits was lawfully done. The Learned justice in his obiter cited **Namtiti Patrick Bukene & Anor Vs URA & Anor** (Supra), Nyanzi. J held that; "I am therefore persuaded to rely on those sections and the authorities cited to hold that terminal benefits or golden handshakes are in other words gratuity and they are compensation from a terminated contract and are taxable under S. 19(1)(d) of the ITA. If they were exempt, the legislature would have expressly stated so under S.21 of the ITA. For the above reasons, I find that the plaintiff's terminated benefits in issue were subject to taxation. The taxation of Pay as you Earn from the terminal package was lawfully done by virtue of S. 19(1)(a) & (d) of Income Tax Act.

Section 20 of the Income Tax Act provides for **property income** to mean any dividends, interest, annuity, natural resource payments, rents, royalties and any other payment derived by a person from the provision, use or exploitation of property; the value of any gifts derived by a person in connection with the provision, use or exploitation of property; the total amount of any contributions made to a retirement fund during a year of income by a tax-exempt employer; and any other income derived by a person, but does not include any amount which is business, employment or exempt income. The URA taxation handbook at pg. 34 emphasizes that rent derived by a person whose business is not wholly or mainly the holding or letting of property, then it is classified under property income.[251]

In **A.L et Al v. Commissioner of Income Tax**[252] where the issue on appeal before the Court of Appeal for Eastern Africa was whether the premiums received by the appellants were assessed income tax in respect of the years of income of 1951 and 1952 and not income receipts and alternatively that if they were income receipts, they should be spread over the period of the leases and taxed accordingly. Court held that if the premiums were capital receipts, they were not taxable even though the premiums were expressly included in Section 8 of the East African Income Tax Management Act 1952. Court went on to hold that the premiums were received for the use of a capital asset and not for its realization and they were therefore, income receipts and taxable in the year of receipt.

Section 21 makes provision for **exempt income** which is stated to include among others, the income of a listed institution; (b) the income of any organization or person entitled to privileges under the Diplomatic Privileges Act to the extent provided in the regulations and orders made under that Act and the other varieties of incomes mentioned thereunder.

In conclusion therefore, income tax is statutorily provided for pursuant to the sections stated above, and backed by case law which aids the courts discern the different types of incomes subject to taxation and the legal consequences that flow therefrom. It however remains necessary

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[251] 17 "TAXATION HANDBOOK - Uganda Revenue Authority." https://www.ura.go.ug/Resources/webuploads/INLB/TAXATION%20HANDBOOK%20.pdf. Accessed 2 Apr. 2021.

[252] 18 2 E.A.T.C 148, Case no. 37 (Kenya)

to understand the different sources of income as provided for under Section 79 of the Income Tax Act

DISTINCTION BETWEEN CAPITAL AND INCOME.

Tendency of English law has been to prefer 'the fruit of tree concept of income' as compared to the 'acceleration to economic power' concept.

The distinction is important in the following instances

a) Distinction of income from Land:
   The distinction between rental payments and capital payments such as lease premiums
b) Trading income:
   The distinction between a trading profit and an isolated capital gain.
c) Annual Income:
   The distinction between installments of capital and income payments.
d) Tax avoidance:
   Many avoidance schemes depend upon the successful conversion of income into capital or vice versa.

The difference between the two concepts was illustrated in the case of **Eisner V Macomber;**[253]

Facts

In the mentioned, case Mrs. Macomber owned 2,200 shares of Standard oil company of California stock. In January, 1916. The company declared a stock dividend and Mrs. Macomber received an additional 1100 shares of stock. Of these shares 198.77, per value $19,877 represented surplus earned by the company after March 1st,1913. The IRS treated the $19,877 as taxable income under the revenue act of 1916 which provided that a stock dividend was considered income to the amount of cash is value. Mrs. Macomber argued that the provision in the revenue Act of 1916 was unconstitutional because it was a direct tax not apportioned per population since stock dividend was not income, a legislative position subjecting it to income tax was unconstitutional under 16th amendment.

Issue

Whether stock dividends are considered income or capital

Held

The supreme court affirmed the district court holding for the tax payer that a stock dividend is not income. The revenue act of 1916 provision subjecting stock dividends to tax was held unconstitutional.

A stock dividend reflects the company transferring an amount from retained earnings 'surplus' to capital stock. Such a transaction is merely a book keeping entry and affects only form and not essence of the liability.

In another case of **Mamor Sedrian Berhad V Director Inland Revenue**[254], The tax Payer which was incorporated in 1968 had power in its memorandum of association to carryout

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[253] US 252 US189

business of planters and cultivators of oil palm. The tax payer applied for and was granted about 7000 acres of jungle land in Kluang. The company entered into an agreement with government to develop the area for purposes of planting oil palm and to fell and log timber and to remove timber from the area where it was felled. By 1976 nearly all land had been planted with oil palm.

The tax payer was assessed to income tax, timber profits tax and development tax. The issue was whether the receipts from the extraction and sale of timber were received in the course of developing the land into an oi palm plantation and thus capital or were income from a separate business of timber operators and thus liable to income tax.

Held

In allowing the appeal, Lord Keith reasoned that the taxpayer was obliged to develop the 700 acres as an oil palm plantation and felling and extraction of timber was a necessary and obligatory step in that process which was an expensive one. The sale of timber was a prudent and reasonable means of mitigating that expense. Additionally, the commissioners were not allowed to infer from the facts that the extraction and sale of timber constituted the carrying on of a business of timber operators since the extraction was inseparable from the process of developing such land as an oil palm plantation as development was impossible without such an extraction. The tax payers operations resulted into transformation of one's capital assets, 7000 acres of virgin forest into capital assets of a different character, namely that of an oil plantation.

In the case of **A.E INVESTMENT TRUST LTD V COMMISSIONER INCOME TAX**,[255] the company was incorporated with objects inter alia which included power to deal in land. Its principal business was to work as a managing agent for a group of companies and trusts. In 1947, it acquired two properties, one in Eldoret and one in Nairobi and in1948, another in Mombasa. The Eldoret property was under developed and after purchase the company took steps to develop it but for certain reasons sold it at a profit in 1949 still under developed. The Nairobi property was subdivided and unsuccessful attempt was made in 1949 to sell part of it. The Mombasa property was under developed and was sold at profit in 1949 still under developed.

The company was assessed for income tax in respect of the profits from the

Eldoret and Mombasa properties and appealed to the supreme court of Kenya against the assessment on grounds that the profits were capital profits derived from the realization of investment.

It was held, that the proceeds from the sale of the Mombasa property were revenue profits subject to income tax. However, those from the Eldoret property were capital profits resulting from the realization of a capital asset since there was genuine intention to develop it when it was acquired.

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[254] [1985] BTC 578
[255] 2 E.A.T.C Case No. 31 (1955 Kenya)

KIRKHAM V WILLIAMS[256]

Income tax vs capital gains tax.

The taxpayer, Kirkham, worked from June 1974 as a demolition contractor, but also as a small-scale farmer. When some difficulties arose with the local authorities over the storage of demolition materials, he entered into a contract for the purchase of Havannah Mills, a location he had previously worked on under a demolition contract. This contract was reached in 1977. The tax commissioner's office found that the site was acquired principally to provide storage space (for his demolition materials). They did not indicate any subsidiary purposes. The taxpayer did use the site for storage, but also grew a few crops and fattened some calves. Some years later, the taxpayer sought and eventually acquired a planning permission to raise an agricultural worker's dwelling on the site. Within 9 months the house was completed but he did not intend to live in it himself. And two years later, Havannah Mills was sold for 110,000 pounds, realizing a net profit of upwards of 90,000 pounds.

The issue was whether the purchase, development and sale of Havannah Mills was an "Adventure in the nature of trade" giving rise to a charge of income tax (and not capital gains). The taxpayer contended the commissioner's finding that it was, in respect of the gain realized on the sale of Havannah Mills. He contended that the commissioner's finding was inconsistent with his original one as to the purpose of acquiring Havannah Mills. The fact that the taxpayer had built a house on Havannah Mills while also using it for storage space did not prevent it being taxed as a capital gain rather than as income. On the other hand, the crown averred that the site had been acquired with the sufficient intention to dispose of it for a profit.

Held

Nourse, LJ. Where the taxpayer, not being a dealer in land, acquired Havannah Mills, and while using it enhanced its value, and then sold it, there was no "adventure in the nature of trade" unless he had an intention of disposing of it *at the time of its acquisition*. This would make the whole transaction an equivocal one, that is to say, having an ulterior purpose, which was in this case to sell the property after enhancing its value. If a transaction was entered into for two different purposes, both had to be taken into account. Assuming that the taxpayer's subsidiary purpose was the redevelopment of the site, then the transaction was equivocal and he could be taxed under income. Viewed on its own, the taxpayer's actions did not show whether the property was acquired as a trading stock (As in, to be sold off again) or as a capital asset in his demolition business. Nonetheless, the two things were mutually exclusive. The taxpayer could not have had the intention to enhance and sell the site while also using it for storage space, which, it was clear, he needed very much. Under those circumstances it was unreasonable for the Commissioners to conclude that Havannah Mills was acquired as a trading stock based on flimsy contingencies such as the acquisition of a planning permission and finding alternative office and storage space. There was no basis for a charge under income tax.

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[256] [1991] S.T.C. 342 CA, England

An adventure in the nature of trade means that if Kirkham was in the habit of buying and redeveloping lands for resale, this would be a business on his part. Other than that, the purchase of Havannah Mills was just a purchase of a property to use as a capital asset, that is, for office and storage space.

Statham and Another v FC of T[257]

In this case the taxpayers were trustees of a deceased estate. The deceased had acquired a parcel of farming land many years earlier with the intention of raising his family and engaging in some farming activities. Some years later, the deceased sold half of the land to a company controlled by family members. At this time there was still no intention to resell the property at a profit and the new owners entered into a partnership to raise cattle. The partnership did not perform well and the owners then decided to subdivide and sell the land. The deceased died during the time the subdivided lots were being sold and some were sold after this time. The Commissioner argued that the sale of some of the subdivided lots was assessable income of the deceased estate. The taxpayers argued that the proceeds of the sales were not ordinary income, or proceeds from a profit-making plan and therefore were not ordinary income. The court held that the profits were not ordinary income because the activities of the parties indicated that the owners were not conducting a business or engaging in a profit-making undertaking or scheme. Further, simply because the farming business had failed and the owners had decided to sell the land, it did not automatically mean that the realization of the asset became taxable.

THE THEORY AND CONCEPT OF INCOME:

Income has been defined as the algebraic sum of;

(i) The market value of rights exercised in consumption and
(ii) The change in value of the store of property rights between the beginning and end of the period in question.

See Simons personal Income Tax (1938) 50. Algebra means that income is the net sum of consumption and saving. On this definition Income would include not merely Income as conventionally defined but also all capital gains, and even gifts, inheritances and lottery winnings. Moreover, because assets would be valued at the end of each year, all increases in wealth would be brought in whether or not realized. The principle would apply equally to losses. The concept of income is related to the economic ability of persons. When we wish to determine an individual income, we must ask what economic power has accrued to a given person over a given period of time. In other words, we wish to know what means came within the disposing power of a given person, who, during the period in question, neither impaired his capital nor incurred personal debts. (Shanzs contribution). In short, income is the net influx of wealth over a period of time.

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[257] 89 ATC 4070

Haig's contribution:

Haig understood that consideration needs to be given to either the money worth of the goods and services utilized during a given period or the money itself received during the period supplemented by the money worth of such goods and services as are received directly without a monetary transaction. Haig proposed two (2) opposite bases for measuring Income:

a) A consumption approach based on the value of the goods and services from which utility is obtained or, alternatively, an income in the restricted sense approach based on money receipts plus non-monetary receipts and imputed income from the recipient's own efforts and assets.

b) He proceeds to define Income as the increase or accretion to one's power to satisfy his wants in a given period so far as that power consists of (i) money itself or (ii) anything susceptible of valuation in terms of money. The elements susceptible to monetary valuation that enhance one's power to satisfy wants necessarily include;

    i) Any good or service obtained in kind (whether consideration was given or it was obtained by way of gift) which can be valued in money terms;
    ii) Any unrealized increase in the value of assets held during the period and;
    iii) The value of benefits obtained from non-market events.

The three persons writing i.e. Schanz; Haig; Simons;

Income model is the foundation concept of income called "Comprehensive Income Model". It views income as the increase in a person's economic power over a period. In its most practical measurement, the model focuses on the sum of consumption, expenditure plus net increase in wealth plus imputed income during a period it fits neatly with the horizontal equity tenet of taxation. People in identical (income) situations are treated identically. No differentiation is made between the nature and the source of the person's income. The model does not confine itself to consumption expenditure. Every person's accretion to wealth in any period falls within the tax base. A person cannot artificially dilute his tax base because wealth is applied in a particular way. Similarly, the economic neutrality objective is also achieved under the foundation concept by ensuring that no one form of income of expenditure is favoured nor another.

The Imputed Income Problem:

Imputed Income arises where an individual who owns productive assets, or who supplies production services, uses them directly to produce goods or services that he consumes himself. For example, if farmer "A" supplies himself with his own produce, he is in effect, bartering his time and the use of his capital for the food he eats. Although he does not turn his goods or services into such income, he should be taxed on the value of the profits from the goods or services he receives. Few would doubt that if "A" exchanges his produce with produce from farmer "B", each has income – even though it is received in kind. Self-sufficiency and exchange should in economic theory, be treated alike. Under U.K. law, the exchange situation is clearly taxable and self-sufficiency will arise if it comes within *Sharkey –vs. Wernher (1955) 3 ALLER 493 or 36TC275*. The sharkey case has been more criticized than applied. *Also see the case of Watson Bros vs Horn by (1942)2 ALLER506, 24TC 506*, where a trader transferred stock from a trade taxed under schedule D case 1, that of chicken breeder and hatcher – to a farm which at that time was taxed under schedule B. The Court held that the sale should be at reasonable price.

However, most countries' tax systems depart from this somewhat broad definition seen above. In practice, income is generally defined by reference to specific items to be included in the tax base,
e.g. employment income, business profits, rental income etc. rather than by way of a generic formula for defining Income. This is particularly the case for countries adopting a scheduler tax system but is also apparent in global income tax system. Income may include the receipt of cash or its equivalent but can also include amounts which are deemed or estimated to be received. Many countries distinguish between Income (sometimes referred to as revenue or ordinary income and capital gains), the latter often being subject to different computational rules, tax rates or in some cases even being exempt from tax.

Most countries compute Income in various stages under which the initial amount of income (e.g. gross income, total income) is progressively reduced by allowable personal relief, exemptions, deductions) etc to arrive finally at the amount to which the tax rate is applied. The terms used include (UK – taxable Income), assessable income (Canada, UK) gross income (US), chargeable income (UK), net income.

In Eisner-vs. Macomber, Court said:

"Income may be defined as the gain derived from capital, from labour, or from both combined provided it be understood to include profit gained through a sale or a conversion of capital assets".

Case studies:

(a) **Patridge vs. Mallandaine**:

Appellant appealed against an assessment made upon them. They stated that they had no profession or employment but that they attended race courses as Bookmarkers or Betters on horse racing and had done so for many years, but that they did not take commission for betting. They said they had no trade, vocation, profession or calling within the meaning of the several Acts relating to Income Tax and that the profits made by them from attending race courses and betting were not legal profits assessable. The revenue argued that betting systematically and annually carried on came within the Act as a vocation.

Hawkins J.:
"*Vocation" and "calling" are synonymous terms, and if anybody were asked what the calling or vocation of these gentlemen was, the answer would be "professional book makers". But it is said that there is an illegality about it. There is none at all. It is perfectly lawful for a man to follow the trade of a professional book marker if he thinks fit ……… his calling is an honest calling and may make and does make pretty often a considerable amount of profit and I cannot for the life of me see why his profit should not be taxed as profit of a calling precisely in the same way as a man is taxed of any other profits in any other profession or calling which he may have".*

(b) **Lindsay Vs. CIR**:
Appellants exported wine to US where it was contrary to do so. The shipping of wine involved a violation of the law / deception of customs authorities by means of untrue declarations as to the destination of wine. They were assessed to tax in respect of the sales. They argued that:

(i) The transactions were not transactions in the nature of trade but were speculation for capital gain.
(ii) That in any event, the transactions were fundamentally illegal and not taxable. After reviewing the effect of the decisions in *Martin –vs. Lowry*, Rutledge –vs. IRC and Lening vs. Jones, Lord **President Clyde** said; "*But in the present case, the "trade" did not consist in the commission of a crime; it consisted in the marketing of a commercial article. The frauds on the custom authorities were only incidents of that trade. Frauds are sometimes incidents of "trade" without exempting their profit from tax….The marketing of Whisky in U.K. was undoubtedly trade or in the nature of trade and was not less so because, in order to enable the Whisky to be so marketed, it was necessary to commit a fraud on the customs authorities at the stage of*

export. **Lord Sands** on the other hand said, "*It does not follow that there cannot be a business answering to the description of trade albeit it is tainted with illegality. Trafficking in drugs for example is of the nature of trade, albeit such trafficking may in the circumstances be illegal. I respectfully adopt the dictum of Lord Holdane in delivering the judgment of the Privy*

Council. In the case of Smith that once the character of a business has been ascertained as being of the nature of trade the person who carries it on cannot found upon elements of illegality to avoid the tax" While ***Lord*** **Morrison** on his part said: "*When it is established that a trade has existed for a year, the question is whether it realized a profit as ascertained under the rules of the statute. It is quite in vain for the person who has realized the profit to prove that he made it by cheating or fraudulent trading or to attempt to content that the profit he earned ought to escape chargeability because he might have been convicted of a breach of the law".*

(c) **Cesarini vs US 269 F. Supp 6th Circuit 1970**:

Plaintiff purchased a used Piano at an auction sale. While cleaning the Piano, Plaintiff discovered \$4,467, which they retained because they failed to know who put it in. The question was whether this amount forms part of gross income. The court came to the conclusion that this was income within S.61 (a) of the Act which read:

> "*Except as otherwise provided in this sub-title, gross income means all income from whatever source derived …."*

The broad all-inclusive language was used by congress to exert the full measure of its taxing power under the 16th Amendment. In Revenue Ruling 61, 1953 – 1 Cum-Bell 17, it was stated that:

> "*The finder of a treasure trove is in receipt of taxable income, for Federal Income tax purposes, to the extent of its value in US currency, for the taxable year in which it is reduced to undisputed possession.*

(d) **Old Colony Trust Co.**

On August 3 1916, the appellant resolved to pay all income taxes (State or Federal) for its officers including Mr. Wood. Mr. Wood who was president of company during 1918, 1919, 1920, received salary and commissions for those years. Pursuant to the resolution, the company paid \$.681, 169, 88 and 351, 179 as federal income taxes for the years 1918- 1920. The Court held that the taxes paid were additional income to Wood for 1919-20. The question for the Supreme Court was; "*Did the payment by the employer of Income tax assessable against the employee constitute additional taxable income to such employee?*

The Court had this to say:

"*Coming now to the merits of this case, we think the question presented is whether a tax payer, having induced a third person to pay his income tax or having acquiesced in such payment as made in discharge of an obligation to him, may avoid the making of a return thereof and the payment of a corresponding tax . We think he may not do so. The payment of the tax by the employers was in consideration of the services rendered by the* *employee and was again derived by the employee from his labour. The form of the payment is expressly declared to make no difference. It is therefore immaterial that the taxes were directly paid over to the Government. The discharge by a third person of an obligation to him is equivalent to receipt by the person taxed.*

The certificate shows that the taxes were imposed upon the employee, that the taxes were actually paid by the employer and that the employee entered upon his duties in the year in question under the express agreement that his income taxes would be paid by his employer. This is evidenced by the terms of the resolution passed on August 3, 1916. More than one year prior to the year in which the taxes were imposed. The taxes were paid upon a valuable consideration, namely, the services rendered by the employee and as part of the compensation. Therefore, we think that the payment constituted Income to the employee.

It was argued against the payment of this tax that if these payments by the employer constitute income to the employee, the employer will be called upon to pay the tax imposed upon this additional income and that the payment of the additional tax will create further income which will in turn be subject to tax, with the result that there would be a tax upon a tax. This, it is argued is the result of the Government's theory when carried to its logical conclusion and results in an absurdity which congress could not have contemplated.

In the first place, no attempt has been made by the treasury to collect further taxes upon the theory that the payment of the additional taxes creates further income, and the question of a tax upon a tax was not before the circuit court of Appeals and has not been certified to this court. We can settle questions of that sort when an attempt to impose a tax upon a tax is undertaken, but not now …… it is therefore, necessary to answer the argument based upon an algebraic formular to reach the amount of taxes due. The question in this case is; "Did the payment by the employer of the income taxes assessable against the employee constitute additional taxable income to such employee?" The answer must be "yes".

(e) **Commissioner vs. Glenshaw Glass Co**.
In these two cases, the common question was whether money received as exemplary damages for fraud or as the punitive 2/3 portion of damages anti-fraud recovery must be reported by a tax payer as gross income under S.22(a) of the Internal Revenue Code 1939. Considering S.22(a), the Court held that the language of the Section was used by congress to exert in this field the full measure of its taxing power ……… Congress applied no limitations as to the

source of taxable receipts, nor restrictive labels as to their nature and the court has given a liberal construction to this broad phraseology in recognition of the intention of Congress to tax all gains except those specifically exempted, thus the fortuitous gain accruing to a lessor by reason of the forfeiture of a lessee's improvements on the rented property was taxed in Helvenings –vs- Bruren 309 – vs- 461.60 sect 631. Such decisions demonstrate that we cannot but ascribe content to the catchall provision of S.22 (a) "gains or profits and income derived from any source whatever".

After distinguishing Elsner –vs. - Macomber, Court said;

> "…. *Here we have instances of undeniable accession to wealth, clearly realized, and over which the tax payers have complete dominion. The mere fact that the payments were extracted from the wrong doers as punishment for unlawful conduct cannot detract from their character as taxable income to the recipients. Respondents concede, as they must, that the recoveries are taxable to the extent that they compensate for damages actually incurred. It would be an anomaly that could not be justified in the absence of clear congressional intent to say that a recovery for actual damages is taxable but not the additional amount extracted as punishment for the same conduct which caused the injury and we find no such evidence of intent to exempt these payments……. we would do violence to the plain meaning of the Statute and restrict a clear legislative attempt to bring the taxing power to bear upon all receipts constitutionally taxable were we to say that the payments in question here are not gross income*".

f) James –vs. United States:

One may reasonably question whether gross income includes wealth acquired by illegal means. The Supreme Court left little doubt, supplying an affirmative answer in James. The Court provided the following convenient summary of the area:

> "it *had been a well-established principle that unlawful, as well as lawful gains are comprehended within the term 'gross income'. Section 11B of Income Tax Act 1913; provided that 'the net income of a taxable person shall include gains, profits, and income from the transaction of any lawful business carried on for gain or profit, or gains or profits and income derived from any source whatever*
> …… *when the Statute was amended in 1916, the one word 'lawful' was omitted. This revealed, we think, the obvious intent of that Congress to tax income derived*

from both legal and illegal sources to remove the incongruity of having the gains of the honest labourer taxed and the gains of the dishonest immune ……… Thereafter, the court held that gains from illicit traffic in liquor are includible within gross income …… and the court has pointed out the approval that there has been a widespread and settled administrative and judicial recognition of the *taxability of unlawful gains of many kinds…. These include protection payments made to racketeers, ransom payment paid to kidnappers, bribes, money derived from the sale of unlawful Insurance policies, graft, black market gains, funds obtained from operation of lotteries, income from race track, bookmaking and illegal prize fight pictures*".

Helvering vs. Independent life Insurance Co.

The case raised the question whether a tax payer must include in gross income the rental value of a building owned and occupied by the tax payer. Whether or not the Statute purported to subject that value to the income tax, it was the tax payer's position that such a tax was foreclosed by Article 1 of the constitution n which requires the apportionment of direct taxes. The court sustained this position saying in part;

> "*If the Statute lays taxes on the part of the building occupied by the owner or upon the rental value of that space, it cannot be sustained, for that would be to lay a direct tax requiring apportionment. The rental value of the building used by the owner does not constitute income within the meaning of the 16th Amendment*".

Revenue Ruling 79-24 1979-1 Cum, Bull.60

Situation1: In for personal legal services performed by a lawyer for a housepainter, the house painter painted the lawyer's personal residence. Both the lawyer and the housepainter are members of a barter club, an organization that annually furnishes its members and the services they provide. All the members of the club are professional or trade persons. Members contact other members directly and negotiate the value of the services to be performed.

Situation 2: An individual who owned an apartment building received a work piece of art created by a professional artist in return for the rent-free use of an apartment for six months by the artist.

The Law.

The applicable sections of the Internal Revenue Code of 1954 and the regulations there under are

s.61 (a) and 1.61-2 relating to compensation for services.

Section 1.61-2(d) (1) of the regulation provides that if services are paid for other than in money, the fair market value of the property or services taken in payment must be included in income. If the services were rendered at a stipulated price, such price will be presumed to be the fair market value of the compensation received in the absence of evidence to the contrary.

Holdings

Sitaution1: The fair market value of the services received by the lawyer and the house painter are includible in their gross income under section 61 of the code.

Situation 2: *The fair market value of the work of art and the six months fair rental value of the apartment are includible in the gross incomes of the apartment owner and the artist under section 61 of the code.*

TAX AVOIDANCE & TAX EVASION

A. TAX AVOIDANCE

Tax avoidance is distinguishable from tax evasion. While tax avoidance is lawful, tax evasion is illegal. Tax evasion is said to denote all those activities which are responsible for a person not paying the tax that the existing law charges upon his income. He or she is in the wrong, though his wrong doing may range from the making of a deliberately fraudulent return to mere failure to make his return or to pay his tax at the proper time.[258]

On the other hand, tax avoidance means some act by which a person arranges his affairs that he is liable to pay less tax than he would have paid but for the arrangement. Consequently, the situation which he brings about is one in which he is legally in the right, except so far as some rule may be introduced that puts him in the wrong.[259]

First, it is important to point out that before a taxing statute can be applied in relation to any given transaction, the revenue authority or the courts must first ascertain the effect of the transaction as between the parties, that is, the rights and obligations created by the transaction must be determined according to the general principles of law.[260]

The law concerning tax avoidance has been seen to develop over time. A number of court decisions right from Inland revenue commissioners v Duke of Westminster up to the point of Inland revenue commissioners v Ramsay and subsequent related cases will help us understand the science behind tax avoidance, how it actually works, and the various qualifications courts have put in place to limit the success of tax avoidance practices.

INLAND REVENUE COMMISSIONERS V DUKE OF WESTMINSTER[261]

In this case, the Duke of Westminster used to employ a gardener and pay him from his post-tax income, which was substantial. To reduce tax, the duke, the Duke stopped paying the gardener's wage and instead drew up a covenant, agreeing to pay an equivalent amount at the end of every specified period. This allowed the Duke to claim the expense as a deduction, thus reducing his taxable income and his liability towards income tax and surtax. The Inland Revenue

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[258] Final report of the royal commission on the taxation of profits & Income (Cmnd 9474). Para 1016 (1955) (U.K)
[259] *Ibid*
[260] Easson, Cases and Materials on Revenue Law (2nd Ed, 1990) page.45
[261] [1935] All ER 59

Commissioners challenged this arrangement as amounting to tax evasion and took the Duke to court. The crown contented that the payments were in reality remuneration for services and could not be deducted from the Duke's income for surtax purposes since the employees were not employed in any business by the Duke. The Duke contended that they were deductible for surtax purposes.

Holding of Lord Atkin;

"The deeds were brought into existence as a device by which the respondent might avoid some of the burden of surtax. It has to be recognized that the subject, whether poor and humble or wealthy and noble, has the legal right so to dispose of his capital and income as to attract upon himself the least amount of tax. The only function of a court of law is to determine the legal result of his disposition in so far as they affect tax."

In the same vein, Lord Tomlin held;

"Every man is entitled if he can to order his affairs so as that the tax attaching under the appropriate Acts is less than it otherwise would be. If he succeeds in ordering them as to secure this result, then, however unappreciative the Commissioner of Inland Revenue or his fellow taxpayers may be of his ingenuity, he cannot be compelled to pay an increased tax."

The court also went on to hold that it is necessary, apart from the substance of the transaction to look at the effect of the legal effect of the bargain which the parties have entered into. Lord Tomlin observed that "the substance is that which results from the legal rights and obligations of the parties ascertained upon ordinary legal principles. The conclusion must be that each annuitant is entitled to an annuity which as between himself and the payer is liable to deduction of income tax by the payer and which the payer is entitled to treat as a deduction from his total income for surtax purposes."

The court added that the deeds cannot be ignored or treated as operating in some different way because as a result less duty is payable than would have been the case if some other arrangement had been made.

The reasoning in Inland Revenue Commissioners v Duke of West Minster was extended in **Inland Revenue Commissioners v Mallaby-Deely**.[262] In this case,

[262] [1938] 4 All E.R. 818

payments made to a publishing firm under a seven year covenant, replacing a previous obligation to pay a lump sum to finance the publishing of a literary work , were held to be of capital nature. This was based on the precise character of the transaction. In order to determine the effect of the relevant deed, court held that apart from the legal position ascertainable from the deed, it is necessary to examine the true legal transaction by looking at all relevant documents including an undertaking in the form of letter affecting the deed.

[262] [1938] 4 All E.R. 818

CHANGES IN THE DOCTRINE OF TAX AVOIDANCE

Important to point out is the fact that in the Duke of Westminster case, there was one transaction which was the grant of an annuity, and the issue was whether the annuity could be treated as a salary or wages. With time, however, there developed integrated transactions which, initially involve a series of tax saving procedures designed to show no signs of change of ownership and thereby facilitating evasion of tax.[263] This new development demonstrates the limitations of the Westminster doctrine in that if each of the series of tax-saving procedures was to be considered separately as independently of the others, the taxpayer would not be found liable to tax.[264]

FLOOR V DAVIS[265]

Facts.

In this case, the taxpayer wished to dispose of shares in a company to an American company (company A). A direct sale to the American company would have given rise to liability to capital gains tax. The taxpayer sought to avoid liability by a scheme which involved incorporating another company B to which the taxpayer transferred the shares in consideration of the issue of shares by company B to company A. Company B was later placed in liquidation and its assets distributed. The crown government argued that there was a disposal for capital gains tax purposes of the shares by the taxpayer to company A directly. There was also a contention that the company B was a mere pipe through which the transfer of shares was effected.

Holding of the court.

The court, in reply held that the transaction did not attract capital gains tax on the taxpayer. In reply to the contention of company B being a mere pipe through which transfer of shares was effected, the court was of the view that it is impossible, upon the plain legal effect of the transactions by which the shares were exchanged and sold, to maintain that the taxpayers sold their shares in to anyone other than company B, or that company A purchased those shares from anyone other than company B and that basing on this, there was no disposal by the tax payer to company A.

265 [1978] 2 All E.R. 1079

A very important aspect of this decision which can easily be overlooked is the dissenting judgement of Lord Eveleigh who distinguished the Westminster case on the ground that it dealt with a single transaction while Floor v Davis was dealing with an integrated transaction that involved more than one sale. Lord Eveleigh felt that the transfer of shares to the newly

[263] Revenue Law in Uganda, D.J. Bakibinga page 169
[264] Ibid

[265] [1978] 2 All E.R. 1079

incorporated company B was only part of a larger transaction and the court had to determine whether that transaction was a disposal to company A, the intending buyer. He was of the view that the shares were in reality at the disposal of the original shareholders until they reached the hands of the intending buyer company A, despite the legal ownership being disguised as being under company B. Basing on this fact, he believed that there were no signs of change of ownership and as such, the true character of the transaction is that it was an integrated transaction to be regarded as a whole of tax purposes, ignoring the artificial steps included in it. The rationale of pointing out Eveleigh's judgement is to help us appreciate how his approach influenced later modifications of the Westminster doctrine.

THE NEW APPROACH

As time passed, the techniques of tax avoidance progressed and were technically improved. The effect was the development of composite transactions. A composite transaction is a transaction involving a number of steps designed to work together to produce a particular outcome.[266]

The Ramsay principle

INLAND REVENUE COMMISSIONERS V RAMSAY[267]

Ramsay Ltd was a farming company. In its accounting period it made a chargeable gain for the purposes of corporation tax by a sale-leaseback transaction. This gain it desired to counteract, so as to avoid the tax, by establishing an allowable loss. The method chosen was to purchase from a company specialising in such matters a ready-made scheme. The general nature of this was to create out of a neutral situation two assets one of which would decrease in value for the benefit of the other. The decreasing asset would be sold, so as to create the desired loss; the increasing asset would be sold, yielding a gain that it was hoped would be exempt from tax.

The two assets in question were loans of equal amounts, which had an unusual condition: Ramsay Ltd. was entitled, once, to reduce the rate of interest on one loan, provided that the rate of interest on the other loan increased by the same amount. Ramsay Ltd. exercised this right, such that one loan became worth far more than its original value, and the other far less. The loan that had gained in value was disposed

[267] [1982] AC 300

of in such a way that it was intended to be exempt from tax as debt. Where a person incurs a debt to another, whether in sterling or in some other currency, no chargeable gain shall accrue to that creditor or his personal representative or legatee on a disposal of the debt. Funding for the entire transaction was provided by a finance house, on terms such that the money would inevitably pass round in a circle, and back into their hands again, within a few days, with interest. In summary, the company had made substantial capital

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266 https://www.lexisnexis.com/uk/lexispsl/tax/document/393773/5BJR-2811-F18C-V08F-00000- 00/The_Ramsay_principle_overview

267 [1982] AC 300

gains but had entered into complex and self-cancelling series of transactions that had generated artificial capital losses for the purpose of avoiding capital gains tax.

Decision of the court

The House of Lords decided that where a transaction has pre-arranged artificial steps that serve no commercial purpose other than to save tax, the proper approach is to tax the effect of the transaction as a whole. The decision is not limited to capital gains tax, but applies to all forms of direct taxation and is an important restraint on the ability of taxpayers to engage in creative tax planning. The question is not what was the effect of the insertion of the artificial steps but what was its purpose. Lord Wilberforce stated that; "It is the task of the court to ascertain the legal nature of any transaction to which it is sought to attach a tax or a tax consequence and if that emerges from a series or combination of transactions intended to operate as such, it is the series or combination which may be regarded."

He ruled that in the particular facts of Ramsay, it would be a faulty analysis, to pick out, and stop at, the one step in the combination which produced the loss, that being entirely dependent upon, and merely, a reflection of the gain.

The House of Lords developed a new approach that involved courts considering the scheme as a whole and not confined to a step by step examination, as the majority in the court of appeal did in *Floor v Davis.*

There are a number of decisions that have followed the approach in Inland Revenue Commissioners v Ramsay.

INLAND REVENUE COMMISSIONERS V BURMAH OIL CO LTD[268]

In this case, the Burmah Oil group had suffered a genuine loss on the sale of an investment. However, the loss was not of the right kind to be deductible for tax purposes. Accordingly, the company's accountants and lawyers formulated a plan to "crystalize" that loss into a deductible form. They did this by entering into a series of (perfectly genuine) inter-group transactions, the overall effect of which was that the

[268] [1982] T.R. 535

loss already incurred became a deductible capital loss on the liquidation of one of the subsidiaries in the group. These transactions were made using Burmah Oil's own money, and were therefore quite different from the pre-arranged, marketed "schemes" using borrowed money in the Ramsay case.

Decision of the court

[268] [1982] T.R. 535

Lord Diplock

"It would be disingenuous to suggest, and dangerous on the part of those who advise on elaborate tax-avoidance schemes to assume, that Ramsay's case did not mark a significant change in the approach adopted by this House in its judicial role to a pre-ordained series of transaction (whether or not they include the achievement of a legitimate commercial end) into which there are inserted steps that have no commercial purpose apart from the avoidance of a liability to tax that, in the absence of those particular steps, would have been payable.

INLAND REVENUE COMMISSIONERS V MCGUKIAN[269]

In 1976 and 1977, the taxpayer and his wife, Mr. and Mrs. McGukian, on advice transferred their shareholding in Ballinamore Textiles Ltd, a company incorporated in the republic of Ireland, to the trustee of a settlement, Shultrust Ltd, a Guernsey company. The beneficiaries of the settlement were the taxpayer and his wife and the income was payable to the wife. Shultrust assigned to Mallardchoice Ltd, a United Kingdom Company, the right to any dividend payable by Ballinamore in 1979 for a consideration of 396,054 pounds. The dividend declared was 400,055 pounds which was paid by Ballinamore to Mallardchoice. After deduction of certain expenses, 396,054 pounds was then paid to Shultrust

<u>Decision of the court</u>

Steps which had been inserted into a commercial transaction, but which had no purpose other than the saving of tax are to be disregarded when assessing the tax effect of the scheme. The modern approach to statutory construction is to have regard to the purpose of a particular provision and interpret its language, so far as possible, in a way which best gives effect to that purpose. The particular vice of formalism in the interpretation had been the insistence of the courts on treating every transaction which had an individual legal identity as having its own separate tax consequences, whatever might be the terms of the statute. those two features – literal interpretation of tax statutes and the formalistic insistence on examining steps in a composite scheme separately – allowed tax avoidance schemes to flourish.'

Lord Browne-Wilkinson:

'The approach pioneered in Ramsay and developed in later decisions is an approach

[269] [1997]1 WLR 999 (HL)

to construction, viz. that construing tax legislation, the statutory provisions are to be applied to the substance of the transaction, disregarding artificial steps in the composite transaction or series of transactions inserted only for the purpose of seeking to obtain a tax advantage. The question is not what was the effect of the insertion of the artificial steps but what was its purpose. Having identified the artificial steps inserted with that purpose and disregarded them, then what is left is

[269] [1997]1 WLR 999 (HL)

to apply the statutory language of the taxing Act to the transaction carried through stripped of its artificial steps.

ENSIGN TANKERS (LEASING) LTD. V STOKES (INSPECTOR OF TAXES)[270]

In this case the appellants were concerned with a tax avoidance scheme, a single composite transaction where under the tax advantage claimed by the taxpayer was inconsistent with the true effect in law of the transaction. In Ensign Tankers a company became a partner of a limited partnership that had acquired the right to produce the film 'Escape to Victory'. Although 75% of the cost of making the film was financed by way of a non-recourse loan from the production company, the company claimed the benefit of depreciation allowances based upon the full amount of the production cost. The taxpayer claimed for itself and its partners capital allowances for expenditure of $14m although the partners were never liable to spend more than $3.25m of their own money.

The House of Lords disallowed the claim, but allowed depreciation calculated on the 25% of the cost for which the limited partnership was at risk. Following Ramsay, and in terms of the relevant statutory wording, the House of Lords examined the transaction as a whole and concluded that the limited partnership had only 'incurred capital expenditure on the provision of machinery or plant' of 25% and no more.

Decision of the court

Money which had been spent mainly for trading had the benefit of the tax allowances whatever the motive behind for structure of the transactions. Even if a fiscal motive was the sole or paramount motive for a transaction, which would not deprive the action of its proper nature. The legal effect was of a trading transaction with a capital expenditure, and the case was remitted for consideration on that basis. A composite transaction which could fairly be described as involving a 'conjuring trick', artificiality and self-cancelling elements, should nonetheless not be called a sham, in the relevant sense.

The case also explained or differentiated between unacceptable tax avoidance and vice versa. Lord Goff in the holding explained the meaning of unacceptable tax avoidance

[270] [1992] 1 A.C 655; E

in a way of it typically involving the creation of complex artificial structures by which, as though by the wave of a magic wand, the taxpayer conjures out of the air a loss, or a gain, or expenditure, or whatever it may be, which otherwise would never have existed.

The case applied the same principles espoused in the cases of Ramsey to Furniss to Craven v White in order to reach its holding.

[270] [1992] 1 A.C 655; E

FURTHER MODIFICATIONS TO THE RAMSAY PRINCIPLE

It is important to point out a significant change in approach as courts tried to apply the Ramsay principle. This was mainly seen to be put to effect in instances where courts were examining preordained series of transactions. These are transactions into which there are inserted steps with no commercial purpose other than the avoidance of tax, which in the absence of those particular steps would have been payable. The following two court decisions are vital in explaining this approach.

FURNISS V DAWSON[271]

The three respondents, the Dawsons, were a father and his two sons. They owned two successful clothing companies called Fordham and Burton Ltd. and Kirkby Garments Ltd. A company called Wood Bastow Holdings Ltd. offered to buy the operating companies from the Dawsons, and a price was agreed. If the Dawsons had sold the operating companies direct to Wood Bastow the Dawsons would have had to pay substantial capital gains tax. There was a rule that if a person sold his shares in Company A to Company B, and instead of receiving cash he received shares in Company B, then there was no capital gains tax payable immediately. Instead, the tax would become payable when that person later sold his shares in company B. With the intention of taking advantage of this rule to delay the payment of capital gains tax, the Dawsons arranged for an Isle of Man company called Greenjacket Investments Ltd. to be formed. The Dawsons sold the operating companies to Greenjacket Investments Ltd. in exchange for the shares of Greenjacket Investments Ltd. Greenjacket Investments Ltd. sold the operating companies to Wood Bastow Holdings Ltd.

Decision of the court

The court decided in favour of the Inland Revenue two conflicting ideas which could, at their extremes, be expressed as: a rule that any taxpayer may organise his affairs in any way he wishes (provided it is legal) so as to minimise tax (Westminster) and a rule that a taxpayer will be taxed on the effect of his transactions, not upon the way he has chosen to organise them for tax purposes (Ramsay). Lord Brightman came down

[271] [1984] AC 474

firmly in favour of an extension of the Ramsay Principle. He said that the appeal court judge Oliver J, by finding for the Dawsons and favouring the Westminster rule, had wrongly limited the Ramsay Principle as there was a pre-ordained series of transactions into which there were inserted steps that had no commercial purpose apart from the avoidance of a liability to tax. He went on to hold that where a predetermined series of

[271] [1984] AC 474

transactions contains steps which are only there for the purpose of avoiding tax, the tax is to be calculated on the effect of the composite transaction as a whole.

CRAVEN V WHITE[272]

The taxpayers owned shares in Q Ltd. In early 1976 they began to negotiate with C Ltd for a merger of the two companies and steps were taken to establish an Isle of Man holding company to act as a vehicle for the taxpayers' shares should the merger materialise. Later in that year the taxpayers were approached regarding the possibility of a sale of Q Ltd to J Ltd. The merger negotiations with C Ltd ceased during negotiations to sell Q Ltd. Later, amid fears that the sale to J Ltd would not materialise, those merger talks were resumed and M Ltd, an Isle of Man company, was incorporated. However, talks then started up again with J Ltd, and the taxpayers exchanged their shares in Q Ltd for shares in M Ltd. Following further negotiation, J Ltd purchased the shares in Q Ltd from M Ltd.

<u>Decision of the court</u>

The court relied on the fact that there was one disposal and not two and that the transfer to the intermediate company was not a 'disposal' within the meaning of the statute. The principal terms were not agreed to the point at which it could be said that there was practical likelihood of the transaction actually taking place. On this basis, the court held that the share exchange could not be disregarded and the Crown's appeal was dismissed.

The court further considered what would amount to a pre-ordained series of transactions when considering their tax effect. In determining whether a number of transactions of which at least one (the intermediate transaction) had no purpose other than tax avoidance should be treated for fiscal purposes not as independent but as forming part of one composite linear transaction from which tax consequences flowed within the Ramsay principle, as extended by Furniss v Dawson, court stated that it had to be shown that: (1) the series of transactions in question was, at the time when the intermediate transaction was entered into, preordained in order to produce a given result; (2) the series of transactions had no purpose other than tax mitigation; (3) there was at that time no practical likelihood that the pre-ordained events would not take place in the order ordained, so that the intermediate transaction was not even contemplated practically as having an independent life; and (4) the pre-ordained

[272] [1985] 2 All ER 125

events did in fact take place.

Lord Oliver: “Another identifying feature is that all the stages of what is claimed as the composite transaction are preordained to take place in an orchestrated sequence and, in my opinion, that must mean more than simply ‘planned or thought out in advance’. It involves a degree of certainty and control over the end result at the time when the intermediate steps are taken. That does not, I think, mean absolute certainty in the sense that every single term of the transaction which ultimately takes place must then be finally settled and agreed. But it does seem

[272] [1985] 2 All ER 125

to me to be essential at least that the principal terms should be agreed to the point at which it can be said that there is no practical likelihood that the transaction which actually takes place will not take place. Nor is it sufficient, in my opinion, that the ultimate transaction which finally takes place, though not envisaged at the intermediate stage as a concrete reality, is simply a transaction of the kind that is then envisaged, for the underlying basis of the Ramsay doctrine is that it must, on the facts, be possible to analyse the sequence as one single identifiable transaction and if, at the completion of the intermediate disposition, it is not even known to whom or upon what terms any ultimate disposition will be made, I simply do not see how such an analysis is intellectually possible."

WAYS THROUGH WHICH TAX AVOIDANCE IS IMPLEMENTED

The channels of tax avoidance emanate from gaps and loopholes in the tax laws. Tax laws are be design general prescriptions necessitated by the fact that Parliament is not in a position to foresee all situations in a rapidly changing business and investment world so as to provide for the tax treatment of all situations that may emerge.[273] Connected to the existence of loopholes is the challenge of statutory interpretation where the courts are still hesitant to adopt the purposive approach to statutory interpretation in tax matters and thus shy away from confirming a tax assessment when there is no unambiguous legal basis for doing so, and especially when the wording of the tax law fails to squarely tax certain situations, thereby leaving gaps and loopholes, even where reasonably and as a matter of tax policy, these situations were intended to be taxed.[274]

In order to achieve tax avoidance schemes, companies (in most cases, multinational companies) use a number of techniques to artificially move their money around to tax havens using transfer prices, exploiting loopholes in tax laws, and creating artificial structures such as other holding companies located in tax havens, which have no real economic value, but merely used as a conduit pipe to move money around the world, or to perform a number of tax reducing functions.[275] This part of the paper points out and briefly explains some of the various techniques that these companies use to reduce their tax liability, and it is these techniques that will enable the reader have an in depth understanding and appreciation of the anti-tax avoidance provisions embedded in the Income Tax Act.

[276] *Ibid* Page 531

First, it is important for one to know what a tax haven is. A tax haven is an area with a conducive legal system that permits and enables foreign entities and individuals to reduce the tax burdens in their home countries by transferring incomes, capital or assets there.[276] In the world today, some of the most popular tax haven countries include Andorra, the Bahamas, Belize, Bermuda, the

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[273] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 526
[274] *Ibid*
[275] *Ibid* Page 527

[276] *Ibid* Page 531

British Virgin Islands, the Cayman Islands, the Isle of Man, Mauritius, Monaco, Panama, St. Kitts and Nevis. Countries referred to as tax havens are normally identified by any three criteria;

i. They have low taxes or no taxes at all for certain assets and incomes, for example intellectual property rights, bonds, shares; and these incentives are normally granted to foreign residents.
ii. They have low levels or regulation regarding legal entities such as companies, regulations or trusts.
iii. Strong secrecy of the entities is guaranteed for example, through secret accounts, no public registration of entities, or no cooperation with foreign authorities.

Multinational companies usually choose to open up branches and offices, holding companies or even subsidiaries in tax havens. The investment location helps in determining where they choose to transfer the profits made, and where they choose to allocate the bulk of expenses. In other words, multinationals that want to minimize their tax bills in a host country like Uganda shift their profits to subsidiaries located in countries where there is low or zero tax regime and therefore pay less taxes.[277]

Another technique used to avoid taxes is collecting and then loaning dividend money to the parent company as a way of minimizing tax paid on dividends. At times, they actually hide the true nature of certain intra group transactions from published accounts that they submit to the tax authorities.[278]

Multinational companies also try to manipulate intra group transfer prices by artificially reducing the cost of products and services sold from higher tax jurisdictions to another company in a lower tax jurisdiction and then inflating the costs of the same products when sold from the new low tax country, which pockets the difference as reduced tax profit.[279]

Multinationals also get away with abusing transfer pricing rules by selling products and services that are notoriously hard to value, or products where there is no way of determining the market price for transfers across international borders.[280]

Furthermore, multinationals do move products cheaply out of higher tax jurisdictions to subsidiaries in lower tax jurisdictions that then pretend to add value to the products. The products are then sold for much more than they were purchased.[281]

Multinational companies also inflate the costs of their operations in higher tax countries so that they can benefit from generous deductions and tax relief applied to business expenses. This happens because many countries with the hope of attracting foreign direct investment, offer tax

[277] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 527
[278] *Ibid*
[279] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 528
[280] *Ibid*
[281] *Ibid*

relief on a number of company expenses including capital expenditure and interest payments on debt.[282]

Multinational companies also create internal financing companies in tax havens for the purpose of loaning money to other subsidiaries in the group at a rate of interest that will maximize the profit it can extract from subsidiary companies in high tax jurisdictions and then transfer it to low tax jurisdictions. The subsidiaries benefit from offsetting the interest payments to the financing company against their profits thereby reducing their tax bill. The financing company also pays little tax on its income in the tax haven.[283]

Multinational companies also choose to finance their subsidiaries in high tax jurisdictions using loan capital rather than through share capital. Share capital earns dividends payable from profits made; while loan capital is paid interest regardless of whether or not profits are generated. Interest paid is deducted from the companies profits for tax purposes and also reduces its tax bill. This does not apply to a dividend which is subject to a withholding tax in the country in which they arise, and therefore part of the companies' value has to be paid to the host country.[284] This form of finance in which the companies' level of debt is much greater than its share capital is known as thin capitalization.

Multinationals also avoid taxes by employing mangers in tax havens far away from where their services are actually used. This reduces the employee's individual tax bills and benefits the company by allowing them to make charges for management services which are then deducted from their profits elsewhere. The value of those management services is difficult to prove for transfer pricing purposes and therefore profit can be extracted in this way from the company that receives the charge for these services.[285]

Another technique used is choosing to register patents and copyrights on things like their brand and logo in tax havens, such that the group's companies based in higher tax jurisdictions then pay a fee for the use of these items every time they make sales. Added to this is the fact that intellectual property rights in intangible assets are difficult to value or price. The companies take advantage of this by charging exorbitant prices thus transferring huge amounts of profits to where they will be taxed less.[286]

Tax payers also seek to reduce their tax liability by using a technique referred to as income splitting. A taxpayer is treated as having attempted to split income where the taxpayer transfers income, directly or indirectly to an associate[287], the taxpayer transfers property, including money

, directly or indirectly, to an associate with the result that the associate receives or enjoys income

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[282] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 529

[283] *Ibid*

[284] *Ibid*

[285] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 530

[286] *Ibid*

[287] Section 64(2)(a) Income Tax Act

from that property and the reason for the transfer is to lower the total tax payable upon the income of the transferor and the transferee.[288]

ANTI-AVOIDANCE PROVISIONS IN THE INCOME TAX ACT

The Income Tax Act provides both specific and general anti-avoidance rules which apply in particular circumstances and are intended to limit a tax payer's liability to avoid or reduce the amount of tax that would otherwise be payable. The various anti-avoidance provisions in the Income Tax Act are discussed below.

The Income Tax Act provides for general anti-avoidance rules under section 91. Under this provision, for the purposes of avoiding liability to tax, the commissioner may re-characterize a transaction or an element of a transaction that was entered into as part of a tax avoidance scheme[289] , disregard any transaction that does not have substantial economic effect[290], and also recharacterize a transaction the form of which does not reflect the substance.[291] When applying this provision of the law to a transaction undertaken by the tax payer, the substance of the transaction, rather than its form, determines the tax consequences of the transaction. In other words, questions of taxation are determined by analyzing what was actually done, rather than the declared purpose of the participants. As a measure to counter the perpetration of tax avoidance through disguised transactions, the Act empowers the Commissioner to re-characterize the form of a transaction that does not reflect its substance. [292]The mere fact that the parties to a transaction label their transactions in a particular way does not prevent the tax authorities from going behind the transaction to determine its true nature.[293]

The Income Tax Act also gives the commissioner of tax powers to distribute, apportion, or allocate income, deductions, or credits between associates who are in an employment relationship in order to reflect the chargeable income realized by the taxpayer in an arm's length transaction.[294] Tax laws generally emphasize the need for taxpayers to rely on arm's length prices when accounting for incomes and claiming deductions for tax purposes and where such arm's length prices are not used, the commissioner can come in to exercise powers granted to him or her under section 91(1) of the Income Tax Act. This mainly affects transactions between related or associated persons. The tax laws for transactions are designed to ensure the following;

[294] Section 90(1) Income Tax Act

i. That all transactions are treated in the same way, from a tax perspective, like arm's length transactions between independent parties. The tax status of any transaction should not be

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[288] *Ibid*:Section 64(2)(b)

[289] *Ibid:* Section 91(1)(a)

[290] *Ibid*: Section 91(1)(b)

[291] *Ibid:* Section 91(1)(c)

[292] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 540

[293] *Ibid*

[294] Section 90(1) Income Tax Act

different when the parties involved are associates. Tax avoidance arrangements could be structured through associated persons to hide or disguise the true nature of a transaction through associated persons to hide or disguise the true nature of a transaction thus affecting the tax consequence. The law ensures that this is prohibited.[295]

ii. That the tax treatment of transactions involving associated persons does not create a tax benefit to either party. Transactions between related parties should be afforded the same tax treatment as transactions conducted at arm's length or between independent parties.[296]

iii. That associated persons do not use the tax system to subside the cost of what are effectively private transactions.[297]

iv. That associated persons do not disguise the actual persons involved in a transaction.

The Income Tax Act under section 64 also puts in place rules to combat income splitting. Income splitting occurs when a tax payer transfers income or property directly or indirectly to an associate with the intention of lowering the total tax payable by the transferor and the transferee. Because different people are taxed at different rates, a person being taxed at a high rate may seek to have some of their income allocated to a person taxed at a low rate.[298] Where a taxpayer attempts to split income with another person, the commissioner has powers to adjust the chargeable income of the taxpayer and the other person to prevent any reduction in tax payable as a result of splitting the income.[299] This provision is not limited to arrangements between associates and may apply even where the arm's length principle is respected.[300]

The Income Tax Act also provides for rules against thin capitalization. Thin capitalization as earlier explained is the informal term used in tax practice to indicate that an entity is thinly capitalized with equity or share capital while at the same time the entity is funded with substantial amount of debt.[301] The Income tax Act introduced an "earnings stripping rule" that limits interest deductibility when the net interest expenses exceed a defined percentage of 30% of the earnings before interest, tax depreciation, amortization.[302] The act expressly provides that the amount of deductible interest of all debts owed by a taxpayer who is a member of a group shall not exceed thirty percent of the tax earnings before interest, tax, depreciation and amortization.[303] The act goes on to provide that a taxpayer whose interest exceeds thirty percent of the tax earnings before interest, tax, depreciation, and amortization may carry forward the excess interest for not more than three years, and the excess interest shall be treated as incurred in the next year of income.[304] Deductibility of interest payments is capped as a result of these rules.

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[295] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 539
[296] *Ibid*
[297] *Ibid*
[298] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 542
[299] Section 64(1) Income Tax Act
[300] Joseph.O. Okuja; Domestic and International Taxation in Uganda. Page 542
[301] *Ibid* Page 543
[302] *Ibid* Page 545
[303] Section 25(3) Income Tax Act
[304] Section 25(4) Income Tax Act

This is aimed at achieving the same goal of restricting interest expenses from excessive loan financing by members of a corporate group and thus counter tax avoidance through excessive interest payments.

TAX EVASION

Tax evasion refers to the minimization of one's tax liability by methods that violate the provisions of tax codes of law and it's therefore an offence that if one is discovered could lead to imposition of criminal proceedings against the tax payer. It's an illegal activity where a person caught for evasion is generally subject to criminal charges and substantial penalties.

Whiteman and Wheat Croft (1976)[305] saw tax evasion as a reduction of tax liability by omitting certain items from returns. Thus, one's failure to pay tax by such acts is an offence. This contrasts tax avoidance where Iga (1999)[306] differentiated it from tax avoidance explaining that tax avoidance involves using legal means to prevent or reduce tax liability which the tax payer would otherwise have incurred. This is different in contrast to an action taken to lessen tax liability and to maximise after tax income. Evasion in contrast involves failure to pay or deliberate underpayment of taxes.

Examples of tax evasion include

- Failure to report incomes profits or gains otherwise legally chargeable to tax.
- Maintaining false books of accounts with intent to reduce taxes
- Reporting only part of the income gains or profits.
- Making false claims of expenses or allowances or deductions
- Under declaration of goods for duty purposes
- Outright smuggling to avoid payment of duties etc.

The Tax Procedures Code Act expressly provides for offences related to tax evasion. The Act goes on to criminalize tax evasion under these provisions by further providing for fines applicable in case one commits an offence that amounts to tax evasion. These can be found under sections 54 up to section 67 of the Tax Procedures

Code Act. This part of the paper goes on to elaborate more on these provisions of the law and gives an in-depth analysis of how they operate to prevent evasion of taxes.

[305] Peter George Whiteman (1976) Whiteman and Wheatcroft on income tax
[306] Iga, M.P (1999) The effect of Administrative Procedures on Income tax Collections. MBA Dissertation (Un Published) Muk.

Failing to furnish a tax return is an offence that amounts to tax evasion under the Tax Procedures Code Act. A person who does not furnish a tax return by the due date, or within such further time as the Commissioner may allow, commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.[307] Where a person convicted of an offence under subsection (1) fails to furnish the return to which the offence relates within the period specified by the court, the person commits another offence and is liable on conviction to a fine not exceeding fifty currency points.[308]

Failure to comply with obligations under the Tax Procedures Code Act also amounts to an offence of tax evasion. Under section 55 of the Act, the following acts or omissions amount to offences of tax evasion.

a) comply with a notice served on the person under section 31;
b) comply with a notice served on the person under section 18(2)
c) provide reasonable facilities and assistance as required under section 41
d) comply with a notice served on the person under section 42;
e) get a tax clearance certificate prior to performing an act specified in section 43
f) comply with sections 11, 13, 47 or 72,

commits an offence and is liable on conviction to a fine not exceeding twenty-five currency points.[309]

Section 56 of the Act makes it an offence when one fails to maintain proper records. The Act provides that a taxpayer who knowingly or recklessly does not maintain records as required under a tax law commits an offence and is liable on conviction to a fine not exceeding forty-eight currency points or to imprisonment not exceeding two years or both.[310] The framers of the Act put this provision in place owing to the fact that tax payers in many instances try to evade taxes by hiding their records as a way of not paying taxes that would arise if the records are examined by the tax authorities. Therefore, it was out in place to counter this practice.

Section 57 of the Act makes it an offence to use a false TIN number. A person who knowingly or recklessly uses a false TIN on a tax return or other document prescribed or used for the purposes of a tax law commits an offence and is liable on conviction to a fine not exceeding twenty-four currency points or to imprisonment not exceeding

[311] *Ibid:* Section 57

one year or both.[311] Some people attempt to evade taxes by using false tax identification numbers as a way of being taxed less, or at times , to get tax relief. It was therefore put in place to combat this.

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[307] Tax Procedures Code Act: Section 54(1)
[308] *Ibid:* Section 54(2)
[309] *Ibid:* Section 55(1)
[310] *Ibid:* Section 56

[311] *Ibid:* Section 57

Section 58 makes it an offence for one to make false or misleading statements. Where a person who knowingly or recklessly makes a statement to a tax officer that is false or misleading in a material particular or omits from a statement made to a tax officer any matter or thing without which the statement is false or misleading in a material particular, commits an offence and is liable on conviction to a fine not exceeding forty eight currency points or to imprisonment not exceeding two years or both.[312] The importance of this provision is that criminalizes lies told to tax authorities in a move to evade taxes.

Section 59 makes it an offence when one obstructs a tax officer. A person who obstructs a tax officer in the performance of duties under a tax law commits an offence and is liable on conviction to a fine not exceeding forty-eight currency points or to imprisonment not exceeding two years or both.[313] Obstruction of tax officers could take various forms such as denying them access to records required for tax assessment. This provision makes it a crime for anyone to obstruct a tax officer in a bid to evade taxes due to the state.

Section 60 criminalizes aiding or abetting a tax offence. A person who aids, abets, counsels, or induces another person to commit an offence under a tax law, commits an offence and is liable on conviction for the same punishment as imposed for the principal offender. for the penalty of aiding and abetting a tax offence.[314]

Section 61 deals with offences related to recovery of tax. The provision provides that a person A person who rescues any goods that are the subject of an order under section 32 that are in premises which are the subject of an order under section 33, or that have been seized under section 35, before, during, or after any distress proceedings under section 32 or seizure of goods under section 35, staves, breaks or destroys any goods, or documents relating to any goods, to prevent the seizure or the securing of the goods or the proof of an offence or enters premises which are the subject of an order under section 33 without the permission of the Commissioner, commits an offence and is liable on conviction to a fine not exceeding forty eight currency points or imprisonment not exceeding two years.[315]

Section 62 deals with offences relating to registration. Where a person does not apply for registration as required under a tax law, does not notify the Commissioner of a change in registration particulars or circumstances as required under a tax law or does not apply for cancellation of registration as required under a tax law, that person

[315] *Ibid*: Section 61

commits an offence and is liable on conviction if the failure or act is done knowingly or recklessly, to a fine not exceeding fifty currency points or imprisonment not exceeding two years or both, or in any other case, a

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[312] Tax Procedures Code Act: Section 58(1)
[313] *Ibid*: Section 59
[314]*Ibid*: Section 60

[315] *Ibid*: Section 61

fine not exceeding twenty five currency points or imprisonment not exceeding one year or both.[316]

Section 63 of the Act provides for offences in relation to the tax officers. Where A tax officer who directly or indirectly asks for, or takes in connection with any of the officer's duties, a payment or reward, whether pecuniary or otherwise, or a promise or security for any payment or reward, not being a payment or reward which the officer is lawfully entitled to receive or enters into or acquiesces in any agreement to do any act or thing, abstain from doing any act or thing, permit or connive in the doing of any act or thing, or conceal any act or thing whereby the tax revenue is or may be defrauded or which is contrary to the provisions of a tax law or to the proper execution of the officer's duty, commits an offence and is liable on conviction to a fine not exceeding forty eight currency points or imprisonment not exceeding two years, or both.[317] The Act foresaw the fact that some tax officers may be involved in tax evasion schemes and therefore, it put in place provisions to counter this.

Section 64 of the Act deals with offences relating to bodies of persons. The Act provides that when an offence under a tax law is committed by a company, the offence is treated as having been committed by a person who, at the time the offence is committed, is the chief executive officer, managing director, a director, company secretary, treasurer, or other similar officer of the company; or acting or purporting to act in that capacity.[318] The Act goes on to provide that where an offence under a tax law is committed by a partnership, every partner at the time of the commission of the offence is treated as having committed the offence.[319] Important to point out from this is the fact that it is not only individuals that can be found criminally liable for tax evasion offences, but also bodies such as companies and partnership businesses.

Section 65 of the Act provides that a tax officer duly authorised in writing by the Commissioner may appear in any court on behalf of the Commissioner in any civil proceedings in which the Commissioner is a party.[320] Furthermore, the authorised tax officer may conduct any prosecution for an offence under this Act and for that purpose, the officer has all the powers of a public prosecutor appointed under section 42 of the Magistrates Courts' Act subject to the powers of Director of Public Prosecutions under article 120 of the Constitution.[321] The importance of this provision is that it empowers other duly authorized people to take on cases against tax evaders even in the absence of the commissioner, or even inability of the commissioner to be present and institute proceedings.

If a person has committed an offence under a tax law, other than under section 63, the Commissioner may, at any time prior to the commencement of court proceedings, enter into an

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[316] *Ibid*: Section 62
[317] Tax Procedures Code Act: Section 63(1)
[318] *Ibid:* Section 64(1)
[319] *Ibid:* Section 64(2)
[320] *Ibid:* Section 65(1)
[321] *Ibid:* Section 65(2)

agreement with the offender to compound the offence if the offender agrees to pay to the Commissioner any unpaid tax and an amount not exceeding the maximum fine imposed by the tax law for the offence.[322]The Commissioner may compound an offence under this section only if the offender admits, in writing, to committing the offence and requests the Commissioner to enter into a compounding agreement in relation to the offence.[323] This provision gives tax offenders the option of not being reported to the courts of law after paying up the taxes owed to the state. It creates a win-win situation in which both the state and the individual gain, which means more revenue collected by the state.

The Act also provides that the tax charged is to be paid despite prosecution. The amount of any tax due and payable under a tax law by a taxpayer is not abated by reason only of the conviction or punishment of the taxpayer for an offence under any tax law, or for the compounding of such offence under section 66.[324] Any person cannot use on going proceedings as an excuse not to pay taxes because it is well known that some people have various tactics of prolonging court proceedings leading to unnecessary delays, which in turn mean longer tax collection periods.

A question that arose is as to whether these provisions apply to people under section 4 and section 5 of the income tax act, provisions involving the schedule concerning presumptive tax.

Section 4 of the income tax act provides for a tax to be known as income tax that shall be charged for each year of income and is imposed on every person who has chargeable income for the year of income. A presumptive tax is one that is imposed automatically and thus qualifying this as an income tax as well.

Section 5 of the income tax provides for the imposition of rental income which is a tax that shall be charged for each year of income and is imposed on every individual who has rental income for the year of income.

In reading these two provisions one may interpret that they do imply a presumptive tax on any party involved.

RESIDENCE AND SOURCE OF INCOME. Sections, 2, 17 (2), 9-14, 79, 82-87, 120,121.

Income Tax is not imposed on citizens; it is imposed on residents and people who derive income from sources within Uganda. i.e. The tax base of Ugandan residents comprises their worldwide income, while the Ugandan tax base of nonresidents is limited to their income that is derived from sources in Uganda. Whether or not a person is a resident of Uganda depends on the definition of a resident person in section 2 of the ITA. Resident persons for the purposes of the

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[322] Tax Procedures Code Act: Section 66(1)
[323] *Ibid*: Section 66(2)
[324] *Ibid*: Section 67

ITA, include Individuals, Companies, Trusts, Partnerships and Retirement funds. The case for a resident Company has been the subject of litigation and the language of section 10 of the ITA has its origin from cases decided before its enactment. We may consider two of them

In De Beers Consolidated Mines Ltd (1906) AC 454, The House of Lords held that a foreign corporation may reside in the country for the purposes of income tax. The test of residence is not where it is registered, but where it really keeps house and does its real business. The real business is carried on where the central management and control actually abides. Whether any particular case falls within that rule is a pure question of fact to be determined not according to construction of this or that regulation or by-law, but upon a scrutiny of the course of business and trading. The facts of the case were that - A company was incorporated and registered in South Africa with denominated head office at Kimberly in Cape Colony and it had an office in London. Its business was the sale of diamond from its mines to a syndicate of diamond merchants of London. The general meetings of the company were held in Kimberly, the control of the company was vested in three life governors and sixteen ordinary directors of whom four had to reside in England. Two of the three and nine of the sixteen resided in the United Kingdom. The chairman and six of the sixteen resided in Cape Colony. Meetings of the company were held weekly in Kimberly and London with an interchange of minutes between two places. There were decisions which had to be passed by majority of directors. Majority of directors were always in London and in all reserved matters for majority voting had always been in London. The company was assessed to income tax under Schedule D of the Income Tax Act, 1853. The company objected and lost both in the High Court and on appeal to the Court of Appeal.

On Appeal to the House of Lords, the question was –

"Whether the De Beers Consolidated Mines Limited ought to be assessed to income tax on the footing that it is a company resident in the United Kingdom".

On the test laid down above, the appeal failed.

Lord Loreburn L.C. at 459, after reciting the facts as found by the commissioners said,

> "…………… *But it is clearly established that the majority of directors and life governors live in England, that the directors' meeting in London are the meetings where the real control is always exercised in practically all the important business of*

the company except mining operations. London has always controlled the negotiations of the contracts with the diamond syndicates, has determined policy in the disposal of diamonds and other assets, the working and development of mines, the application of profits, and appointment of directors. London has always controlled matters that require to be determined by majority of directors which include all questions of expenditure except wages, materials and such – like at the mines, and a limited sum which may be spent by the directors at Kimberly".

The conclusion of the commissioners, said Lord Loreburn, cannot be impugned and it follows that this company was resident in U.K. for purposes of income tax and must be assessed on that footing. This appeal therefore fails. The other four Lords agreed. In **Unit Trust Construction Ltd vs. Bullock (I.T.),** three companies which were wholly-owned subsidiaries of A, B & Co. Ltd, a company resident in U.K, were registered in Kenya. The Boards of the three subsidiaries, situate in Kenya, were entirely distinct from the Board of the parent company, but none of these boards ever either took any decisions as a board or were summoned to meet as a board, and the real control and management was exercised by the board of A, B & Co. Ltd. That arrangement was not authorized by the memo or articles of association of the subsidiaries. The appellant company, also a wholly owned subsidiary of A, B & Co. Ltd, made certain payments to the Kenya subsidiaries which it claimed it claimed to deduct in computing its profits for the purposes of Schedule D. the determination of residence of Kenya subsidiaries was relevant in determining whether the payments were deductible.

Held: It was the actual place of management of a company and not the place where it ought to be managed which fixed the residence of a company and by that test this company was resident in U.K.

Viscount said,

> "…… *the detailed and careful review of the facts by the special commissioners led them irresistibly to the conclusion which they thus state - 'We find that ………the board of directors of the African subsidiaries (who are the people one would have expected to find exercising central and management) were standing aside in all matters of real importance and in many matters of minor importance affecting the central management and control, and we find that the real control being exercised by the Board of, B & Co. Ltd in London'.*
>
> *Thus being their conclusion of fact, it is not surprising that as a matter of law they concluded that these companies were resident in London for it has been trite law for 2 generations or more that a limited company 'resides for purposes of income tax where its real business is carried on' and that its real business is carried on where the central 'management and control actually abides'.*
>
> *This test has not only been re-asserted and applied over and over again in judicial decisions; it has now also received legislative recognition ……. It can*

……….*water*".

The familiar words that I have cited come from Lord Loreburn's speech in De Beers. At that time the possibility of an artificial person such as a limited company residing in two countries at one and the same time had not been fully examined. 20 years later, in **Swedish Central Rail Co. Ltd v. Thompson (1923) 9TC 343; 352CA, (1924)2KB 255, (1925)AC 495, 41T.L.R. 15**,

Rowlat J. saw no difficulty in such a concept and, indeed, found it easier for a corp. to have two

residences than for a natural person and, though in the same case in the Court of Appeal, Atkin
C.J. said that he felt constrained by authority to come to a different conclusion, and in the House of Lords, Lord Atkinson in a powerful dissenting speech took the same view, it must now be regarded as a clear law that an artificial person may like a natural person, have more than one residence.

> "....................... *the business is not less managed in London because it ought to be managed in Kenya. Its residence is determined by the solid facts, not by the terms of its constitution, however imperative .... I come to the conclusion... .... that it is the actual place of management, not that place in which it ought to be managed, which fixes the residence of a company*".

Read the cases below

Mobil Oil (Nig) Ltd vs FIRB (1977)1 ALR 1

Inter (Nig) Ltd vs Federal Inland Rev. (1978)2

ALR 260 Reiss & Co. (Nig) Ltd vs FIRB (1977)2

ALR 209

Ola vs Federal Rev Bd (1976)1

ALR 85 Ola vs Federal Board of

Inland Revenue

The Board will rightly take every advantage which is open to it under the Act for the purpose of depleting the tax payer's pocket, and the tax payer in like manner is entitled to be astute to prevent so far as he honestly can, the depletion of his means by the Board, and no man is under the smallest obligation, moral or other, so to arrange his legal relation to his business or property as to enable the Board to make the largest possible assessment in making best of judgment and against a person who is in default as regards the supply of information, tax officials must not act dishonestly, or vindictively or capriciously, they have no right or power under the law to inflict any assessment which is or tends to be of a punitive nature, and it is the duty of the court to ensure that they are prevented from using their power of taxing as a punitive measure.

Reiss & Co. (Nig) vs Federal Inland Revenue Board

The respondent was not entitled to make an assessment on the best judgment principle since the appellants had delivered returns which had neither been rejected as inadequate nor challenged as incorrect.

Inter (Nig) Ltd vs Federal Inland Revenue Board

Despite having originally treated the appellant's civil war losses as expenses incurred in production, deductible under Act, the respondent was not barred from making an additional assessment under Section 50, if it was found on further examination of the facts that the losses should have been treated as capital losses for which relief should have been claimed. The respondent was not required to discover any new facts before making an additional assessment. It was sufficient to have discovered that the wrong inference had been drawn from known facts.

THE TAX TREATMENT OF RENTAL INCOME OF RESIDENT

INDIVIDUALS AND INCOME OF SMALL BUSINESSES

RENTAL INCOME

See Ss 2, 5, 6(2), 9, 22 (1) (c), 111, 114 and Third Schedule, Part VI

Since the Finance Statute 1994 to the repeal of the Income Tax Decree 1974, income received by individuals from the rental of residential or commercial buildings was chargeable to tax on a scheduler basis. The tax was reported and remitted by the landlord. The rate was 20 per cent of gross rental income in excess of 1,560,000 shillings per year. No deductions of any kind with respect to the cost of earning the income were allowed.

Eventually, Uganda should strive to attain the goal of a truly global income tax. However, for the present the scheduler elements, of which the gross rental tax is a prime example, are necessary, in light of administrative limitations and taxpayer non-compliance. These administrative limitations led to the retaining of the gross rental tax albeit with some modifications. It would be quite difficult to monitor the appropriate deduction of expenses in computing the tax on actual rental profits. While it is still, of course, possible for landlords to misstate or fail to report rental receipts, the gross tax reduces the complexity of ascertaining the correct tax. In light of the apparent real estate boom in parts of Uganda, it is important from equity, as well as revenue, standpoint to make sure that tax is collected from individual landlords.

THE LAW

The definition of rental income is relevant to the imposition and collection of the rental tax under the Act. Rental tax is imposed under section 5(1) on every resident person who has gross rental income for a year of income. Under subsection (2), the rental tax payable by a person is calculated by applying the relevant rate of tax against the rental income of the person for the year. Rental income means the total amount of rent derived by a resident person from the lease of immovable property in Uganda with the deduction of expenditures or losses incurred by the person. The deductions allowed for an individual is specified in section 22(1) (c)

"Rent" is defined to mean any payment made as consideration for the use or occupation of, or the right to use or occupy any land or buildings. The definition expressly includes a premium or like amount paid for the use of or right to use or occupy any land or buildings. A payment made for the use of or right to use tangible movable property is treated as a royalty (see section 2 definition) rather than as rent for the purposes of the Act.

The treatment of rental income under the Act is summarized as follows:

(1) rental income derived by a resident person from the lease of immovable property in Uganda is subject to rental tax at the rate of 20% of the chargeable income in excess of Sh.2,820,000 in the case of an individual and is 30% for a company or a retirement fund.

(2) rental income derived by a resident person from the lease of immovable property located outside Uganda is taxed in Uganda as property income (section 20(1)(a);

(3) rental income derived from the lease of immovable property in Uganda by a non-resident person is included in gross income as property income (section 20(1)(a) and

(4) Income derived from the lease of tangible movable property is treated as royalty.

Where rental income referred to in (2) is foreign source income, the resident person is allowed a credit for any foreign tax paid in respect of the income (section 81). The source of income derived from the rental of immovable property is determined under section 79(f).

Section 5 formally imposes a separate tax (referred to as the "rental tax") on the rental income derived by a resident person for a year of income. Like the income tax under 4(1), the rental tax is imposed annually by reference to the year of income. Rental tax payers are now subject to section 111 on payment of provisional taxes. See Amendment Act No. 30 of 2006 and must file their return within six months of the end of the year of income.

Presumptive taxation of small business

Ss. 2, 4, 4(5), 4(6), 4(7), 92, 93, 95 – 98, 111(4), 111(5), 113, 119(1), 119(6), 128(3), 128(4) and
the Second Schedule.

The nature of Presumptive Tax

Presumptive taxation involves the use of indirect means to ascertain tax liability, which differs from the usual rules based on the taxpayer's accounts. The term 'presumptive' is used to indicate that there is a legal presumption that the taxpayer's income is no less than the amount resulting from the application of the indirect method. As will be discussed below, this presumption may or may not be rebutted.

Presumptive taxation is employed primarily in economies where hard-to-tax taxpayers comprise the majority of the population and administrative resources are scarce. In these countries, most taxpayers lack the financial transparency that allows for effective taxation by the government. This has the consequence of depriving the government paltry sums of revenue. The result is that government estimates or presumes that appropriate income on which taxes should be levied. The following factors contribute to their being hard to tax:

a) Their number is great, making it impossible to intensively scrutinize more than a small fraction of them.
b) Their incomes are small, often below the property level.

c) They are not compelled by business (that is to say, nontax) reasons to keep adequate books of account.
d) They sell largely to the population for cash so that application of withholding to collect their income is not practicable.
e) In part due to the above factors, they can easily conceal their incomes.

In Uganda, the Income Tax Act introduced presumptive taxation for small business taxpayers who for income purposes are resident taxpayers whose gross turnover from carrying on business in a year of income is less than fifty million shillings. This was introduced in order to bring the small business taxpayers within the tax bracket. These taxpayers do not keep track, in an accounting sense, of their sales and neither do they keep accounts.

Reasons for employing Presumptive Method of Taxation

Presumptive techniques may be employed for a variety of reasons and these include:

a) Simplification particularly in relation to the compliance burden on taxpayers with very low turnover (and the corresponding administrative burden of auditing such taxpayers).
b) To combat tax avoidance or evasion (which only if the indicators on which the presumption is based are more difficult to hide than those forming the basis for accounting records).
c) By providing objective indicators for tax assessment, presumptive methods may lead to a more equitable distribution of the tax burden, when normal accounts-based methods are unreliable because of problems of taxpayer compliance or administrative corruption.
d) Reputable presumptions can encourage taxpayers to keep proper accounts because they subject the taxpayers to a possibly higher tax burden in the absence of such accounts.
e) Presumptions that serve as minimum taxes may be justified by a combination of reasons (revenue need, fairness concerns and political or technical difficulty in addressing certain problems directly as opposed to doing so through a minimum tax).

Types of Presumptive Methods

Presumptive methods can be rebuttable or irrebuttable. Rebuttable methods include administrative approaches to reconstructing the taxpayer's income, and may or may not be specifically in the statute. If the taxpayer disagrees with the result reached, the taxpayer can appeal by proving that his or her actual income, calculated under the normal tax accounting rules, was less than that calculated under the presumptive method. For example, under S.95 (2) of the Income Tax Act, where a taxpayer fails to furnish a return of income for a year of income, or the commissioner is not satisfied with the return of income furnished by the taxpayer, the commissioner may according to her best judgment make an assessment of the chargeable income of the taxpayer and the tax payable on that income.

Until the 1995 Finance Act, Uganda had a rather complex system of presumptive taxation for small business. Section 43A of the Income Tax Decree 1974 specified in Schedules of license fees for businesses of different types and in different areas.

For example, operation of a passenger vehicle was divided into five categories, by number of passengers, and within each of those categories, the fee was determined by the age of the vehicle in four subcategories. Proof of payment of the tax was required to obtain a tax clearance certificate necessary for licensing to do business or to register a commercial vehicle. Altogether, there were well over 100 categories of license fees, spanning passenger and freight transport, restaurants, retail and wholesale businesses in different areas, cinemas and video shows, hotels, lodging houses, coffee processing and cotton ginning, fishermen, butchering, various types of farming businesses, bakery owners, relatively large cattle herders, professional businesses, financial institutions, and other businesses. The annual license fees ranged from U.shs.5,000 to U.shs.5 million.

The tax deposits system was introduced in 1976 to try and collect taxes from the mafutamingis who had inherited the businesses of the departed Asians. The mafutamingis had no entrepreneurial skills and hardly kept books of accounts. Requesting them to file and pay taxes was like hitting a hard rock. At the same time, there was practically no effort made to educate the potential taxpayers about their obligations and rights, reasons for and benefits of taxation as well as the economic functions of government relating to taxation.

The tax authorities accordingly designed the tax deposit system. This was a tax deposit, a tax paid in advance by various businesses, which were obliged by law to file returns. Very few of the businesses actually ever filed returns and in the long run the tax was taken to be a final tax.

The tax deposits gradually become a principle source of personal and corporate income tax. They brought under the tax net a number of small and medium scale enterprises thus widening the coverage.

However, they were so arbitrarily assessed and too uniformly applied to be fair to the very small entrepreneurs, and caused inefficiency in tax administration.

The advance lump sum payment not only violated the legal framework of provisional tax payment but also constrained some of the entrepreneurs' liquidity reserves while at the same time were practically meaningless to high potential taxpayers and hence inequitable.

The tax deposit system, although rather crude, had some advantages. It fetched some revenue for government during moments of economic crisis. It also enabled tax administration to go round the problem of uncontrolled corruption among the tax collectors. Of equal importance was the point that it induced some taxpaying culture in a community that was hitherto ignorant of the system. Finally, through the system of administrative linkages between the tax authority (Income

Tax Department) and the Licensing Authorities – using the Tax Clearance Certificate facility – a number of businesses were compulsorily captured on the tax registers.

This system had a number of disadvantages too. One was that it violated some of the basic principles of a good tax system namely; ability to pay, fairness, equity and convenience. Second, it lacked some of the basic characteristics of a good tax system, for example, efficiency, comprehensiveness and clarity. Third, it created an environment for rampant tax evasion. Fourth, it suppressed and limited the taxpayer's opportunity to learn about taxation and develop a proper taxpaying culture. Fifth, it caused relaxation on the part of tax collectors as all they did was to wait for a taxpayer to approach the tax office for a Tax Clearance Certificate which was mandatory before a person could get a licence or practicing certificate.

This system was repealed, beginning with the 1995/96 fiscal year and at until the enactment of the Income Tax Act, there was no presumptive tax on small business. This was after a businesswoman asked H.E. the President, during a consultative meeting with the business community in Conference Centre, as to why they should pay taxes before they had even started business!

It is extremely difficult to tell exactly how much revenue was raised from the presumptive tax "deposits" prior to 1995/96, from the available data. A best estimate is 0.015 percent of GDP.

More important than the revenue impact, however, is the fact that some sort of presumptive taxation of small business is critical to the perception of the fairness, and the actual fairness, of the income tax system. Small business is, everywhere in the world, the hardest-to-tax sector. In Uganda, labour income in the formal sector is subject to effective taxation under PAYE.

Large businesses, to the extent they are not compliant with the law, are subject to what probably constitutes more than their actual liability, under the 4 percent withholding system when making importation and when they are receiving payments from the Central or Local Government or any of its departments. Individual landlords are subject to the 20 percent simplified, scheduler gross rental tax. With the elimination of the license fee system, there was no longer any handle to garner any tax from the entrepreneurial/small business sector. In effect, given the present state of the URA and its lack of ability to monitor this hard-to-tax sector, the government had to devise another mechanism of taxing small businesses. Simply giving up on taxing these entrepreneurs would have sent the wrong signal to the community as a whole.

Parliament did not restore the deposit system of license fees as it existed before. It was far more complicated than necessary. The abolished deposit scheme was in fact sufficiently differentiated that it resembled to some extent a graduated business licence scheme. Estimated assessments, a more refined system of estimating actual tax liability based on indicators, similar to the French forefait system, was considered too complicated for Uganda at this point. Some countries are moving towards a withholding system as a means of capturing tax, like Uganda's 4 percent withholding system applicable to large businesses.

However, this is unlikely to work well for small businesses, as the persons supplying them are frequently so small. It would also impossible to enforce the withholding requirement against the would-be agent which is a pre-requisite for this tax.

All in all, given the current state of the URA and the heavy reliance on automatic withholding for other sectors, Parliament adopted a simpler form of standard assessment system, adjusting the rates to generate a more realistic amount of revenue from the potential base.

In order to design an appropriate system however, more date is needed on what businesses paid the abolished deposits, and how much they paid by category; whether some or any of those businesses actually did file individual returns; and what proportion of revenues those filers represented both of deposits and total other individual non-PAYE tax collected.

The Law

Subsections (5) – (7) of section 4 provide for a simplified method of calculating the income tax payable by a resident taxpayer carrying on a small business. Subsection (5) provides that, where the gross revenue of a resident taxpayer for a year of income derived from carrying on a business or businesses during the year of income is less than Shs.150m/=, the amount of tax payable by the taxpayer for the year is the amount determined in accordance with the Second Schedule. Subsection (2) is expressed to be subject to subsection (5) and, therefore, subsection (5) applies automatically. However, a taxpayer may elect to pay tax on chargeable income in the ordinary way by notice in writing to the Commissioner. The formalities for lodging a notice of such an election are set out in subsection (6).

Subsection (5) applies to a resident taxpayer whose gross revenue from business falls below the stated threshold. A taxpayer for the purposes of subsection (5) may be an individual, trustee or company. However, subsection (5) does not apply to a taxpayer providing services of the type listed in subsection (7). Where a taxpayer carries on more than one business during a year of income, the gross revenue from each is aggregated to determine whether the taxpayer is under the threshold. "Gross turnover" is defined in section 3 to mean the gross proceeds from carrying on the business or businesses during a year of income (without deduction for expenses) plus the net gain (if any) for the year from the disposal of business assets by the taxpayer for the year. Where subsection (5) applies, paragraph (a) provides that the income tax

payable under that section is a final tax on the business income of the taxpayer. It is further provided in paragraph
(b) that no deductions are allowed under the Act for any expenditures or losses incurred in the production of the taxpayer's business income and no tax credits are allowed to reduce the income tax payable under subsection (5) except as specified under the Second Schedule.

General Material on application of Presumptive Taxation in Uganda

The term presumptive tax is commonly used to refer to small farmers and small businesses (self-employed persons). The following factors contribute to their being hard to tax (See Federico J. Herschel, *Taxation of Agriculture and Hard-to-Tax Groups*, in Fiscal Reform for Colombia 387, 402 (1971) :

- their number is great, making it impossible to intensively scrutinize more than a small fraction of them;
- their incomes are small, often below the poverty level;
- they are not compelled by business (i.e. nontax) reasons to keep adequate books of account;
- they sell largely to the population for cash so that application of withholding to collect their income is not practicable;
- in part due to the above factors, they can easily conceal their incomes.

Situation prior to the Income Tax Act

Prior to the enactment of the Income Tax Act, there was no special regime for taxing income of small business entrepreneurs. They were obliged to pay tax based on net income. They ideally had to keep proper books of accounts and file returns.

In practice this never happened. On 25th January 1971, the then General Idi Amin Dada, the Army Commander, overthrew the Obote I Government. One year later, Idi Amin declared the Economic War and expelled all non-Ugandan Asians from Uganda. This was the entrepreneurial class that was predominant in business.

Amin arbitrarily gave the assets and businesses of the departed Asians to his henchmen and some lucky Ugandans. This group was later to become known as the "mafutamingis" because they grew obese out of eating a lot of oily food. This group, comprised mostly of illiterate and semi-illiterate indigenous Ugandans, lacked business acumen and hardly kept books of accounts. They could not separate personal from business receipts and expenditures. They could not thus comply with a law that required book keeping.

The tax authorities failed to collect any tax from this group. They tried to estimate the mafutamingis income and base assessment on that but this was unsuccessful. The mafutamingis deemed the assessments excessive and refused to pay. No enforcement could be taken against them as most of them were well-connected and part of the military establishment.

In 1976, the tax authorities devised the tax deposit system. Any person who carried on a business or businesses was obligated to pay a tax deposit before getting a trading licence or a practicing licence for professionals. Standard assessment guides were used. The deposits were based on various ascertainable factors, which were developed for particular industries. For example, a restaurant could be taxed on the basis of location, number of seats, and average price of items on the menu.

This system was specifically authorized by statute. Since the deposits were published, taxpayers in practice relied on them but they took them to be a final tax. Most of the small taxpayers never kept or disclosed adequate records and they took the deposit paid to be a final tax. One implication is that the deposit system resulted in understatement of tax, since it was a one way street; taxpayers would pay the deposit which they considered a final tax. While the existence of the tax deposit system did not absolve taxpayers of their obligation to keep adequate records, in practice taxpayers were not penalized for such failure.

The use of the tax deposit method was effective in extracting tax from small taxpayers although it was not easy to apply. Considerable background work was required by the tax authorities in specifying the factors to be used for particular industries and the relevant infrastructure and adequate preparatory time. The method was more suitable for some industries than for others. The key was whether the business was such that turnover can be ascertained from external evidence.

Presumptive Methods in General

Presumptive taxation involves the use of indirect means to ascertain tax liability, which differ from the usual rules based on the taxpayer's accounts. The term "presumptive" is used to indicate that there is a legal presumption that the taxpayer's income is no less than the amount resulting from application of the indirect method. As discussed below, this presumption may or may not be rebuttable.

A useful description is provided by Ahmad & Stern: "The term presumptive taxation covers a number of procedures under which the 'desired' base for taxation (direct or indirect) is not itself measured but is inferred from some simple indicators which are more easily measured than the base itself". Ehtisham Ahmad & Nicholas Stern, the Theory and Practice of Tax. Reform in Developing Countries 276 (1991).

The concept covers a wide variety of alternative means of determining the tax base, ranging from methods of reconstructing income based on administrative practice, which can be rebutted by the taxpayer, to the minimum taxes with tax bases specified in legislation.

Presumptive techniques may be employed for a variety of reasons. One is simplification, particularly in relation to the compliance burden on taxpayers with very low turnover (and the corresponding administrative burden of auditing such taxpayers).

A second is to combat tax avoidance or evasion (which works only if the indicators on which the presumption is based are more difficult to hide than those forming the basis for accounting records). Third, by providing objective indicators for tax assessment, presumptive methods may lead to a more equitable distribution of the tax burden, when normal accounts-based methods are unreliable because of problems of taxpayer compliance or administrative corruption. Fourth, rebuttable presumptions can encourage taxpayers to keep proper accounts, because they subject taxpayers to a possibly higher tax burden in the absence of such accounts. Fifth, presumptions of the exclusive type (see below) can be considered desirable because of their incentive effects – a taxpayer who earns more income will not have to pay more tax. Finally, presumptions that serve as minimum taxes may be justified by a combination of reasons (revenue need, fairness concerns, and political or technical difficulty in addressing certain problems directly as opposed to doing so through a minimum tax).

Presumptive taxation is used for any tax that is normally based on accounting records - income tax and value added tax (VAT) although it is most commonly used for the income tax.

A number of different types of presumptive methods exist in different countries. The discussion below first considers some general characteristics of presumptive methods – and their place in the system as a matter of overall architecture – and then discusses particular cases. It is apparent from this discussion that different types of presumptive methods can have quite different incentive effects, revenue effects, distributional consequences, levels of complexity, and legal and administrative implications. This makes it dangerous to generalize about presumptive taxation.

For further discussion and analysis of presumptive taxation, see Indira Rajamaran, *Presumptive Direct Taxation: Lessons from Experience in Developing Countries.* Economic and Political weekly (forthcoming); Arye Lapidoth, *The Use of Estimation for the Assessment of Taxable Business Income (1977)*; Kenan Bulutoglu, *Presumptive Taxation in* Tax Policy Handbook 258 (Parthasarathi Shome ed, 1995); Russel Krelove and Janet Stotsky, *Asset and Wealth Taxes, in id.* 181; Vito Tanzi & Milka Casanegra de Jantscher, *Presumptive Income Taxation: Administrative, Efficiency, and Equity Aspects.* (IMF Working Paper, 1987) (see also sources cited in these works),

See Lapidoth, *supra* note 4, at 25.

Presumptive methods can be rebuttable or irrebuttable. Rebuttable methods include administrative approaches to reconstructing the taxpayer's income. If the taxpayer disagrees with the result reached, the taxpayer can appeal by proving that this or her actual income, calculated under the normal tax accounting rules, was less than that calculated under the presumptive method.

By contrast, irrebuttable presumptive assessments are specified in the Income Tax Act and they are legally binding.

Depending on the situation, irrebuttable presumptions might be subject to legal challenge as unconstitutional. The court may apply the principle of equality in taxation. Courts may interpret tax law provisions that are seen as denying equal access to justice as unconstitutional. Presumptions might also be challenged on the basis that they impose tax on a basis that is inconsistent with ability to pay. In other words, if two taxpayers with the same income are taxed on an unequal basis, because one of them is presumed to have a higher amount of income due to a presumption, the principle of equality is violated unless there is sufficient justification for the difference in treatment.

On the other hand, Uganda's presumptive taxation is in the nature of a minimum tax and should be seen as equally applicable to all, as constituting in itself a valid basis for taxation, and hence as constitutionally immune from challenge on equal protection grounds.

The presumptive tax applicable in Uganda is a hybrid between rebuttable and irrebuttable methods. It is rebuttable in the sense that the taxpayer may elect to use the normal accounting rules instead of the presumptive method. However, once it is established that the taxpayer has not elected to subject his/her business transactions to normal accounting rules, then presumptive taxation will apply automatically regardless of the taxpayer's actual income for the period. Presumptive taxation can therefore be described as rebuttable *ex ante* but irrebuttable *ex post.* Under the presumptive taxation, the determination of income is done by URA in consultation with the taxpayer about his/her total sales.

Under the presumptive tax liability is determined under the presumption alone, even if the regular rules might lead to a higher liability. An example is the tax on transport income based on the type and size of the vehicle, with no reference to actual transport experience for the year.

The incentive effects of presumption tax differ substantially from those of the income tax. The presumptive tax apparently creates no disincentive to earn income. Rather, its incentive effects are dependent on the factors used to determine presumptive income.

These incentive effects will be minimal when the factors on which the presumption is based are in inelastic supply for example land and public transport minibuses. However, where the tax is based on gross sales, then taxpayers can easily under-declare or non- declare their sales.

Technically speaking, Uganda's presumptive does not satisfy the test for an income tax at all, but is a tax on whatever is used to determine the income. It is more like a tax on a potential income.

While presumptive tax has the advantage of simplicity and minimal disincentive effects, it is devoid of equity. Taxpayers with substantially differing amounts of actual income pay the same amount of tax if their presumptive tax base is the same.

However, if the relationship between presumed and actual income is closer than that between actual and reported income, then presumptive tax may increase equity.

Overall Architecture

The appropriate role for presumptive taxation depends on its place in the overall architecture of the tax system. This section considers some relevant aspects of how presumptive taxation can fit in with the rest of the system.

Thresholds to Exclude Hard-to-Tax From Tax Net

Instead of applying presumptive methods to all hard-to-tax persons, a threshold of a turnover of less than Ug.Shs.50 million was used to minimize the number of taxpayers that the system has to deal with in the first place.

In the case of the income tax, the philosophy of progressive taxation calls for exempting from tax those with low incomes. Establishment of a tax-exempt threshold therefore has the potential to remove from the income tax net a large portion of the hard-to-tax. This has a few implications. First, the tax-exempt threshold should be set as high as possible, consistent with revenue objectives. It does not make much sense to have a relatively low threshold and low initial rate bracket. Better to set both the threshold and the initial rate bracket higher so as to collect the same amount of revenue, while keeping as many of the hard-to-tax out of the system.

Second, a somewhat scheduler approach to the individual income tax may be called for. Developing and transition countries often impose final withholding taxes on interest and dividend income. Individuals whose sole income is wages, interest, and dividends therefore do not need to file. A problem can come up if they have both wages and a small amount of business or agricultural income. In principle, they have to file if this total exceeds the threshold. What might be considered is a filing requirement whereby those with a limited amount of part-time income, either farmers earning a limited amount of wages on the side or wage earners with a limited amount of agricultural or business income on the side, would not have to file a return, as long as the total income is below a certain amount.

For administrative reasons, keeping these taxpayers out of the system might be desirable, even if there were some violation of the principle of horizontal equity. There is a trade-off here between concerns about tax fairness, revenue, and tax administration. All I am arguing is that the right answer to this trade-off might not involve complete globalization of income.

Another tax involving a threshold is the VAT. A fairly generous VAT threshold was set so as not to overwhelm administrative resources with small taxpayers. The revenue loss from exempting these taxpayers might not be significant. The revenue loss is limited to the extent that these persons use vatable inputs in their production, since the trader effectively bears the burden of this tax.

The threshold is typically defined in terms of the volume of taxable supplies made over the course of a year.

In principle, very few registered VAT taxpayers should be considered hard to tax. This is because of the extensive record keeping and invoicing that these taxpayers by definition have to undertake, under heavy penalties for non-compliance.

The question sometimes arises as to what taxes presumptive regimes should replace.

The purpose of presumptive regimes is to provide alternative methods of assessing taxpayers who do not keep good books of account. Therefore, the general answer as to what taxes should be replaced is that whatever taxes are based on books of account should be candidates, but no others. For example, a tax that is imposed on ownership of a car does not require any accounting and hence should be collected from small businesses regardless of whether they participate in a presumptive regime. This also makes sense from the point of view of uniform administration of this tax.

How to Define Taxpayers Eligible for Presumptive Regimes

Definitions of taxpayers that are eligible for presumptive regimes need to e carefully structured to avoid including taxpayers with higher incomes and those who are or should be capable of keeping accounts properly. There is a political temptation to provide "simplified" (i.e. preferential) regimes for small business and to use presumptive taxation for this purpose.

This should be avoided. Instead, the profit or income tax should be kept as simple as possible and simplified accounting rules (e.g., cash method of accounting) should be provided for taxpayers whose turnover is below a specified level.

Presumptive taxation should be provided only for those who are not really in a position to keep accounts at all. Of course, the law cannot use this as a definition. The dividing line that probably makes the most sense is turnover. Conceptually this is relatively simple, but there is a Catch-22 problem. By hypothesis, the kinds of taxpayers we are concerned about are unreliable about keeping track of their turnover.

It was deemed appropriate to exclude professional services from these taxpayers subject to presumptive tax. This should certainly include services performed in their professional filed by anyone with a higher education degree (e.g., doctors, lawyers, accountants, engineers) as well as person engaged in utility and public entertainment services.

Taxpayers can also be excluded from presumptive regimes on the basis of their ability to maintain records. In Uganda, all companies are required by commercial law to keep double entry accounts. Companies, therefore, should have been excluded from presumptive regimes.

If an entrepreneur is not prepared to keep double entry accounts, the entrepreneur should not incorporate. Another class of taxpayers who should be able to keep proper accounts are those who are registered as VAT taxpayers. For example, a taxpayer whose turnover is low might be voluntarily registered for VAT. Since a VAT taxpayer has an obligation to keep careful records, it can be appropriately excluded from presumptive regimes. Further, even a taxpayer who was previously registered as a VAT taxpayer but subsequently deregistered could be excluded from presumptive regimes on the basis that they should know how to keep records.

Agriculture

The income from agriculture – particularly in the case of small farmers – is taxed on a presumptive basis if it is taxed at all. The approach will be to base the tax on the area of land and its quality. An estimate is made of the normal income that can be earned, given the productivity of that type of land, average costs of production, and the price of products. Relief may be provided for when the harvest in an area is bad. Certain activities may be excluded from presumptive taxation, and larger enterprises may be taxed on the basis of actual income.

For example, in France, farmers with a turnover of 500,000 francs or less are eligible for the presumptive basis of taxation. The taxable income from agriculture is determined according to (1) the area of land that is under cultivation or could be placed under cultivation, (2) the type of crop, and (3) the region. For each region, the average profit for each type of crop is determined annually by a committee composed of representatives of the tax administration and farmers. If a natural disaster leads to crop loss in a region, then individual farmers who suffered from the calamity may apply for a reduction in tax on that basis.

Application of such a system requires good information about land quality. While this does not involve such a degree of complexity as determining the fair market value of land, it still presents a substantial challenge. The question is whether a simple system based on categories of land quality is robust enough so as to produce a sufficiently fair result in terms of presumed income. For subsistence farmers, the setting of thresholds may decide the question; if they fall below the threshold for application of the income tax, then it is not necessary to apply a presumptive income tax. A presumptive system for agriculture also requires attention to specifying the circumstances under which the taxpayer is allowed to apply for relief on the basis that the actual harvest came in below the presumed amount. If the opportunity to make such an argument were open ended, there would be many disputes. Therefore, it probably makes sense to limit this opportunity to cases where there have been harvest failures due to regional disasters or similar reasons.

Contractual Method (Forfait)

The contractual method (forfait) used in France is a presumptive method that strives for a fair degree of accuracy. For a time, the *forfait* was widely applicable in France, covering some one million individual businesspersons as of the 1960s, although its importance has dwindled more recently. Taxpayers are eligible for the system if their annual turnover is below a specified amount. The contractual method differs from other presumptions in that its application is based on advance agreement between the taxpayer and the tax authority to base tax liability on estimated income instead of on actual income.

To apply the *forfeit,* the taxpayer must furnish the following information with respect to the preceding year; purchasers, sales, value of closing inventory, number of employees, amount of wages paid, and number of cars owned by the taxpayer. The tax administration then calculates the *forfeit,* which is supposed to be an estimate of the "income which the enterprise can normally produce". As can be seen, the information furnished by the taxpayer requires a substantial amount of record keeping and, in fact, constitutes virtually al the information needed to determine taxable income, except for general business expenses.

These are furnished by the tax administration, on the basis of industry-specific estimates. Once the administration supplies its estimated income, it is then subject to agreement with the taxpayer. The agreed figure applies for two years, that is, the preceding year and the current year. It may be different for each of these years, and the figure for the second year may be extended for one or several successive one-year periods.

The taxpayer has the option to use regular income accounting instead of the *forfait* method but, if electing the regular method, is bound to use it for three years. Similar approaches apply in some other countries.

The estimation methods for determining the amount of the *forfeit*, which are based on extensive statistical analyses conducted by the tax administration and on a detailed classification of industries, involve a lot of sophisticated work.

Moreover, the application of the *forfeit* depends on high-quality and honest tax inspectors.

Since it is the local tax inspector who has authority to reach an agreement with the taxpayer, the caliber of the administration, especially the ability and honesty of the local inspector, is important to the success of the agreed income system.

In sum, the essence of the agreed income system is strong administration at the local level, with supervision at departmental and national levels. These factors suggest that the *forfeit* is likely not appropriate for countries where the tax administration is weak and prone to corruption. These are precisely the countries facing the most serious hard-to-tax problems.

Percentage of Gross Receipts

The legislation of some countries provides a minimum tax type of presumption, whereby the taxable income of a business can be no less than a specified percentage of the gross receipts of the business. For businesses paying tax on this basis, the tax has the same economic effects as a turnover tax, rather than an income tax, although the situation is more complicated when a company alternates between paying tax on gross receipts and paying tax on income.

It is difficult to see the attractiveness of this type of tax beyond the facts that it is relatively easy to administer and raises revenue. These characteristics are shared by sales taxes. If a sales tax is desired, it should be adopted explicitly, rather than in the guise of a minimum income tax. As a sales tax, the gross receipts tax is defective, because it involves substantial cascading.

The cascading effect of the tax has two dimensions. First, when most firms are taxed on a gross receipts basis, rather than on income, the tax becomes like a sales tax and involves the familiar cascading problem of such a tax.

Second, the degree of integration of a firm may determine whether the firm pays tax on a presumptive basis. For example, suppose that the statute provides that minimum taxable income is 5 percent of gross receipts. Firm X produces a product at a cost of 96 and sells it to Firm Y for 100. In turn, Y incurs expenses of 10 and resells the product for 114. In this situation, X's and Y's profit of 4 each would be less than the statutory percentage, and each would instead pay tax on the presumptive basis.

However, if the firms merged, producing at a cost of 106 and selling for 114, they would pay tax on the profit of 8, and the presumptive tax would not apply.

A further problem with this type of minimum tax is that there is no close correlation between a particular year's income and turnover. Moreover, net income is likely to represent widely varying percentages of gross receipts depending on the industry concerned, the degree of integration of the particular enterprise, and the type of product or service provided (e.g. a boutique may require a higher profit margin to cover its costs than a high-volume sales operation). Using the same percentage for all companies will therefore be highly inaccurate as a means of approximating net income.

The problem can be addressed, as some countries have done, by classifying taxpayers according to their business and by specifying a profit percentage to be applied to gross receipts, based on industry studies for each type of business to be covered (similar to what is done with the tachshiv). This kind of presumption can be applied as an exclusive way of taxing income, as a minimum tax, or as a *forfeit*. This more sophisticated approach reduces the inaccuracy of the presumption, but makes it more complicated to apply, particularly to taxpayers whose operations cross industry lines. Moreover, to be accurate this method requires research into actual profit margins, an effort that involves significant resources and may be difficult to accomplish in conditions of general economic instability. Therefore, it would be more suitable for some countries than for others.

The receipts-based presumptive tax can also encounter enforcement problems and result in unevenness of application. If taxpayers fail to declare their gross receipts, they can avoid the presumption. So the basic audit problem of determining gross receipts is not addressed by this type of tax.

Accordingly, it is not likely to be effective in raising revenue from the types of taxpayers whose gross receipts are difficult to ascertain, such as traders who sale in cash, and is more likely to impinge on those taxpayers who cannot hide their gross receipts.

The apparent simplicity of the receipts-based minimum tax is undermined by the need to make complicated adjustments for taxpayers who alternate between paying tax on a presumptive basis and paying the regular income tax. If such adjustments are not made, then the presumptive regime can involve a disproportionately high tax liability for taxpayers whose income tends to fluctuate substantially from year to year.

In drafting rules for such a minimum tax, it is necessary to specify which taxpayers are subject to the tax and what items are included in gross receipts. For example, one could specify that gross receipts include all receipts of a business and that both individuals and corporations are subject to the tax. This requires determining what receipts are business receipts. Should items such as interest, dividends, and rents be treated as business receipts and, if so, under what circumstances? It may make sense to exclude such items from business receipts for purposes of the minimum tax, in part because the profit margin is likely to be higher than for other business receipts. It would be most accurate to compare the specified percentage of business receipts against taxable business income, and then to tax investment income separately. Under such an approach, expenses must be allocated among business and investment income, not always an easy exercise.

On the other hand, if all receipts are lumped together, then it is easier to engage in tax planning to avoid the tax. For a taxpayer whose profit margin is low, so that it has to pay the gross receipts tax, the game would be to earn enough financial income (where the profit margin is higher), so as to bring the average profit margin up to the level specified by the gross receipts tax.

An alternative that some countries have adopted is to make the gross receipts presumption rebuttable. Although this alternative takes care of many of the problems of the gross receipts tax, it also takes most of the teeth out of this type of minimum tax.

Where applied as an exclusive presumption to tax very small businesses, the gross receipts methods avoids some of the problems described above. Cascading will not be a problem if the only taxpayers subject to the regime are small businesses, since vertical integration is of limited relevance.

Moreover, the exclusive nature of the presumption means that rules to coordinate the receipts-based method with the regular income tax are not needed, since the regular tax simply will not apply to these taxpayers. The lack of close correlation between gross receipts and taxable income in a particular year is not a concern, as long as over the medium term the gross receipts method yields a reasonable result. The main difficulty lies in determining an appropriate percentage to apply to gross receipts.

Fixed Amount Based on Profession or Trade (Patent)
Some countries apply a minimum tax based on an individual's profession or trade. To avoid serious inequity, the presumptive amounts must be set at rather low levels. They are thus ineffective in taxing higher-income professionals. Indeed, if the presumptive tax raises substantial revenue, this is a sign that there is something seriously wrong with the regular tax.

Perhaps these presumptive amounts are better than nothing, however. A slightly more refined alternative is to divide taxpayers within a given industry into two or three classes based on turnover, with a fixed tax for turnover within each band. Taxpayers may also be divided into categories based on the type and amount of capital equipment used in the business; for example, owners of slot machines could be taxed on a fixed amount for each machine owned.

A distinction is also sometimes drawn based on the number of years a person has been out of school. If the presumption is applied as an exclusive presumption rather than as a minimum tax, it is important to specify a turnover ceiling above which it no longer applies, or otherwise to define which taxpayers are excluded from this system (see IV B above).

The basic problem with the patent approach is that it treats equally all taxpayers within a given class, regardless of their actual income. This can be remedied only by using a more complex approach which is based on a number of factors (see discussion of tachshiv below).

While the patent can be used to tax low-income entrepreneurs, the question arises why they need to be paying tax at all. If their incomes fall below the thresholds for taxation specified for the income tax or the VAT, then perhaps the tax system should not be dealing with them at all, and they should satisfy their obligation to contribute to public expenditure through the VAT that they pay when they make purchases either for consumption or business use.

A possible reason for using the patent approach for these cases is as a substitute for social contributions, which might be payable even if the tax payer, does not have to file an income tax return.

The distinction between the patent and the tachshiv does not seem too clear. The patent seems to be applicable mostly to individuals working alone without employees. The amount of tax is based on the type of activity, and perhaps on location (rural or urban, or possibly with different rates in different localities, especially in cases where the patent is a local tax). On the other hand, the tachshiv attempts to apply a more complex multi- factor approach to estimating income.

In the Income Tax Act provision for standard assessments was made and this was meant to avoid the uncertain legal situations and instead provide statutory authority for their use. Because the determination of standard assessments involves considerable detail and empirical research, the details for their application could not be contained in the Act. However, the Act usefully specified criteria for excluding taxpayers from the presumptive system.

An important issue is whether for eligible taxpayers the standard assessment should be elective or mandatory. The preferable solution is to provide for mandatory use of the standard assessment for eligible taxpayers, but to allow the taxpayer to make an irrevocable election to use the normal accounting rules instead. This approach prevents the taxpayer from taking advantage of the system by moving in and out of using the presumptive system or waiting to see which of the alternatives is more desirable in a particular year.

<u>TAXATION OF EMPLOYMENT INCOME</u>

Earnings from an office or employment are taxable under section 19 of the ITA. In the UK, Employment income is taxed under schedule E, which is divided into three classes and speaks of *"emoluments derived from an office or employment"* the terms *"office"* and *"emoluments"* are not defined in the UK Acts and their meaning and scope has attracted much litigation. In Great Western Railway co vs. Bater (1920) 3KB 266, 8TC 231, (1921) 2KB 128 (1922) 2AC 1, 8TC
231HL, **Rowlat J** described *"office"* as a subsisting permanent, substantive position which had an existence independent from the person who filled it, which went on and was filed in succession by successive holders. Although this dictum has been approved in later cases, in Edwards vs. Clinch (1981) 3 ALLER 278, the emphasis on *permanence and continuity* was played down by the House of Lords in favour of the requirements of some degree of continuance and of a position with an existence independent of the individual holding it. In that case, a civil engineer who received adhoc appointments as a planning inspector was held not to be an office holder because the position had no independent existence but lapsed when the particular assignment was completed. Mr. Clinch was appointed to execute a task not to perform a certain type of work (an office).

It has been said that *Employment* generally connotes a position where there is a written contract of services. The tests have been laid out in the case of Market Investigations Ltd vs. Minister of Social Security (1969) 2QB 173, [1965]3 ALLER 732, which espouses the test of "*whether the person is in business on his own account*". This may be easy to apply where the tax payer has a single employer but not where there is more than one employer. In Davies vs. Braithwaite (1931) 2KB 628, an actress who entered into a series of separate engagements to appear on film, stage and radio was held to be taxable under Schedule D. **Rowlat J** looked at her total commitments during the year and as the number was considerable, decided that each was a mere engagement in the course of exercising her profession. Davies acted in the UK in a number of plays, films, and wireless programmes. She had separate contracts for each play and wireless appearance. She also recorded for the gramophone and had appeared in a play on Broad way New York. Since the performance in New York was completely outside the UK, she argued that it was an employment and as such that she would be taxable at that time only on such sums, if any, as she remitted to the UK. The Revenue argued that this was merely one engagement in her profession as an actress, a profession carried on inside and outside the UK; so that she was taxable on an arising basis under schedule D case II. The Revenue won. The judge said, " *where one finds a method of earning a livelihood which does not contemplate the obtaining of a post and staying in it but essentially contemplates a series of engagement and moving from one to the other , then each of those engagements would not be considered an employment but is a mere engagement in the course of exercising a profession and every profession and every trade does involve the making of successive engagement s and successive contracts and in one sense of the word, employments*"

In Fall vs. Hitchen (1973) however, the tax payer was employed as a professional ballet dancer under a contract which only allowed him to take other work with their consent (consent not to be unreasonably with held). Pennycuik VC looked at the characteristics of the contract in isolation and held that the taxpayer was taxable under schedule E. undoubtedly; one reason for the decision was that the tax payer had only one contract which provided for a first call on his time. There is no infallible criterion and there are many borderline cases. Aspects to be considered now are whether those involved provide their own equipment or have their own helpers, what degree of financial risk they run, what degree of responsibility they have and how far they can profit from sound management.

Emoluments: The term “*emolument*” is partially defined to include salaries, fees, wages, perquisites and profits whatsoever. Two House of Lords cases provide the key to the test of a taxable emolument. The first; **Hochstrasser vs. Mayes (1959) Ch 22** talks about rewards for services, the second, **Shilton vs. Wilmhurst (1990) STC 59** uses more flexible words. In the Hochstrasser case, a sum of money paid to compensate an employee for a loss was held not to be taxable. **Upjohn J** said that the payment would be an emolument if it was made in reference to the services rendered by the employee by virtue of the office and if it was something in the nature of reward for services past, present or future. The tax payer worked for ICI Ltd, a large concern with factories in different parts of the UK. To encourage its employees to remain in the services of the company if asked to move to different parts of the country, the company promised to make good any loss incurred by the employee through a fall in the value of a house which the employee owned. This scheme was restricted to married employees and also to houses not exceeding £ 2000. On being moved from Hillhouse to Wilton, the taxpayer sold his house in Fleetwood at 1500pounds. It had originally cost 1850. ICI reimbursed him this loss of £350 and the revenue sought to assess him on the £350. It failed. The Revenue argued that all payments by employers to their employees “as such” were taxable unless they were payments in return for full consideration in money or money worth other than for services under the employment. The House of Lords rejected this approach unanimously. It was not disputed that the company would not have made this payment if the tax payer had not been an employee and it was clear that the company thought that it was going to benefit by having a more settled workforce if schemes like this were in operation. More over, because the taxpayer had a perfectly standard wage it could not be said that this was a disguised remuneration. The House held that the payment was not in respect of his services to the company but rather to compensate him for the loss which he had sustained and was therefore not taxable. Also read Mitchell and Edon vs. Ross (1961) 3ALLER 49 40TC 11.

Shilton vs. Wilmhurst (1991) STC 88

This case concerned the transfer of Peter Shilton from Nottingham Forest to Southampton in 1982. As part of the deal, Nottingham Forest paid Shilton a fee of £75,000 as an inducement to leave the club and so go off its payroll. The Court of Appeal and Morrit J held that the sum was not taxable. The emolument had to be referable to the performance of services by the employee under the contract of Employment. The House of Lords took a different view. **Lord Templeman** said "*Section 19 is not confined to emoluments from the employers but embraces all emoluments from employment; the section must therefore comprehend an emolument provided by a third party, a person who is not the employer. Section 19 is not limited to emoluments provided in the course of employment; the section must therefore apply first to an emolument which is paid as a reward for past service and as an inducement to continue to perform services and, second, to an emolument which is paid as an inducement to enter into a contract of employment and to perform services in future. The result is that an emoluments "from employment" means on emolument " from being or becoming an employee"* The authorities are consistent with this analysis and are concerned to distinguish each case between an emolument which is derived from being or becoming an employee on the one hand and an emolument which is either suitable to something else on the other hand, for example from a desire on the part of the provider of the emolument to relieve distress or provide assistance to a home buyer. If an emolument is not paid as a reward for past services or as an inducement to enter into employment and to provide future services but is paid for some other reason, then the emolument is not received *from the employment*

Ward (1992) BTR 139 has provided a summary of the test. He said that a sum is taxable if it is received in respect of

(a) having acted as or having been an employee,
(b) Acting as or being an employee
(c) Continuing to act as or continuing to be an employee
(d) Becoming an employee or
(e) Undertaking to do anything within (b) – (d)

Services Past: The liability to income tax payments for services past was left open by Viscount Simmonds in the *Hochstrasser case* but in light of the words of Lord Templeman in *Shilton,* such payments will be taxable if they are also intended as an inducement to continue to perform future services. It has been held that a tip to a tax driver is taxable even though given only at the end of the service (Calvert vs. Wainwright (1947) 1ALLER 282, 27TC475. A bonus payment to an employee (Radcliff vs. Hold (1927) 11 TC 621 and a payment on completion of say 25 years service with a company (Weston vs. Hean (1943) 25 TC 425 are taxable.

***Discharge of employee's obligation* – The Rule in Nicoll vs. Austin**

Payments applied for the benefit of the tax payer are just as much income as moneys paid directly. **Drummond vs. Collins (1915) AC 1011, 6TC 525.** Where an employer discharges an existing pecuniary obligation of the employee, E the sum paid is treated as E's income, even if it is income tax as in Hartland vs. **Diggines (1926) AC 289, 10TC247, IRC vs. Miller (1930) AC 222,15TC 25, IRC vs. Leckie (1940) 23 TC 471**. In ***Hartland vs. Diggines***, a promise to pay a salary without any deductions and taxes which will be borne by the employer was interpreted as an agreement to pay such sums as after deduction of taxes gives the net salary. See also Jaworski vs. Institution of Polish Engineers in Great Britain Ltd (1951) 1KB 768. ***In Nicoll vs. Austin (1935) 19 TC 531***, the principle was applied to future obligations. The taxpayer was life director of and had a controlling interest in, his employing company. Under his contract of services, he was to continue to reside in his own house but the company would pay all outgoings in respect of his house, including rates, taxes and insurance and the cost of gas, electric light, telephone and of maintaining the house and gardens in proper condition. However, the house remained the tax payers. **Finlay J** held that the payments made by the company constituted money's worth to the tax payer who was therefore taxable. ***In Barclays Bank Ltd vs. Naylar (1960)3*** **ALLE.R 173, 39 TC 256** payments were made into the Bank account of a child of the employee out of a discretionary trust set up by the employer to help with employee's school fees. **Cross J** held that the payments had become the income of the child, and the fact that the income had been used to discharge the father's legal obligation to pay the school fees was insufficient to turn the income of the child into the income of the parent.

Examples of General Principles

The question whether a particular receipt arises from the employer – employee relationship or from something else has been much explored in the case law. Payments for services include not only ordinary wages and salaries but also less obvious payments such as those to mark a period of service with the employer **Weston vs. Hearn (1943)2 ALLER 421, 25 TC 425** and bonus payments whether or not contracted for - Weston's case. A sum paid to preserve an employer's good name and good staff relations was held to be taxable even though it was designed to compensate staff for the withdrawal of a benefit in kind. Bird vs. Martland (1982) STC 603, 56TC 89. A payment for services may arise even if the service is not within the scope of duty - Mudd vs. Collins (1925) 9 TC 297, Radcliffe Vs Holt (1927) 2 TC 621, in the Mudd case, a director who negotiated the sale of a branch of the company's business was held taxable on the sum of £1000 granted to him by the company as commission. A payment by an employer to reimburse an expense incurred by the employee in the employment is not an emolument – ***Owen vs. Pook (1969) 2 ALLER 1 45 TC 571, see also Donelly vs. Williamson (1982) STC 88, 54TC 563.***

Taxable gifts: The mere fact that the donor is not the employer does not prevent the gift from being an emolument; the question is whether the payment is made because of the services rendered by the employee in the course of the employment. ***In Moorhouse vs. Dooland (1955) Ch 284, 304, 36 TC 1, 22 Jenkins L.J*** stated the four principles / tests-

(i) The test of liability to tax on a voluntary payment made to the holder of an office or employment is whether, from the stand point of the person who receives it, it accrues to him by virtue of his office or employment, or in other words, by way of remuneration for his services.

(ii) if the recipient's contract of employment entitled him to receive the voluntary payment this would be strong ground for holding that it accrues by virtue of the office or in other words as remuneration for his services.

(iii) The fact that the voluntary payment is of a periodic or recurrent character affords a further, though less cogent ground for the same conclusion.

(iv) On the other hand, a voluntary payment may be made in circumstances which show that it is given by way of present or testimonial on grounds personal to the recipient as, for example, a collection made for the particular individual who is at the time vicar of the parish because of his strained circumstances, or a benefit held for professional cricketer in recognition of his long and successful career in first class cricket. In such cases, the proper conclusion is likely to be that the voluntary payment is not a payment accruing to the recipient by virtue of his office or employment, but gift to him as an individual paid and received by reason of his personal qualities or attainments see also **Hebert vs. Mcquade (19020 2QB631, $TC 489. Blachiston vs. Cooper 1909) AC 104, 5TC 347,** Easter offerings, taxable or not.

In ***Seymour vs. Reed (1927) AC 554, 11TC 625*** the tax payer was a professional cricketer employed by Kent. In 1920, he was awarded a benefit season. Members of the club subscribed money into a fund for him and he was allowed to receive the gate money at one of the home matches of that season. The gate money of $ 939.80 was held by trustees, together with the subscription, until Seymour had found a farm. The money was then paid over to him and used by him for the payment of the farm. The Revenue attempted to tax the $ 939.80 for the year when it was paid over. The attempt failed. The payment was a personal gift and not employment income. He had no right to a benefit season, the benefit would usually be towards the close of a man's career and was intended to provide an endowment on retirement; it was intended as an appreciation for services past rather than an encouragement for services to be rendered. By contrast in Moor house vs. Dooland, the taxpayer was a professional cricketer employed by East Lancashire under club rules, he was entitled to talent money of one guinea every time he scored 50 runs or more, took six wickets or scored a hat trick. In the 1950 and 1951 seasons Dooland qualified for talent money and the resulting public collection, six and 11 times respectively. The Revenue successfully claimed tax in respect of the public collections. Seymour vs. Reed was distinguishable on almost every point. Dooland had a contractual right to a collection, Seymour had only one benefit. Doolands payment were small compared with his salary, Seymour payment was very great. ***In Moore vs. Griffith (1972) 3 ALLER 329***, payment made by the football association to mark England's victory in the world cup 1966 were held not to be taxable.

Golden Hellos & handcuffs

These are also known as inducement payments. A payment to persuade an employee to join an employer is called a *golden Hellos* and a payment to encourage an employee to stay is called a *golden handcuff*. Where an employer R, makes a payment to an employee, E at the commencement of E's services, it is a question of fact whether this is taxable payment for future services or non-taxable compensation for some loss.

Remuneration for services is still remuneration for services even if it is paid in lump sum in advance. See the case of Pritchard vs. Arundale (1971) 3 ALLER 1011, 47TC, Hochstrasser vs. Mayes. The New Zealand Internal Revenue Department's current policy in relation to inducement payments is set out in Operations Circular 88/36 (3) and PIB 171 which reads:

"Inducement Payments - Also know as "Golden Hellos" and Golden Handcuffs".

It is well known that some firms are making inducements either to encourage bright staff to stay (golden handcuffs) or to persuade them to join (golden hellos). In some cases the amounts paid are substantial. Such payments are assessable income as they fall under the definition of "monetary remuneration". The payments are made in respect of or in relation to the employment or service of the taxpayer. In the case of "golden hellos" the payment is made with the prospective employment or service of the taxpayer in mind.

The Law

The payments are said to be assessable income in terms of section (2)(b) of the Income Tax Act 1976 (ITA 1976) because they fall within the definition of monetary remuneration as defined by
s.2 of the ITA 1976, which states "*Monetary remuneration" means any salary, wage allowance, bonus, gratuity, extra salary, compensation for loss of office or employment, emolument, (of whatever kind), or other benefit in money, in respect of or in relation to the employment or service of the taxpayer, and includes any expenditure on account of an employee.*

Case Law

Although there have not been any New Zealand decisions of inducement payment, it is worth noting that there have been decisions on the application or interpretation of monetary remuneration as defined in s.2 ITA 1976. .

For example, in Naismith vs. C.I.R (1981) 5 NSTC 61,046, the expression "in respect of or in relation to the employment or service of the taxpayer", was considered. Thorp.J. cited the English case of *Hochstrasser vs. Mayes,* where *it was held that it is a question of fact whether a payment arises from employment and the fact that an employee would not have received a payment but for his office is not sufficient to render a payment assessable. It is assessable when paid in return for acting as or being an employee.* A profit from employment must be a payment made in relation to the service the employee renders by virtue of his office. A close casual connection between the payment and the employee's service is contemplated in Hochstrasser vs. Mayes. Thus, Oliver J held that "*the' payment was to act as an inducement to the taxpayer to accept the professional and social consequences which flowed from taking up the preferred employment" and therefore the payment was a capital sum.*

In Glantre Engineering Ltd vs. Goodhand_(1983) 1 ALL ER 542 Warner J distinguished Pritchard vs. Arundale. In this case a £10,000 inducement payment was made by Glantre Engineering Ltd (G E Ltd) to a Mr. Wells. Mr. Wells had been offered the position of financial director of G. E. Ltd. Counsel for Mr. Wells submitted that the payment was made to compensate Mr. Wells for losses he would suffer by taking up the employment offered. Warner J concluded that firstly, on the facts of this case the loss of status was not irrevocable as in the case of Jarrold vs. Boustcad._Secondly, Warner J concluded that the loss of *a prospective* partnership in the accounting firm he had worked for was a natural result of selecting a new career and was a *normal incident*_of transferring from one employment to another. Warner J said this was distinguishable from the case of Pritchard vs. Arundale_where the taxpayer was giving up an existing status as a senior partner. Wahler J pointed out that unlike the case of Pritchard vs. Arundale, the payment was made by the employer as opposed to a third party. Also the employment was to commence in six months time in Pritchard vs. Arundale, with no guarantee that services would be provided, this was not the case here. Thirdly, Warner J considered that loss of security was a more important factor than loss of advantage. In Cameron vs. Prendergast (1940) 2 All ER 35 a golden handcuff payment was held to be assessable income. The question which fell to be answered was *whether the taxpayer was liable to income tax in respect of a sum of 45,000 pounds, as being a profit arising from the office of director, under the Income Tax Act, 1918, Schedule E.* The taxpayer, a company director, was paid a lump sum inducement of £45.000 in consideration for agreeing not to resign. At the same time, the taxpayer also agreed to act in an advisory capacity for a reduced salary of £400 per annum. The Court held that the agreement not to resign his office was the same as an agreement to continue to act as a director, i.e. it was in essence an agreement to continue to hold his office as director. This was evidenced by the contemporaneous agreement to continue in an advisory role for a reduced salary. Accordingly, the payment was held to be in relation to his office and therefore taxable. In Riley vs. Coglan (1968) 1 All ER 314 a footballer was paid £500 in two payments (one of £1 00 and one of £400) as consideration for his signing to play with that Club as required, for the next twelve years. Ungoed - Thomas J said that the question to be answered was whether the £500 was a reward for services to be rendered or a payment from his employers for something other than services. Ungoed - Thomas J cited UpJohn J's judgement in Hochstrasser vs. Mayes (1958) 1 All ER 369 at 374 where he said: "*In my judgement, the authorities show this, that it is a* *question to be answered in the light of the particular facts of every case whether or not a particular payment is or is not a profit arising from the employment. Disregarding entirely contract for full consideration in money or money's worth and personal presents, in my judgement, the authorities show that, to be a profit arising from the employment the payment must be made in reference to the services the employee renders by virtue of his office, and it must be something in the nature of a reward for services past, present or future"*

Ungoed-Thomas J distinguished this case on the facts from that of Jarrold v Boustead in that, here the consideration was not for the giving up of another status but for an agreement to serve in future. Ungoed Thomas J applied Lord Romer's dictum in Cameron v Prendergast. He found that the payment was consideration for services evidenced by the fact that a proportionate part was recoverable by the Club if he did not play. Therefore, the payment was assessable income in terms of s.156 Schedule E Income Tax Act 1952.

In McGregory vs. Randall (1984) 1 All ER 1092 a company paid two of its directors, £6000 as compensation for cancellation of all future commission entitlement under their contracts of employment. The payments were held to be assessable income in terms of s.181, Schedule E, Income and Corporation Taxes Act 1970, i.e. they were emoluments as defined by s: 183 of the 1970 Act. s.183"...all salaries, fees, wages, perquisites and profits whatsoever" and they were in respect of their office or employment. Scott J said as the emolument was in consideration for varying the employment contract, which carried on its amended form, then the payment was made in respect of the employment. Of particular significance is the decision of the English Court of Appeal in Shilton vs. Wilrnhurst (Inspector of Taxes) [1990] STC 55. The case involved the well-known footballer, Shilton, who received 75,000 pounds from his club for consenting to transfer to another club. Shilton was assessed for the amount on the basis that it was an inducement by a third party in relation to providing future services to another party. The Court of Appeal held that the payment was not made in relation to the performance of the contract of employment in the form of rendering services but as consideration of releasing the club from the contract and entering a new one. On page 59 of the judgement Sir Nicholas Brown-Wilkinson V -C states that: " *in my judgement it is established by the authorities that a payment by an employer to induce someone to become his employee may but not necessarily will, be a taxable emolument of that employment. The question in a such a case is whether the reason for such payment is to induce the employee to give up some existing personal advantage (e.g .self employed or amateur status) or whether it is a payment referable to services thereafter to be rendered under the contract of employment" (my emphasis).*

On page 61, he says, "the essence of a payment which is a reward for services is that it related to the performance of the contract by the rendering of services, not merely the existence of the contract of employment.... the payment is assessable if it has been made to the taxpayer for acting as or being an employee, but not if the payment is attributable solely to the creation of the contract of employment irrespective of the services to be rendered under it". The Court of Appeal decision was overturned in the House of Lord (reported as Shilton vs. Wilmhurst (Inspector of Taxes 1991) STC 88)

The House of Lord held that section 181(1) Income and Corporation Taxes Act 1970 embraced all *'emoluments from employment'* and it was not limited to emoluments provided in the course of employment. Thus, it contemplated emoluments distributed by a third party, a person who was not an employer, and it applied to emoluments paid as an inducement into a contract of employment and to perform services in future. Emolument *'from employment'* meant emolument *'from being or becoming an employee'*

On Page 94 of the Judgment, **Lord Templeman** said that an emolument arises from employment if it is provided as a reward or inducement for the employee to remain or to become an employee, and not for something else. He cited Glantre Engineering v Goodhand (Inspector of Taxes) [1983] STC 1 as an, illustration of the fact that emolument from employment may be an emolument for agreeing to become an employee. In that case, the company claimed that the 10,000 pounds it paid to its financial director was to compensate him for the loss incurred in leaving his previous employment. Warner J. held that the payment was an inducement and was therefore taxable. Lord Temploton then said at page 96 of the judgement, that Stoughton LJ in the lower court treated the decisions of Bray vs. Best (1989) STC 159 and Hamblett v Godfrey [1987] STC60 as authority for establishing that: "*If a payment is not made for becoming an employee, or does not arise from the existence of an employer-employee relationship, it is not an emolument from employment. Specifically, I would hold that a payment to induce a person to accept an office or enter into a contract of employment is not on that ground alone an emolument from the office of employment*"

Lord Templeton considered that the Lord Justice was mistaken in his use of these decisions as authority for such a proposition. He said: "But Hamblett vs. Godfrey only decided that the payment in that case arose from the employment and not from 'something else'. Bray vs. lkst was not concerned with the present problem. Neither case is authority for the proposition advanced by the Lord Justice"

The Australian Decisions.

The cases deal with inducements to join rather than inducements to stay in employment and tend to be in relation to lump sum payments made under contract to play football, i.e. signing on fees. Taxpayers have been successful where they have been able to show on the evidence that the payment was received for giving *up* a permanent asset (e.g. amateur status) or as consideration for restrictive covenants. **In F.C. of T vs. Wolte 82 ATC 4578**, the taxpayer was a professional footballer under contract to play for a Club in South Australia. The taxpayer signed a form with the North Melbourne Club of Victoria under which he agreed if he was ever to play in the

Victorian League he would only play for that club. The taxpayer received a lump sum payment of £10,000 as consideration for the agreement. The taxpayer never played in the Victorian League. The Australian Supreme Court held that the payment was a non-assessable capital receipt, the taxpayer having received a payment for giving up a permanent asset, i.e. his right to choose which club he would play with. The Court pointed out that if the facts had been different, namely if the taxpayer had entered a contract to play with a Victorian Club (rather than merely signing a form which, in the event of playing in Victoria he would on play for North Melbourne), it would be almost impossible for the taxpayer to establish that the payment was not Income.

Restrictive Covenants. **In Beah vs. Robson (1943)1 ALLER 46,25TC33,** a director agreed to continue serving the company at a salary of 2000-pound s a year and received 7000 pounds in return for an agreement not to compete with the business within the radius of 50 miles for five years. The 7000 pounds was held not taxable. Note; the ratio decidendi in this case has been reversed by statute in the UK.

Termination of Contracts.

- A payment in lieu of notice is taxable at least where the right to make such payment is reserved to the employer in the contract of employment. **EMI Group Electronic ltd vs. Coldcott (1999) STC 803**.
- Where the contract of employment stipulates the sum to be paid in the event that the contract does not run its full course, such sum will be taxable. **In Dale vs. Soissons (1950) 2ALLER 460, 32TC118**, a three-year service agreement was terminable at the end of one year or two years by the company. The company exercised its rights to terminate the agreement after one year and paid the stipulated sum of 10,000 pounds. The payment was held taxable. **Lord Evershed** said." *The contract provided that he should serve either for three years at an annual sum or if the company so elected for a shorter period of two years or one year t an annual sum in respect of the two years, as the case might be., plus a further sum, that is to say was something to which he became entitled as part of the terms upon which he promised to serve".*

Compensation for modifying contracts. **Hunter vs. Dewhurst (1932) 16TC605**. The tax payer wished to retire but the company wanted him to continue as a director with a reduced load. This re-arrangement would have meant a reduction in a sum payable under a clause in the articles prescribing compensation of a sum equal to five years earnings. The taxpayer agreed to continue as a director but received a lump sum of 10,000 pounds under an agreement in which he renounced all rights to compensation payments. The House of Lords held that this payment escaped tax largely on the ground that it was compensation for the surrender of his contingent rights under the clause in the articles. In contrast, in **Tilley vs. Wales (1943) ALLER 280, 25TC136**, the tax payer agreed to take a reduced salary of 2000 pounds a year in return for payment of 20000pounds , it was held that this was referable to the agreement to continue to serve as managing director at a reduced salary . As such, it was advance remuneration and so fall within what is now section 19. *Hunter vs. Dewhurst* is a decision which.

BENEFITS IN KIND

A benefit in Kind raises questions of policy. In principle all benefits in kind should be taxed, partly in order to satisfy the requirements of equity and partly because failure to tax them properly leads to distortions. There are two basic principles as to the taxability of benefits in kind.

- ✓ A benefit in kind is taxable in the hands of the employee only if it can be converted into money.
- ✓ If the benefit is an emolument tax is levied on the value of the benefits to the employee. This is taken to be its second-hand value.

The above principles are the result of two cases; **Tenant vs. Smith (1892) AC 150, 3TC 158 and Wilkins Vs Rogerson (1961)1 ALLER R 358, 39 TC 344.** Other cases include Abbot Vs Philbin (1961), Mckie vs. Warner (1961) 40TC 55, Butter vs. Bennet 40TC 402, Gilbert vs. Hemsley 55TC419 and Ferguson vs. Noble 7TC 176.

In **Tennant vs. Smith,** the House of Lords in interpreting what is now S131, held that the benefits of a house which the employee was required by his employment to occupy but which he could not assign or sublet did not constitute an emolument since it was not convertible into money. The test is *whether the benefit could be converted.* It is irrelevant whether the employee actually converts it into money. In Tennant, the tax payer was an agent of the Bank of Scotland. He had to occupy the bank house as custodian for the whole premises belonging to the bank, and also to transact any special bank business after bank hours. He was not allowed to vacate the house even for a temporary period unless he had the special consent of the director, who sanctioned the occupation of the house by another official of the bank during the agent's absence. The Agent had to lock up the house and attend to the security of the safe. There was a night bolt from the agents' bedroom to the bank's premises. The agent was not allowed to sublet the bank house nor to use it for any purpose other than the bank's business. The bank house was suitable accommodation for him but as Lord Macghten observed "*his occupation is that of a servant and not the less so because the bank thinks proper to provide* for gentlemen in his position in their service accommodation on *a liberal scale*". His incomes from other services came to £375 and the value of occupation of these premises was placed at £50. Where a tax payer's income was below £ 900 he was entitled to abatement, the House of Lords held that the agent was not assessable under schedule D or F in respect of his occupation of the premises and so was entitled to the abatement*. **Lord Halsbury*** stated that the thing sought to be taxed "*is not income unless it can be turned to money."* The agent's occupation of the premises was not capable of being converted into money since he could not let it. A benefit may be converted in ways other than simple sale. **In Abbot vs. Philbin (1961) AC 352, 378-9,39 TC 82, 125**, an option to acquire shares was non- assignable but the employee was taxable on its value because money could have been realised in another way – by raising money on the right to call for shares.

Restricting convertibility: In Tennant vs. Smith, ***Lord Halsbury*** said that a thing could be treated as money's work where the thing was capable of being turned into money "*from its own nature*" However in that case; the only reason why the agent could not turn his occupation of the House into money was the fiat of his employer. Clearly, the loopholes in the tax net will be greatly widened if it is left to the employer to decide whether a benefit is convertible and so assessable.

The courts have indicated that while restrictions imposed by employers may be treated as an effective restriction, this will only be so if the conditions are genuine. **Heaton Vs Bell (1969) 2 ALLERR 367, 26TC 381**, where shares were issued subject to a condition that they would not be sold without employer's permission, it was held that valuation must take account of the restriction on the effect of a term forbidding assignment of a debt.

Wilkins Vs Rogerson

The employee was provided with a suit, he was held assessable on the second-hand value of the suit which was only one third of the purchase price, a fact which involved "*no reflection on the tailor*" because, it is notorious that the value of clothing is very much reduced the moment that it can be called second hand" the value is ascertained at the date when the asset comes into charge, usually on receipt. Read also, **Machon vs. Mcoughlin 11TC 83**

OPTIONS TO ACQUIRE SHARES

If E receives an option to buy shares, tax is due on the values of the option i.e. the difference between the price payable under the option and the market value of the shares on the date of receipt of the option. **Weight Vs Salmon (1935) 19TC 173**. If therefore, the price payable under the option is the market value at the time of grant no tax is due. If the shares rise in value before the exercise of the option a change to tax will not arise under S.1g (UK) when the option is exercised. The reason was stated by the House of Lords in Abott vs. Philbin ((1961) AC352, (1960) 2 ALLER 763, 39 TC 82. E received an option to buy shares at £3.4 $2^{1}/_{2}$ per share, the market value at the date of the option and exercised it in a subsequent tax year when the market value of the shares was £4.10. The House held that the emolument arose in the year the option was acquired, and at that time E received no benefit from it since he was merely given an option to buy at what was then full market value. The fact that the emolument subsequently increased in value did not mean that increase in value was an emolument.

DISCHARGE OF LIBILITY

Difficulties may arise when the employer discharges debts incurred by his employee. **In Nicoll vs. Austin (1935) 19TC 531,** a managing Director told his employer company that he would have to sell his imposing house, where he entertained potential customers, because he could no longer afford to pay for its upkeep. To prevent the sale, the company paid the outgoings on the house and the employee was taxed on this sum as if he had been given the money to pay the bills himself. Similarly, **in Richardson vs. Worrall (1985) STC**, payment for petrol using an employer's credit card was held taxable since it discharged the tax payer's liability to the garage.

EXPENSES

Expenses may consist of amounts necessarily expended on travelling in the performance of the duties of the office or employment. To be deductible, the cost must be incurred. The cost of travelling from home to work are in general not deductible – **Cook vs. Knott (1887) 2TC 246**, because these costs are incurred not in the course of performing the duties, but in order to get to the place where the duties are performed. In deciding whether an expense is incurred necessarily, the courts seem to have abandoned the only objective test set out in **Ricketts vs. Colquhoun (1926) AC 1, 7, 10TC118** in favour of the more subjective test seen in

Owner Vs Pook (1996) 45TC 571 or Taylor vs. Provan (1974) STC 168, (1974) STC 168,
(1974) 1 ALLER1 201,

1. RICKETS vs. COLQUHOUN

The tax payer R lived in London and was a practicing member of the London Bar. He was taxable under schedule D, case II in respect of his earnings at the bar. He was also a recorder of Portsmouth and was taxable under schedule E in respect of his earnings from this source. He sought to deduct the costs of travelling from his home to Portsmouth. The House of Lords rejected his appeal on two main grounds.

- ✓ When travelling to his place of work he was travelling not in the course of those duties but in order to enable him to perform them. His duties only begin at Portsmouth.
- ✓ The expenses could not be said to have been included necessarily since a recorder could have lived in Portsmouth, the costs of travel from London were not necessary.
- ✓ The further point was that his choice of abode in London was a personal matter and the expenses concerned with that choice was therefore personal expenses.

2. OWEN vs. POOK

The tax payer "O" was a medical practitioner who resided at Fish guard. He also held part time appointments as obstetrician and anaesthetist at Haverford West 15 miles away. Under these appointments O was on "standby duty two weekends a month and on Monday and Friday nights at which times he was required to be accessible by telephone. If he was called at home, O would give advice by phone, some times set out at once and at other times await further reports. He was responsible for his patient as soon as he received the telephone call. Although he received a payment for travelling expenses this way only for the last 10 of his 15 miles. O was assessed in respect of the payments received for the 10 miles and denied his claim for deduction in respect of the five. His appeal against the assessments was successful. Since he had two places where his duties were performed, the hospital and his residence with the telephone, the expenses of travel between the two places were deductible. **Lord Wilberforce** said that the job as actually constituted and the purpose for which he included the expenses differed greatly from Ricketts case.

THE UGANDAN POSITION

It is very clear that the framers of the Income Tax Act, 1997 had in mind many English and other common law decisions concerning taxation of employment income. These various decisions were reinforced or avoided by express provision therein. In the UK, the words "*offices*" "*emoluments*" *and* "*employment*" are used. In Uganda, the income must be "*derived from employment*". Employment is defined in section 2(z) to mean-;

(i) the position of an individual in the employment of another person
(ii) A directorship of a company
(iii) A position entitling the holder to a fixed or ascertainable remuneration or
(iv) The holding or acting in any public office.

The scope of section 19 has recently been discussed in the case of Uganda Revenue Authority vs. **Siraje Hassan Kajura SCCA 09 of 2015** in the context of whether retrenchment packages or terminal benefits are taxable under that section. The Court of Appeal found that to the extent that the benefits were paid after termination of employment not while the employment subsisted, they fell outside section 19. The Supreme Court reversed the decision of the Court of Appeal saying that the Court of Appeal had imported words that were not in the section.

In **Jubilee Insurance and 30 0thers vs. Commissioner General of Uganda Revenue Authority**, the Tax Appeals Tribunal considered a number of factors to come to the conclusion that insurance agents were employees of the Insurance Companies. That decision was reversed on appeal to the High court on the ground that the Insurance Act does not allow agents to be employees of Insurance Companies.